

Annex " **B** "

COVER SHEET

for
AUDITED FINANCIAL STATEMENTS

SEC Registration Number

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COMPANY NAME

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				I	N	C	.		A	N	D		S	U	B	S	I	D	I	A	R	I	E	S					

PRINCIPAL OFFICE (No. / Street / Barangay / City / Town / Province)

6	t	h		t	o		1	0	t	h		F	l	o	o	r	s	,		P	S	E		T	o	w	e	r	,			
				5	t	h		A	v	e	n	u	e		c	o	r	.		2	8	t	h		S	t	r	e	e	t	,	
				B	o	n	i	f	a	c	i	o		G	l	o	b	a	l		C	i	t	y	,		T	a	g	u	i	g
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Form Type

A	C	F	S
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Department requiring the report

	C	F	D
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Secondary License Type, If Applicable

N	/	A
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COMPANY INFORMATION

Company's Email Address

pird@pse.com.ph

Company's Telephone Number

(02) 8876-4888

Mobile Number

—

No. of Stockholders

284

Annual Meeting (Month / Day)

First Saturday of May

Fiscal Year (Month / Day)

12/31

CONTACT PERSON INFORMATION

The designated contact person **MUST** be an Officer of the Corporation

Name of Contact Person

Mr. Roberto Jose R. Jimenez

Email Address

rrjimenez@pse.com.ph

Telephone Number/s

(02) 8876-4839

Mobile Number

0998-9679013

CONTACT PERSON'S ADDRESS

8th Floor, PSE Tower, 5th Avenue cor. 28th Street, Bonifacio Global City, Taguig City

NOTE 1: In case of death, resignation or cessation of office of the officer designated as contact person, such incident shall be reported to the Commission within thirty (30) calendar days from the occurrence thereof with information and complete contact details of the new contact person designated.

2: All Boxes must be properly and completely filled-up. Failure to do so shall cause the delay in updating the corporation's records with the Commission and/or non-receipt of Notice of Deficiencies. Further, non-receipt of Notice of Deficiencies shall not excuse the corporation from liability for its deficiencies.



INDEPENDENT AUDITOR'S REPORT

The Stockholders and the Board of Directors
The Philippine Stock Exchange, Inc.
6th to 10th Floors, PSE Tower
5th Avenue cor. 28th Street
Bonifacio Global City, Taguig City

Opinion

We have audited the consolidated financial statements of The Philippine Stock Exchange, Inc. and Subsidiaries (the Group), which comprise the consolidated statements of financial position as at December 31, 2022 and 2021, and the consolidated statements of comprehensive income, consolidated statements of changes in equity and consolidated statements of cash flows for each of the three years in the period ended December 31, 2022, and notes to the consolidated financial statements, including a summary of significant accounting policies.

In our opinion, the accompanying consolidated financial statements present fairly, in all material respects, the consolidated financial position of the Group as at December 31, 2022 and 2021, and its consolidated financial performance and its consolidated cash flows for each of the three years in the period ended December 31, 2022 in accordance with Philippine Financial Reporting Standards (PFRSs).

Basis for Opinion

We conducted our audits in accordance with Philippine Standards on Auditing (PSAs). Our responsibilities under those standards are further described in the *Auditor's Responsibilities for the Audit of the Consolidated Financial Statements* section of our report. We are independent of the Group in accordance with the Code of Ethics for Professional Accountants in the Philippines (Code of Ethics) together with the ethical requirements that are relevant to our audit of the consolidated financial statements in the Philippines, and we have fulfilled our other ethical responsibilities in accordance with these requirements and the Code of Ethics. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key Audit Matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the consolidated financial statements of the current period. These matters were addressed in the context of our audit of the consolidated financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters. For each matter below, our description of how our audit addressed the matter is provided in that context.



We have fulfilled the responsibilities described in the *Auditor's Responsibilities for the Audit of the Consolidated Financial Statements* section of our report, including in relation to these matters. Accordingly, our audit included the performance of procedures designed to respond to our assessment of the risks of material misstatement of the consolidated financial statements. The results of our audit procedures, including the procedures performed to address the matters below, provide the basis for our audit opinion on the accompanying consolidated financial statements.

Information Technology Environment Supporting the Trading-related Revenue Process

The Group is highly dependent on the reliability and continuity of its information technology (IT) environment to support the automated data processing of its trading and market-related businesses. The Group continuously makes investments to further improve its IT applications and supporting IT infrastructure and IT processes. The IT environment is key to the Group's revenue generation and is relied upon for many aspects of its revenue reporting process. We therefore considered the testing of the IT controls over the IT processes as a key audit matter.

Audit Response

We obtained an understanding of the Group's IT environment, which covers the IT applications and supporting IT infrastructure, IT processes and IT personnel. We obtained an understanding of the IT controls over program changes to the IT applications, user access management to the IT applications and databases as well as controls over management of IT operations. To the extent applicable, we performed testing of the operation of the IT controls of the applications supporting the trading-related revenue process. We also tested the trading-related revenue process transaction level controls. We evaluated and considered the results of the testing of controls in the design and extent of our substantive audit procedures.

PFRS 15, Revenue Contracts with Customers on Revenue from Listing Fees

The Group applies PFRS 15, *Revenue from Contracts with Customers*, in recognizing revenue from listing fees. Revenue from listing fees is recognized using percentage of hours spent on the relevant activities of the departments performing the listing service over the listed companies' average listing life of fifteen (15) years. We consider the Group's revenue recognition of listing fees as a key audit matter because the significant areas of judgement and estimates for the Group in the revenue recognition of listing fees are in relation to the identification of performance obligations, the estimation of service period for listing services, and the determination of the timing of when the performance obligation is satisfied.

Refer to Note 3 to the consolidated financial statements for the disclosures related to the Group's revenue recognition.



Audit Response

We obtained an understanding of the Group's process for revenue recognition of listing fees and tested relevant controls. On a sample basis, we reviewed contracts and checked the identification of performance obligations for new listings during the year. We performed test calculation of revenue from listing fees and reviewed the model used to calculate the revenue from listing fees including the period over which revenue is deferred and subsequently amortized and the various inputs to the model such as the average listing life of a listed entity in the stock exchange and hours spent on the relevant activities of the departments performing the listing service.

Other Information

Management is responsible for the other information. The other information comprises the information included in the SEC Form 20-IS (Definitive Information Statement), SEC Form 17-A and Annual Report for the year ended December 31, 2022, but does not include the consolidated financial statements and our auditor's report thereon. The SEC Form 20-IS (Definitive Information Statement), SEC Form 17-A and Annual Report for the year ended December 31, 2022 are expected to be made available to us after the date of this auditor's report.

Our opinion on the consolidated financial statements does not cover the other information and we will not express any form of assurance conclusion thereon.

In connection with our audits of the consolidated financial statements, our responsibility is to read the other information identified above when it becomes available and, in doing so, consider whether the other information is materially inconsistent with the consolidated financial statements or our knowledge obtained in the audits, or otherwise appears to be materially misstated.

Responsibilities of Management and Those Charged with Governance for the Consolidated Financial Statements

Management is responsible for the preparation and fair presentation of the consolidated financial statements in accordance with PFRSs, and for such internal control as management determines is necessary to enable the preparation of consolidated financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the consolidated financial statements, management is responsible for assessing the Group's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Group or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Group's financial reporting process.



Auditor's Responsibilities for the Audit of the Consolidated Financial Statements

Our objectives are to obtain reasonable assurance about whether the consolidated financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with PSAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these consolidated financial statements.

As part of an audit in accordance with PSAs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the consolidated financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Group's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the consolidated financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Group to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the consolidated financial statements, including the disclosures, and whether the consolidated financial statements represent the underlying transactions and events in a manner that achieves fair presentation.
- Obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the Group to express an opinion on the consolidated financial statements. We are responsible for the direction, supervision and performance of the audit. We remain solely responsible for our audit opinion.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.



We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the consolidated financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

The engagement partner on the audit resulting in this independent auditor's report is Sherwin V. Yason.

SYCIP GORRES VELAYO & CO.



Sherwin V. Yason

Partner

CPA Certificate No. 104921

Tax Identification No. 217-740-478

BOA/PRC Reg. No. 0001, August 25, 2021, valid until April 15, 2024

SEC Partner Accreditation No. 104921-SEC (Group A)

Valid to cover audit of 2020 to 2024 financial statements of SEC covered institutions

SEC Firm Accreditation No. 0001-SEC (Group A)

Valid to cover audit of 2021 to 2025 financial statements of SEC covered institutions

BIR Accreditation No. 08-001998-112-2020, November 27, 2020, valid until November 26, 2023

PTR No. 9566021, January 3, 2023, Makati City

March 22, 2023



THE PHILIPPINE STOCK EXCHANGE, INC. AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF FINANCIAL POSITION

	December 31	
	2022	2021
ASSETS		
Current Assets		
Cash and cash equivalents (Notes 5 and 7)	P1,013,971,744	P439,569,208
Short-term investments (Notes 5 and 6)	412,092,641	—
Financial assets at fair value through profit or loss (FVTPL) (Notes 5, 6 and 8)	1,020,012,561	1,086,092,329
Financial assets at fair value through other comprehensive income (FVOCI) (Notes 5, 6 and 9)	1,263,044,201	2,945,526,509
Receivables (Notes 5, 6 and 10)	143,140,601	130,993,046
Other current assets (Note 11)	91,578,455	110,073,079
Total Current Assets	3,943,840,203	4,712,254,171
Noncurrent Assets		
Long-term financial assets at FVOCI (Notes 5, 6 and 9)	1,124,793,348	718,981,489
Property and equipment (Note 12)	1,097,492,093	1,171,152,314
Investment property (Note 13)	140,241,300	148,781,132
Right-of-use assets (Note 26)	16,905,132	33,380,586
Investment in an associate (Note 14)	290,328,177	294,021,898
Deferred tax assets - net (Note 27)	297,254,012	316,437,201
Pension asset (Note 28)	51,667,023	23,680,061
Other noncurrent assets (Notes 5 and 15)	79,594,195	37,186,667
Total Noncurrent Assets	3,098,275,280	2,743,621,348
	P7,042,115,483	P7,455,875,519
LIABILITIES AND EQUITY		
Current Liabilities		
Accounts payable and other current liabilities (Notes 5, 6 and 16)	P190,355,564	P220,557,204
Current portion of contract liabilities (Notes 17 and 20)	325,898,495	318,066,287
Income tax payable	9,335,660	153,172,360
Current portion of lease liabilities (Notes 5 and 26)	19,775,318	19,666,606
Deferred fees and others (Note 17)	2,428,551	6,758,465
Total Current Liabilities	547,793,588	718,220,922
Noncurrent Liabilities		
Contract liabilities - net of current portion (Notes 17 and 20)	921,599,076	960,710,253
Lease liabilities - net of current portion (Notes 5, 6 and 26)	4,884,013	17,014,688
Pension liability and others (Note 28)	19,962,300	22,627,406
Total Noncurrent Liabilities	946,445,389	1,000,352,347
Total Liabilities	1,494,238,977	1,718,573,269
EQUITY		
Capital stock (Notes 1, 19 and 33)	85,153,982	85,090,163
Additional paid-in capital (Notes 1, 19 and 33)	3,923,275,523	3,910,518,264
Subscribed capital stock (Notes 19 and 33)	44,315,764	41,006,939
Subscription receivable (Notes 19 and 33)	(17,152,663)	(20,688,039)
Treasury stock (Note 19)	(696,293,587)	(696,293,587)
Retained earnings:		
Unappropriated (Note 19)	1,913,922,651	2,071,333,115
Appropriated (Note 19)	121,000,000	121,000,000
Donated capital (Note 18)	211,597,831	211,597,831
Unrealized gain (loss) on financial assets at FVOCI - net (Note 9)	(52,030,301)	15,589,948
Remeasurement gain on pension benefits and others - net (Notes 14 and 28)	20,287,656	135,927
Total Equity Attributable to Equity Holders of the Parent Company	5,554,076,856	5,739,290,561
Non-controlling interest	(6,200,350)	(1,988,311)
Total Equity	5,547,876,506	5,737,302,250
	P7,042,115,483	P7,455,875,519

See accompanying Notes to Consolidated Financial Statements.



THE PHILIPPINE STOCK EXCHANGE, INC. AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF COMPREHENSIVE INCOME

	Years Ended December 31		
	2022	2021	2020
REVENUES (Note 20)	₱1,537,030,746	₱1,646,511,741	₱1,314,362,972
COST AND EXPENSES			
Cost of services (Note 22)	337,282,484	300,322,600	282,143,101
General and administrative (Note 23)	370,002,920	369,132,441	378,962,221
	707,285,404	669,455,041	661,105,322
OPERATING INCOME	829,745,342	977,056,700	653,257,650
OTHER INCOME (EXPENSES)			
Interest income (Note 21)	121,199,958	92,925,950	132,091,662
Equity in net income of an associate (Note 14)	67,452,607	71,535,193	82,095,920
Mark-to-market gain (loss) on FVTPL (Note 8)	(106,443,389)	27,054,382	(19,707,225)
Dividend income (Note 8)	18,812,798	13,241,899	4,282,302
Interest expense on lease liabilities (Note 26)	(2,132,099)	(3,073,885)	(4,307,608)
Gain (loss) on sale of property and equipment (Note 12)	26,075	(451,931)	293,963
Others - net (Note 21)	40,666,026	20,074,049	17,969,170
	139,581,976	221,305,657	212,718,184
INCOME BEFORE INCOME TAX	969,327,318	1,198,362,357	865,975,834
PROVISION FOR INCOME TAX (Note 27)	230,175,679	278,877,738	209,163,409
NET INCOME	739,151,639	919,484,619	656,812,425
OTHER COMPREHENSIVE INCOME (LOSS)			
Item to be reclassified to profit or loss in subsequent periods:			
Gain (loss) on change in the fair value of financial assets at FVOCI (Note 9)	(67,620,249)	(26,073,171)	32,474,238
Items not to be reclassified to profit or loss in subsequent periods:			
Remeasurement gain (loss) on pension benefits - net (Note 28)	17,868,057	14,916,785	(16,317,579)
Share in remeasurement gain on pension benefits of an associate (Note 14)	2,283,672	1,398,844	82,906
	(47,468,520)	(9,757,542)	16,239,565
TOTAL COMPREHENSIVE INCOME	₱691,683,119	₱909,727,077	₱673,051,990
Net Income Attributable to:			
Equity holders of the Parent Company	₱744,214,392	₱923,136,938	₱659,814,389
Non-controlling interests	(5,062,753)	(3,652,319)	(3,001,964)
	₱739,151,639	₱919,484,619	₱656,812,425
Total Comprehensive Income Attributable to:			
Equity holders of the Parent Company	₱696,745,872	₱913,379,396	₱676,053,954
Non-controlling interests	(5,062,753)	(3,652,319)	(3,001,964)
	₱691,683,119	₱909,727,077	₱673,051,990
Basic Earnings Per Share (Note 29)	₱9.12	₱11.33	₱8.10
Diluted Earnings Per Share (Note 29)	₱9.11	₱11.33	₱8.10

See accompanying Notes to Consolidated Financial Statements.



THE PHILIPPINE STOCK EXCHANGE, INC. AND SUBSIDIARIES

CONSOLIDATED STATEMENTS OF CHANGES IN EQUITY

FOR THE YEARS ENDED DECEMBER 31, 2022, 2021 AND 2020

Equity Attributable to Equity Holders of the Parent Company

	Capital Stock (Notes 1, 19 and 33)	Additional Paid-in Capital (Notes 1, 19 and 33)	Subscribed Capital Stock – net of Subscription Receivable (Notes 19 and 33)	Treasury Stock (Note 19)	Retained Earnings			Unrealized Gain (Loss) on Financial Assets at FVOCI - Net (Note 9)	Remeasurement Gain (Loss) on Pension Benefits and Others - Net (Notes 14 and 28)	Total	Non-controlling Interest	Total Equity
					Unappropriated (Note 19)	Appropriated (Note 19)	Donated Capital (Note 18)					
Balances as at January 1, 2022	₱85,090,163	₱3,910,518,264	₱20,318,900	(₱696,293,587)	₱2,071,333,115	₱121,000,000	₱211,597,831	₱15,589,948	₱135,927	₱5,739,290,561	(₱1,988,311)	₱5,737,302,250
Net income	–	–	–	–	744,214,392	–	–	–	–	744,214,392	(5,062,753)	739,151,639
Other comprehensive income (loss)	–	–	–	–	–	–	–	(67,620,249)	20,151,729	(47,468,520)	–	(47,468,520)
Total comprehensive income (loss)	–	–	–	–	744,214,392	–	–	(67,620,249)	20,151,729	696,745,872	(5,062,753)	691,683,119
Employee stock purchase plan	63,819	12,757,259	3,535,376	–	–	–	–	–	–	16,356,454	–	16,356,454
Subscription receivable	–	–	3,308,825	–	–	–	–	–	–	3,308,825	–	3,308,825
Cash dividends - ₱11.00 per share	–	–	–	–	(901,624,856)	–	–	–	–	(901,624,856)	–	(901,624,856)
Subscription of capital stock attributable to minority interest	–	–	–	–	–	–	–	–	–	–	850,714	850,714
Balances as at December 31, 2022	₱85,153,982	₱3,923,275,523	₱27,163,101	(₱696,293,587)	₱1,913,922,651	₱121,000,000	₱211,597,831	(₱52,030,301)	₱20,287,656	₱5,554,076,856	(₱6,200,350)	₱5,547,876,506
Balances as at January 1, 2021	₱85,017,642	₱3,897,618,538	₱15,334,995	(₱696,293,587)	₱1,803,334,481	₱121,000,000	₱211,597,831	₱41,663,119	(₱16,179,702)	₱5,463,093,317	₱1,664,008	₱5,464,757,325
Net income	–	–	–	–	923,136,938	–	–	–	–	923,136,938	(3,652,319)	919,484,619
Other comprehensive income (loss)	–	–	–	–	–	–	–	(26,073,171)	16,315,629	(9,757,542)	–	(9,757,542)
Total comprehensive income (loss)	–	–	–	–	923,136,938	–	–	(26,073,171)	16,315,629	913,379,396	(3,652,319)	909,727,077
Employee stock purchase plan	72,521	12,899,726	5,516,925	–	–	–	–	–	–	18,489,172	–	18,489,172
Subscription receivable	–	–	(533,020)	–	–	–	–	–	–	(533,020)	–	(533,020)
Cash dividends - ₱8.00 per share	–	–	–	–	(655,138,304)	–	–	–	–	(655,138,304)	–	(655,138,304)
Balances as at December 31, 2021	₱85,090,163	₱3,910,518,264	₱20,318,900	(₱696,293,587)	₱2,071,333,115	₱121,000,000	₱211,597,831	₱15,589,948	₱135,927	₱5,739,290,561	(₱1,988,311)	₱5,737,302,250
Balances as at January 1, 2020	₱85,017,659	₱3,895,526,513	₱5,901,304	(₱652,740,643)	₱1,143,520,092	₱121,000,000	₱211,597,831	₱9,188,881	₱54,971	₱4,819,066,608	(₱1,734,028)	₱4,817,332,580
Net income	–	–	–	–	659,814,389	–	–	–	–	659,814,389	(3,001,964)	656,812,425
Other comprehensive income (loss)	–	–	–	–	–	–	–	32,474,238	(16,234,673)	16,239,565	–	16,239,565
Total comprehensive income (loss)	–	–	–	–	659,814,389	–	–	32,474,238	(16,234,673)	676,053,954	(3,001,964)	673,051,990
Employee stock purchase plan	(17)	2,092,025	(11,591,890)	–	–	–	–	–	–	(9,499,882)	–	(9,499,882)
Subscription receivable	–	–	21,025,581	–	–	–	–	–	–	21,025,581	–	21,025,581
Acquisition of treasury stock	–	–	–	(43,552,944)	–	–	–	–	–	(43,552,944)	–	(43,552,944)
Subscription of capital stock attributable to minority interest	–	–	–	–	–	–	–	–	–	–	6,400,000	6,400,000
Balances as at December 31, 2020	₱85,017,642	₱3,897,618,538	₱15,334,995	(₱696,293,587)	₱1,803,334,481	₱121,000,000	₱211,597,831	₱41,663,119	(₱16,179,702)	₱5,463,093,317	₱1,664,008	₱5,464,757,325

See accompanying Notes to Consolidated Financial Statements.



THE PHILIPPINE STOCK EXCHANGE, INC. AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF CASH FLOWS

	Years Ended December 31		
	2022	2021	2020
CASH FLOWS FROM OPERATING ACTIVITIES			
Income before income tax	₱969,327,318	₱1,198,362,357	₱865,975,834
Adjustments for:			
Interest income (Note 21)	(121,199,958)	(92,925,950)	(132,091,662)
Depreciation and amortization (Notes 12, 13, 15, 22, 23 and 26)	142,309,979	131,458,612	157,312,104
Mark-to-market loss (gain) on financial assets at FVTPL (Note 8)	106,943,389	(27,054,382)	19,707,225
Equity in net income of an associate (Note 14)	(67,452,607)	(71,535,193)	(82,095,920)
Unrealized foreign exchange losses - net	41,112,482	20,634,218	6,362,118
Dividend income (Note 8)	(18,812,798)	(13,241,899)	(4,282,302)
Amortization of discount or premium (Note 9)	14,948,377	23,622,895	(41,070,476)
Net pension cost (Note 28)	13,499,168	17,464,734	14,997,567
Share-based payment expense (Note 33)	2,501,320	2,501,039	1,823,088
Interest expense on lease liabilities (Note 26)	2,132,099	3,073,885	4,308,713
Loss (gain) on sale of property and equipment (Note 12)	(26,075)	451,931	(293,963)
Income before working capital changes	1,085,282,694	1,192,812,247	810,652,326
Changes in operating assets and liabilities:			
Decrease (increase) in:			
Receivables	716,223	(33,800,527)	(15,023,952)
Other current assets	18,494,624	(27,909,580)	(27,650,267)
Increase (decrease) in:			
Accounts payable and other current liabilities	(27,557,542)	(117,841,666)	(64,875,522)
Contract liabilities	(31,278,969)	416,604,983	(81,650,799)
Deferred fees and others	(4,329,914)	1,235,513	4,737,945
Cash generated from operations	1,041,327,116	1,431,100,970	626,189,731
Income taxes paid	(359,204,696)	(236,165,377)	(201,459,150)
Interest received	108,686,803	92,925,950	132,091,662
Benefits paid out of the Parent Company's funds	—	(586,409)	(114,187)
Net cash provided by operating activities	790,809,223	1,287,275,134	556,708,056
CASH FLOWS FROM INVESTING ACTIVITIES			
Dividends received (Notes 8, 10 and 14)	92,242,798	79,328,899	67,222,302
Acquisitions of/additions to:			
Financial assets at FVTPL (Note 8)	(40,863,621)	(769,102,188)	(18,689,507)
Financial assets at FVOCI (Note 9)	(970,073,031)	(286,156,500)	(2,993,451,364)
Short-term investments	(412,092,641)	—	—
Property and equipment (Note 12)	(40,318,217)	(34,767,361)	(93,684,345)
Investment property	—	—	(11,785,521)
Other noncurrent assets	(4,537,961)	(5,784,963)	(1,021,736)
Proceeds from maturities/withdrawal/sale/redemption of:			
Financial assets at FVOCI (Note 9)	2,164,174,854	191,038,890	76,979,811
Property and equipment (Note 12)	378,612	17,353,241	906,478
Contribution on retirement fund (Note 28)	(21,768,329)	(21,396,127)	—
Decrease (increase) in other noncurrent assets	(38,034,845)	(6,838,781)	16,266,274
Net cash provided by (used in) investing activities	729,107,619	(836,324,890)	(2,955,214,136)

(Forward)



	Years Ended December 31		
	2022	2021	2020
CASH FLOWS FROM FINANCING ACTIVITIES (Note 35)			
Payments of lease liabilities (Note 26)	(₱18,656,389)	(₱26,835,279)	(₱17,321,418)
Share-based payment transactions	16,813,337	15,104,491	9,433,691
Dividend payments (Note 19)	(901,624,856)	(655,138,304)	—
Acquisition of treasury stock (Note 19)	—	—	(43,552,944)
Payment of long-term employee benefits	(1,784,630)	—	—
Proceeds from subscription of capital stock attributable to non-controlling interest	850,714	—	6,400,000
Net cash used in financing activities	(904,401,824)	(666,869,092)	(45,040,671)
NET INCREASE (DECREASE) IN CASH AND CASH EQUIVALENTS	615,515,018	(215,918,848)	(2,443,546,751)
EFFECT OF EXCHANGE RATE CHANGES ON CASH AND CASH EQUIVALENTS	(41,112,482)	(20,634,218)	(6,362,118)
CASH AND CASH EQUIVALENTS AT BEGINNING OF YEAR (Note 7)	439,569,208	676,122,274	3,126,031,143
CASH AND CASH EQUIVALENTS AT END OF YEAR (Note 7)	₱1,013,971,744	₱439,569,208	₱676,122,274

See accompanying Notes to Consolidated Financial Statements.



THE PHILIPPINE STOCK EXCHANGE, INC. AND SUBSIDIARIES

NOTES TO CONSOLIDATED FINANCIAL STATEMENTS

1. Corporate Information

The Philippine Stock Exchange, Inc. (the Parent Company or the Exchange) was incorporated in the Philippines on July 14, 1992 as a non-stock corporation primarily to provide and maintain a convenient and suitable market for the exchange, purchase and sale of all types of securities and other instruments as defined under the Securities Regulation Code (SRC).

On August 8, 2001, the Parent Company was converted from a non-stock corporation to a stock corporation (demutualization) with an authorized capital stock of ₱36.80 million divided into 36,800,000 shares with a par value of ₱1.00 per share as prescribed by Republic Act (RA) No. 8799 or SRC and pursuant to a conversion plan approved by the Securities and Exchange Commission (SEC) (see Note 19).

The salient features of the demutualization plan approved by the SEC on August 3, 2001 include, among others, the following:

- a. Conversion of the Parent Company into a stock corporation by amending its Articles of Incorporation and by-laws;
- b. Subscription of each member of 50,000 shares at ₱1.00 per share. The remaining balance of the Membership Contributions account of ₱277.47 million shall be treated as additional paid-in capital;
- c. Issuance of trading rights to brokers in recognition of the existing seat ownership by the brokers;
- d. Separation of ownership of shares and right to operate as a trading participant in the Exchange. The trading rights shall be transferable without time limitation; and
- e. Imposition of a moratorium on the issuance of the new trading rights.

On December 15, 2003, the Parent Company's shares of stock were listed by way of introduction of its outstanding shares to comply with the requirements mandated by the SRC, particularly the conversion of the Parent Company into a stock corporation.

On January 28, 2004, the Parent Company offered 6,077,505 unissued shares to the private sector as part of its on-going effort to comply with SRC's mandate regarding the ownership of the Exchange (see Note 19). Gross proceeds from the private placement offering amounted to ₱726.26 million, inclusive of additional paid-in capital of ₱720.18 million representing premium over the par value of the common stock. Expenses related to the offering amounting to ₱21.10 million were recorded as a reduction of the additional paid-in capital (see Note 19).

On September 10, 2008, the Parent Company's BOD approved the issuance of the 100% stock dividend declared by the Exchange to stockholders of record as of December 13, 2013. On September 12, 2008, the SEC approved to increase the authorized shares of the Company by 61,000,000 shares. The total number of shares issued in 2008 was 15,177,499 shares (see Note 19).

The total number of shares issued in 2011 was 30,504,363 shares (see Note 19).

On December 10, 2013, the Parent Company's BOD approved the issuance of the 20% stock dividend declared by the Exchange on October 22, 2008 to stockholders of record as of September 26, 2008. On November 14, 2013, the SEC approved to increase the authorized shares of the Company by 22,200,000 shares. The total number of shares issued in 2013 was 12,221,680 shares (see Note 19).



On October 25, 2017, the BOD approved the stock rights offering (SRO) to stockholders of up to 11,500,000 common shares to be issued under terms and conditions as determined by the Exchange. This is part of the compliance plan to align shareholder ownership with the 20% limit set by SRC. The proceeds from the stock rights offering will be used to fund the acquisition of PDSHC and capital requirements of the Exchange (see Note 19).

On February 23, 2018, the price of the Exchange's SRO was determined. The Exchange offered 11,500,000 shares to eligible stockholders of record as of March 1, 2018 at ₱252.00 per rights share. The offer period was from March 12 to 16, 2018. On March 22, 2018, the Exchange successfully listed the 11,500,000 shares in the Philippine Stock Exchange (PSE). Gross proceeds from the stock rights offering amounted to ₱2.90 billion, inclusive of additional paid-in capital of ₱2.89 billion representing premium over the par value of the common stock. Expenses related to the offering amounting to ₱73.35 million were recorded as a reduction of the additional paid-in capital (see Note 19).

On May 4, 2019, the stockholders of the Exchange approved the amendments of the Exchange's articles of incorporation to: (a) include in the secondary purposes, the right to lease, exchange mortgage and to exercise all other rights of ownership over its properties and (b) to create preferred shares by reclassifying 14,000,000 unissued common shares into 14,000,000 preferred shares with par value of ₱1.00 per share. On September 12, 2019, the SEC approved the amendments in the Exchange's articles of incorporation (see Note 19).

Securities Clearing Corporation of the Philippines (SCCP), a 100% owned subsidiary of the Exchange, is a domestic stock corporation organized to carry out and strictly implement the following functions: (1) Delivery-versus-Payment trade settlement; (2) fails management and administration of the Clearing and Trade Guaranty Fund (CTGF); and (3) risk monitoring and management. To ensure compliance of trading participants, SCCP is authorized by the SEC to impose fines and penalties and other sanctions as approved by SCCP's Board of Directors (BOD). SCCP was given a temporary license to operate by the SEC and started its commercial operations on January 3, 2000. On January 15, 2002, the SEC approved SCCP's request for a permanent license as a clearing agency subject to its compliance with the requirements of Section 42 of the SRC entitled "Registration of Clearing Agency".

Capital Markets Integrity Corporation (CMIC), a 100% owned subsidiary of the Exchange, is a domestic stock corporation organized on March 14, 2011 to function as the independent audit, surveillance and compliance unit of the Exchange with the authority to adopt, enforce, implement and interpret rules, guidelines and securities laws applicable to the operations and dealings of trading participants and other market participants of the Exchange.

Premier Software Enterprise, Inc. (Premier), an 80% owned subsidiary of the Exchange, is a domestic stock corporation organized on May 16, 2019 to engage in the business of manufacturing, distribution, sales and marketing of all kinds of technology related products and services such as computer hardware, software, internet service providing, voice and data network integration, packet or cell switching technologies, circuit switching technology, information software services, product designing and other information technology applications and services, except telecommunications business.

The Parent Company and its subsidiaries are collectively referred to these consolidated financial statements as the "Group". The registered office address of the Parent Company is 6th to 10th Floors, PSE Tower, 5th Avenue cor. 28th Street, Bonifacio Global City, Taguig City.



Impact of COVID-19

In a move to contain the COVID-19 outbreak, on March 13, 2020, the Office of the President of the Philippines issued a Memorandum directive to impose stringent social distancing measures in the National Capital Region effective March 15, 2020. On March 16, 2020, Presidential Proclamation No. 929 was issued, declaring a State of Calamity throughout the Philippines for a period of six (6) months and imposed an enhanced community quarantine (ECQ) throughout the island of Luzon until April 12, 2020, which was subsequently extended to April 30, 2020 and further extended to May 15, 2020. The ECQ shifted to modified enhanced community quarantine (MECQ) until May 31, 2020 and to general community quarantine (GCQ) for NCR until the first part of the third quarter. On August 4, 2020, NCR was placed back to a stricter MECQ after an appeal made by medical societies due to rising COVID-19 cases. On August 19, 2020, NCR was transitioned back to GCQ after the recommendation of the local authorities which classification remained in force until March 28, 2021.

The uncertainty brought about by the COVID-19 pandemic has impacted the global economy and the performance of ASEAN and global exchanges. In the case of the Exchange, trading was suspended, and the trading floor was closed on March 17 to 18, 2020. Off-trading was enabled, and trading resumed on March 19, 2020. The Exchange was approved by the Inter-Agency Task Force on Emerging Infectious Diseases (IATF) to resume operations on the condition that the trading floor is closed, and the Exchange operate on a skeletal workforce. The Exchange reopened the trading floor in June 2020. Moreover, the Group implemented measures to address the risks brought by the COVID-19 pandemic.

In September 2021, the IATF adopted a new alert level system and enforced granular lockdowns as part of containment measures to the rising infections brought by the COVID-19 pandemic. An intensified vaccination drive helped bring down the number of cases, prompting the government to relax mobility restrictions even if the Delta variant was detected. These developments livened up both the trading and capital-raising activities in the local market and translated to robust earnings by yearend.

On September 12, 2022, President Ferdinand Marcos, Jr. issued Proclamation No. 57, Series of 2022, further extending the declared state of calamity due to COVID-19 throughout the Philippines, effective September 13, 2022 to December 31, 2022, unless earlier lifted or extended as circumstances may warrant. On the same date, the Office of the President of the Philippines, through the Executive Secretary, issued Executive Order No. 3, Series of 2022, allowing for the voluntary wearing of facemasks in open spaces or non-crowded areas with good ventilation. However, the wearing of facemask is still required in indoor private or public establishments, public transportation, and other setting where physical distancing cannot be maintained.

With the continued operations of the Group in 2022 and 2021, the Group has assessed that the COVID-19 pandemic did not significantly impact the consolidated financial statements.

Authorization for Issuance of the Consolidated Financial Statements

The accompanying consolidated financial statements were authorized for issuance by the Parent Company's BOD on March 22, 2023.



2. **Basis of Preparation, Statement of Compliance, Basis of Consolidation and Changes in Accounting Policies and Disclosures**

Basis of Preparation

The accompanying consolidated financial statements of the Group have been prepared on a historical cost basis, except for financial assets at fair value through profit or loss (FVTPL) and financial assets at fair value through other comprehensive income (FVOCI) which are measured at fair value. The consolidated financial statements are presented in Philippine peso, which is the Parent Company's functional and presentation currency under Philippine Financial Reporting Standards (PFRS). All values are rounded to the nearest peso, except when otherwise indicated.

The consolidated financial statements provide comparative information in respect of the previous periods.

Statement of Compliance

The consolidated financial statements have been prepared in compliance with PFRS.

Basis of Consolidation

The consolidated financial statements comprise the financial statements of the Parent Company and its subsidiaries as at December 31, 2022 and for each of the three years in the period ended December 31, 2022. The financial statements of the subsidiaries are prepared for the same reporting period as the Parent Company, using consistent accounting policies.

Control is achieved when the Group is exposed, or has rights, to variable returns from its involvement with the investee and has the ability to affect those returns through its power over the investee.

Generally, there is a presumption that a majority of voting rights result in control. When the Group has less than a majority of the voting or similar rights of an investee, the Group considers all relevant facts and circumstances in assessing whether it has power over an investee, including:

- The contractual arrangement with the other vote holders of the investee;
- Rights arising from other contractual arrangements; or
- The Group's voting rights and potential voting rights.

The Group re-assesses whether or not it controls an investee if facts and circumstances indicate that there are changes to one or more of the three elements of control. Consolidation of a subsidiary begins when the Group obtains control over the subsidiary and ceases when the Group loses control of the subsidiary. Assets, liabilities, income and expenses of a subsidiary acquired or disposed of during the year are included in the consolidated financial statements from the date the Group gains control until the date the Group ceases to control the subsidiary.

Profit or loss and each component of other comprehensive income (OCI) are attributed to the equity holders of the Parent Company and to the non-controlling interests, even if this results in the non-controlling interests having a deficit balance. When necessary, adjustments are made to the financial statements of subsidiaries to bring their accounting policies into line with the Group's accounting policies. All intra-group assets and liabilities, equity, income, expenses and cash flows relating to transactions between members of the Group are eliminated in full on consolidation.

A change in the ownership interest of a subsidiary, without a loss of control, is accounted for as an equity transaction. If the Group loses control over a subsidiary, it:

- Derecognizes the assets (including goodwill) and liabilities of the subsidiary;
- Derecognizes the carrying amount of any non-controlling interests;



- Derecognizes the cumulative translation differences recorded in equity;
- Recognizes the fair value of the consideration received;
- Recognizes the fair value of any investment retained;
- Recognizes any gain or loss in profit or loss; and
- Reclassifies the parent's share of components previously recognized in OCI to profit or loss or retained earnings, as appropriate, as would be required if the Group had directly disposed of the related assets or liabilities.

The consolidated financial statements as at December 31, 2022 and 2021 include the accounts of the Parent Company and the following subsidiaries:

Subsidiaries	Principal Activities	Direct Ownership
SCCP	Clearing agency	100.00%
CMIC	Audit and surveillance unit	100.00%
Premier	Software and IT services	80.00%

The principal place of business and country of incorporation of the Parent Company's subsidiaries is the Philippines.

Changes in Accounting Policies and Disclosures

The accounting policies adopted are consistent with those of the previous financial year, except for the new and amended standards which were applied starting January 1, 2022. Except as otherwise indicated, the adoption of the following new and amended standards did not have any significant impact on the Group's consolidated financial statements:

- Amendments to PFRS 3, *Reference to the Conceptual Framework*

The amendments are intended to replace a reference to the Framework for the Preparation and Presentation of Financial Statements, issued in 1989, with a reference to the Conceptual Framework for Financial Reporting issued in March 2018 without significantly changing its requirements. The amendments added an exception to the recognition principle of PFRS 3, *Business Combinations* to avoid the issue of potential 'day 2' gains or losses arising for liabilities and contingent liabilities that would be within the scope of PAS 37, *Provisions, Contingent Liabilities and Contingent Assets* or Philippine-IFRIC 21, *Levies*, if incurred separately.

At the same time, the amendments add a new paragraph to PFRS 3 to clarify that contingent assets do not qualify for recognition at the acquisition date.

- Amendments to PAS 16, *Property, Plant and Equipment: Proceeds before Intended Use*

The amendments prohibit entities deducting from the cost of an item of property, plant and equipment, any proceeds from selling items produced while bringing that asset to the location and condition necessary for it to be capable of operating in the manner intended by management. Instead, an entity recognizes the proceeds from selling such items, and the costs of producing those items, in profit or loss.

- Amendments to PAS 37, *Onerous Contracts - Costs of Fulfilling a Contract*

The amendments specify which costs an entity needs to include when assessing whether a contract is onerous or loss-making. The amendments apply a "directly related cost approach". The costs that relate directly to a contract to provide goods or services include both incremental costs and an allocation of costs directly related to contract activities. General and administrative



costs do not relate directly to a contract and are excluded unless they are explicitly chargeable to the counterparty under the contract.

- Annual Improvements to PFRSs 2018-2020 Cycle

- Amendments to PFRS 1, *First-time Adoption of Philippines Financial Reporting Standards, Subsidiary as a First-time Adopter*

The amendment permits a subsidiary that elects to apply paragraph D16(a) of PFRS 1 to measure cumulative translation differences using the amounts reported in the parent's consolidated financial statements, based on the parent's date of transition to PFRS, if no adjustments were made for consolidation procedures and for the effects of the business combination in which the parent acquired the subsidiary. This amendment is also applied to an associate or joint venture that elects to apply paragraph D16(a) of PFRS 1.

- Amendments to PFRS 9, *Financial Instruments, Fees in the '10 per cent' Test for Derecognition of Financial Liabilities*

The amendment clarifies the fees that an entity includes when assessing whether the terms of a new or modified financial liability are substantially different from the terms of the original financial liability. These fees include only those paid or received between the borrower and the lender, including fees paid or received by either the borrower or lender on the other's behalf.

- Amendments to PAS 41, *Agriculture, Taxation in Fair Value Measurements*

The amendment removes the requirement in paragraph 22 of PAS 41 that entities exclude cash flows for taxation when measuring the fair value of assets within the scope of PAS 41.

Future Changes in Accounting Policies

The Group did not early adopt the following new standards, amendments and improvements to PFRS and Philippine Interpretations that have been approved but are not yet effective. The Group does not expect these changes to have a significant impact on its consolidated financial statements unless otherwise indicated.

Effective beginning on or after January 1, 2023

- Amendments to PAS 1 and PFRS Practice Statement 2, *Disclosure of Accounting Policies*

The amendments provide guidance and examples to help entities apply materiality judgements to accounting policy disclosures. The amendments aim to help entities provide accounting policy disclosures that are more useful by:

- Replacing the requirement for entities to disclose their 'significant' accounting policies with a requirement to disclose their 'material' accounting policies, and
 - Adding guidance on how entities apply the concept of materiality in making decisions about accounting policy disclosures

The amendments to the Practice Statement provide non-mandatory guidance. Early application is permitted as long as this fact is disclosed.



- Amendments to PAS 8, *Definition of Accounting Estimates*

The amendments introduce a new definition of accounting estimates and clarify the distinction between changes in accounting estimates and changes in accounting policies and the correction of errors. Also, the amendments clarify that the effects on an accounting estimate of a change in an input or a change in a measurement technique are changes in accounting estimates if they do not result from the correction of prior period errors. Earlier adoption is permitted.

- Amendments to PAS 12, *Deferred Tax related to Assets and Liabilities arising from a Single Transaction*

The amendments narrow the scope of the initial recognition exception under PAS 12, so that it no longer applies to transactions that give rise to equal taxable and deductible temporary differences.

The amendments also clarify that where payments that settle a liability are deductible for tax purposes, it is a matter of judgement (having considered the applicable tax law) whether such deductions are attributable for tax purposes to the liability recognized in the financial statements (and interest expense) or to the related asset component (and interest expense).

Effective beginning on or after January 1, 2024

- Amendments to PAS 1, *Classification of Liabilities as Current or Non-current*

The amendments clarify:

- That only covenants with which an entity must comply on or before reporting date will affect a liability's classification as current or non-current.
- That classification is unaffected by the likelihood that an entity will exercise its deferral right.
- That only if an embedded derivative in a convertible liability is itself an equity instrument would the terms of a liability not impact its classification

The amendments must be applied retrospectively.

- Amendments to PFRS 16, *Lease Liability in a Sale and Leaseback*

The amendments specify how a seller-lessee measures the lease liability arising in a sale and leaseback transaction in a way that it does not recognize any amount of the gain or loss that relates to the right of use retained.

The amendments must be applied retrospectively. Earlier adoption is permitted and that fact must be disclosed.

Effective beginning on or after January 1, 2025

- PFRS 17, *Insurance Contracts*

PFRS 17 is a comprehensive new accounting standard for insurance contracts covering recognition and measurement, presentation and disclosure. Once effective, PFRS 17 will replace PFRS 4, *Insurance Contracts*. This new standard on insurance contracts applies to all types of insurance contracts (i.e., life, non-life, direct insurance and re-insurance), regardless of the type of entities that issue them, as well as to certain guarantees and financial instruments with discretionary participation features. A few scope exceptions will apply.



The overall objective of PFRS 17 is to provide an accounting model for insurance contracts that is more useful and consistent for insurers. In contrast to the requirements in PFRS 4, which are largely based on grandfathering previous local accounting policies, PFRS 17 provides a comprehensive model for insurance contracts, covering all relevant accounting aspects. The core of PFRS 17 is the general model, supplemented by:

- A specific adaptation for contracts with direct participation features (the variable fee approach)
- A simplified approach (the premium allocation approach) mainly for short-duration contracts

On December 15, 2021, the FRSC amended the mandatory effective date of PFRS 17 from January 1, 2023 to January 1, 2025. This is consistent with Circular Letter No. 2020-62 issued by the Insurance Commission which deferred the implementation of PFRS 17 by two (2) years after its effective date as decided by the IASB. Early application is permitted.

Deferred effectivity

- Amendments to PFRS 10, *Consolidated Financial Statements*, and PAS 28, *Sale or Contribution of Assets between an Investor and its Associate or Joint Venture*

The amendments address the conflict between PFRS 10 and PAS 28 in dealing with the loss of control of a subsidiary that is sold or contributed to an associate or joint venture. The amendments clarify that a full gain or loss is recognized when a transfer to an associate or joint venture involves a business as defined in PFRS 3. Any gain or loss resulting from the sale or contribution of assets that does not constitute a business, however, is recognized only to the extent of unrelated investors' interests in the associate or joint venture.

On January 13, 2016, the Financial and Sustainability Reporting Standards Council deferred the original effective date of January 1, 2016 of the said amendments until the IASB completes its broader review of the research project on equity accounting that may result in the simplification of accounting for such transactions and of other aspects of accounting for associates and joint ventures.

3. Summary of Significant Accounting Policies and Financial Reporting

Current versus Noncurrent Classification

The Group presents assets and liabilities in consolidated statement of financial position based on current/noncurrent classification. An asset is current when it is:

- Expected to be realized or intended to be sold or consumed in normal operating cycle;
- Held primarily for the purpose of trading;
- Expected to be realized within twelve months after the reporting period; or
- Cash or cash equivalent unless restricted from being exchanged or used to settle a liability for at least twelve months after the reporting period.

All other assets are classified as noncurrent.



A liability is current when:

- It is expected to be settled in normal operating cycle;
- It is held primarily for the purpose of trading;
- It is due to be settled within twelve months after the reporting period; or
- There is no unconditional right to defer the settlement of the liability for at least twelve months after the reporting period.

The Group classifies all other liabilities as noncurrent.

Deferred tax assets and liabilities are classified as noncurrent assets and liabilities.

Cash and Cash Equivalents

Cash includes cash on hand and in banks. Cash equivalents are short-term, highly liquid investments that are readily convertible to known amounts of cash with original maturities of three months or less from dates of placement and are subject to an insignificant risk of change in value.

Short-term Investments

Short-term investments are money market placements, which are highly liquid with maturities of more than three months but less than one year from the date of acquisition.

Determination of Fair Value

Fair value is the estimated price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. The fair value measurement is based on the presumption that the transaction to sell the asset or transfer the liability takes place either:

- In the principal market for the asset or liability, or
- In the absence of a principal market, in the most advantageous market for the asset or liability.

The principal or the most advantageous market must be accessible to the Group.

The fair value of an asset or a liability is measured using the assumptions that market participants would use when pricing the asset or liability, assuming that market participants act in their best economic interest.

A fair value measurement of a non-financial asset takes into account a market participant's ability to generate economic benefits by using the asset in its highest and best use or by selling it to another market participant that would use the asset in its highest and best use.

The Group uses valuation techniques that are appropriate in the circumstances and for which sufficient data are available to measure fair value, maximizing the use of relevant observable inputs and minimizing the use of unobservable inputs.

Assets and liabilities for which fair value is measured or disclosed in the consolidated financial statements are categorized within the fair value hierarchy, described as follows, based on the lowest level input that is significant to the fair value measurement as a whole:

Level 1 - Quoted (unadjusted) market prices in active markets for identical assets or liabilities;

Level 2 - Valuation techniques for which the lowest level input that is significant to the fair value measurement is directly or indirectly observable; and



Level 3 - Valuation techniques for which the lowest level input that is significant to the fair value measurement is unobservable.

For assets and liabilities that are recognized in the consolidated financial statements on a recurring basis, the Group determines whether transfers have occurred between levels in the hierarchy by re-assessing categorization (based on the lowest level input that is significant to the fair value measurement as a whole) at the end of each reporting period.

The Group determines the policies and procedures for both recurring and non-recurring fair value measurements. For the purpose of fair value disclosures, the Group has determined classes of assets and liabilities on the basis of the nature, characteristics and risks of the asset or liability and the level of the fair value hierarchy.

The Group recognizes transfers into and transfers out of fair value hierarchy levels by re-assessing categorization (based on the lowest level input that is significant to the fair value measurement as a whole) as at the date of the event or change in circumstances that caused the transfer.

'Day 1 Difference'

Where the transaction price in a non-active market is different from the fair value based on other observable current market transactions in the same instrument or based on a valuation technique whose variables include only data from observable market, the Group recognizes the difference between the transaction price and fair value (a 'Day 1 difference') in the profit or loss unless it qualifies for recognition as some other type of asset. In cases where unobservable data is used, the difference between the transaction price and model value is recognized in the profit or loss only when the inputs become observable or when the instrument is derecognized. For each transaction, the Group determines the appropriate method of recognizing the 'Day 1 difference' amount.

Recognition, Measurement, Derecognition, and Impairment of Financial Instruments

Date of Recognition. The Group recognizes a financial asset or a financial liability in the consolidated statements of financial position when it becomes a party to the contractual provisions of the instrument. Purchases or sales of financial assets that require delivery of assets within a time frame established by regulation or convention in the market place (regular way trades) are recognized on the trade date, i.e., the date that the Group commits to purchase or sell the asset.

Initial Recognition and Measurement. Financial assets are classified, at initial recognition, as financial assets measured at amortized cost, FVTPL and FVOCI. All financial assets are recognized initially at fair value plus, in the case of financial assets not recorded at FVTPL, transaction costs that are attributable to the acquisition of the financial assets.

Financial liabilities are classified, at initial recognition, as financial liabilities at FVTPL, loans and borrowings or as derivatives designated as hedging instruments in an effective hedge, as appropriate. All financial liabilities are recognized initially at fair value and in the case of loans and borrowings, inclusive of directly attributable transaction costs (referred to herein as "debt issue costs").

The Group has no financial liabilities at FVTPL as at December 31, 2022 and 2021.



Subsequent Measurement. For purposes of subsequent measurement, financial assets and financial liabilities are classified as follows:

- Financial assets at FVTPL

Financial assets at FVTPL comprise investments in mutual funds and quoted equity instruments which the Group has not irrevocably elected, at initial recognition or transition, to classify at FVOCI. The Group has no financial asset designated at FVTPL on initial recognition.

As at December 31, 2022 and 2021, the Group has financial assets classified as financial assets at FVTPL (see Note 8).

- Financial Assets at Amortized Cost

This category includes financial assets: (a) which are held within a business model whose objective is to hold financial assets in order to collect contractual cash flows; and (b) which contractual terms give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

As at December 31, 2022 and 2021, this category includes cash and cash equivalents, short-term investments, receivables, deposits in bank, claims under litigation and refundable security deposits (see Notes 7, 10, 11 and 15).

- Financial Assets at FVOCI

Financial Assets at FVOCI with recycling

This category includes financial assets: (a) which are held within a business model in which assets are managed to achieve a particular objective by both collecting contractual cash flows and selling financial assets; and (b) which contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

As at December 31, 2022 and 2021, this category includes investments in government securities and corporate bonds (see Note 9).

Financial Assets at FVOCI without recycling

Financial assets at FVOCI comprise unquoted equity instruments which the Group has irrevocably elected, at initial recognition, to classify at FVOCI.

The Group has no financial asset designated at FVOCI as at December 31, 2022 and 2021.

- Financial Liabilities at Amortized Cost

After initial recognition, interest bearing loans and borrowings are subsequently measured at amortized cost using the EIR method.

Debt issue costs are amortized over the life of the debt instrument using the EIR method. Debt issue costs are netted against the related loans and borrowings allocated correspondingly between the current and noncurrent portion.



Gains and losses are recognized in the profit or loss when the liabilities are derecognized, as well as through the amortization process.

As at December 31, 2022 and 2021, this category includes accounts payable and other current liabilities (excluding payable to government agencies) and lease liabilities (see Notes 16 and 26).

Derecognition of Financial Assets and Financial Liabilities

Financial Assets. An entity shall derecognize a financial asset when, and only when:

- the contractual rights to the cash flows from the financial asset expire; or
- the Group transfers the contractual rights to receive the cash flows of the financial asset or retains the contractual rights to receive the cash flows of the financial assets, but assumes a contractual obligation to pay the cash flows to one or more recipients in an arrangement where:
 - a. the Group has no obligation to pay amounts to the eventual recipients unless it collects equivalent amounts from the original asset. Short-term advances by the entity with the right of full recovery of the amount lent plus accrued interest at market rates do not violate this condition;
 - b. the Group is prohibited by the terms of the transfer contract from selling or pledging the original asset other than as security to the eventual recipients for the obligation to pay them cash flows; and
 - c. the Group has an obligation to remit any cash flows it collects on behalf of the eventual recipients without material delay. In addition, the entity is not entitled to reinvest such cash flows, except for investments in cash or cash equivalents during the short settlement period from the collection date to the date of required remittance to the eventual recipients, and interest earned on such investments is passed to the eventual recipients.

When the Group transfers a financial asset, it evaluates the extent to which it retains the risks and rewards of ownership of the financial asset. The transfer of risks and rewards is evaluated by comparing the Group's exposure, before and after the transfer, with the variability in the amounts and timing of the net cash flows of the transferred asset. The Group has retained substantially all the risks and rewards of ownership of a financial asset if its exposure to the variability in the present value of the future net cash flows from the financial asset does not change significantly as a result of the transfer. The Group has transferred substantially all the risks and rewards of ownership of a financial asset if its exposure to such variability is no longer significant in relation to the total variability in the present value of the future net cash flows associated with the financial asset.

Financial Liabilities. A financial liability is derecognized when the obligation under the liability is discharged or cancelled or expires. When an existing financial liability is replaced by another from the same lender on substantially different terms, or the terms of an existing liability are substantially modified, such an exchange or modification is treated as the derecognition of the original liability and the recognition of a new liability. The difference in the respective carrying amounts is recognized in profit or loss.



Impairment of Financial Assets

The Group's accounting for impairment losses for financial assets uses a forward-looking expected credit loss (ECL) approach. ECL is based on the difference between the contractual cash flows due in accordance with the contract and all the cash flows the Group expects to receive. For cash in bank, cash equivalents and short-term investments, the Group has applied the General Approach and has calculated ECL based on 12-month ECL. For trade receivables, deposits and other current receivables, the Group has applied the simplified approach and has calculated ECL based on lifetime ECL. For debt financial assets at FVOCI, the Group has applied the General Approach and has calculated ECL based on either the 12-month ECL or lifetime ECL, if significant increase in credit risk (SICR) is established. The Group takes into consideration the Group's historical credit loss experience, adjusted for forward-looking factors specific to the debtors and the economic environment.

Definition of Default and Credit-impaired Financial Assets. The Group defines a financial instrument as in default, which is fully aligned with the definition of credit-impaired, when it meets one or more of the following criteria:

- *Quantitative Criteria.* For trade receivables and all other financial assets subject to impairment, default occurs when the receivable becomes 90 days past due.
- *Qualitative Criteria.* The counterparty meets unlikeliness to pay criteria, which indicates the borrower is in significant financial difficulty. These are instances where:
 - a. The counterparty is experiencing financial difficulty or is insolvent;
 - b. The counterparty is in breach of financial covenant(s);
 - c. An active market for that financial assets has disappeared because of financial difficulties;
 - d. Concessions have been granted by the Group, for economic or contractual reasons relating to the counterparty's financial difficulty;
 - e. It is becoming probable that the counterparty will enter bankruptcy or other financial reorganization; or
 - f. Financial assets are purchased or originated at a deep discount that reflects the incurred credit losses.

The criteria above have been applied to all financial instruments held by the Group and are consistent with the definition of default used for internal credit risk management purposes. The default definition has been applied consistently to the ECL models throughout the Group's expected loss calculation.

Incorporation of Forward-looking Information. The Group incorporates forward-looking information into both its assessment of whether the credit risk of an instrument has increased significantly since its initial recognition and its measurement of ECL. To do this, the Group has considered a range of relevant forward-looking macro-economic assumptions for the determination of unbiased general industry adjustments and any related specific industry adjustments that support the calculation of ECLs.

Based on the Group's evaluation and assessment and after taking into consideration external actual and forecast information, the Group considers two or more economic scenarios and the relative probabilities of each outcome. External information includes economic data and forecasts published by governmental bodies, monetary authorities and selected private-sector and academic institutions.



The Group has identified and documented key drivers of credit risk and credit losses of each portfolio of financial instruments and, using an analysis of historical data, has estimated relationships between macro-economic variables and credit risk and credit losses. The Group considers macro-economic factors such as GDP growth rates and inflation rates of selected countries in its analysis.

Predicted relationship between the key indicators and default and loss rates on portfolios of financial assets have been developed based on analyzing historical data over the past 5 years. The methodologies and assumptions including any forecasts of future economic conditions are reviewed regularly.

The Group has not identified any uncertain event that is relevant to its assessment of the risk of default occurring on the financial instrument.

Determining the Stage for Impairment. At each reporting date, the Group assesses whether there has been a significant increase in credit risk for financial assets since initial recognition by comparing the risk of default occurring over the expected life between the reporting date and the date of initial recognition. The Group considers reasonable and supportable information that is relevant and available without undue cost or effort for this purpose. This includes quantitative and qualitative information and forward-looking analysis.

Exposures that have not deteriorated significantly since origination, or where the deterioration remains within the Group's investment grade criteria are considered to have a low credit risk. The provision for credit losses for these financial assets is based on a 12-month ECL. The low credit risk exemption has been applied on debt investments that meet the investment grade criteria of the Group from the time of origination.

An exposure will migrate through the ECL stages as asset quality deteriorates. If, in a subsequent period, asset quality improves and also reverses any previously assessed significant increase in credit risk since origination, then the loss allowance measurement reverts from lifetime ECL to 12-months ECL.

Grouping of Instruments for Losses Measured on Collective Basis. For expected credit loss provisions modelled on a collective basis, a grouping of exposures is performed on the basis of shared risk characteristics, such that risk exposures within a group are homogeneous. In performing this grouping, there must be sufficient information for the Group to be statistically credible. Where sufficient information is not available internally, the Group has considered benchmarking internal/external supplementary data to use for modelling purposes. The characteristics and any supplementary data used to determine groupings are outlined below.

Trade receivables - Groupings for collective measurement:

- a. Trading Participants
- b. Listed Companies
- c. Data Vendors

The following credit exposures are assessed individually:

- All Stage 3 assets, regardless of the class of financial assets
- The cash and cash equivalents, investment in debt securities and other long-term investments, and other financial assets

Write-off Policy. The financial exposures of the Group are written-off based on Management's decision of whether receivables from counterparties are still collectible or not.



Offsetting of Financial Instruments

Financial assets and financial liabilities are offset and the net amount is reported in the consolidated statement of financial position if, and only if, there is a currently enforceable legal right to offset the recognized amounts and there is an intention to settle on a net basis, or to realize the assets and settle the liabilities simultaneously. The Group assesses that it has a currently enforceable right of offset if the right is not contingent on a future event, and is legally enforceable in the normal course of business, event of default, and event of insolvency or bankruptcy of the Group and all of the counterparties.

Other Current Assets

Other current assets include prepaid expenses which are expenses paid in advance and recorded as asset before they are utilized; and security deposits, which are given to the lessor for the faithful compliance of all the Group's obligations under the lease contract and are refundable when the lease expires, which is expected to be within the next year. These are measured at cost.

Value-added Tax (VAT)

Revenue, expenses and assets are recognized, net of the amount of VAT. The net amount of VAT recoverable from, or payable to, the taxable authority is included as part of "Other current assets" or "Accounts payable and other current liabilities" accounts in the consolidated statement of financial position.

Property and Equipment

Property and equipment is stated at cost less accumulated depreciation and any impairment in value.

The initial cost of property and equipment comprises its purchase price and any directly attributable costs in bringing the asset to its working condition and location for its intended use. Expenditures incurred after the property and equipment have been put into operation, such as repairs and maintenance, are charged against current operations.

Depreciation is calculated using the straight-line method over the following estimated useful lives of the depreciable assets:

Buildings	25 years
Building improvements	10 years
Trading system equipment	3 to 7 years
Computer hardware and peripherals	3 to 5 years
Transportation equipment	3 to 5 years
Office furniture, fixtures, communication equipment and others	2 to 5 years

The residual values, useful lives and methods of depreciation are reviewed at each financial year-end, and adjusted prospectively, if appropriate.

Fully depreciated assets are retained in the accounts until these are no longer in use and no further depreciation is credited or charged to current operations.

An item of property and equipment is derecognized upon disposal or when no future economic benefits are expected from its use or disposal. Any gain or loss arising on derecognition of the asset, calculated as the difference between the net disposal proceeds and the carrying amount of the asset, is included in the profit or loss in the year the asset is derecognized.



Construction in progress represents assets under construction and is stated at cost less any impairment in value. This includes the cost of construction and other direct costs. Construction in progress is not depreciated until such time that the relevant assets are completed and readily for use.

Investment Property

Investment property comprises building and building improvements. Investment property is held by the Group for capital appreciation and/or rental income purposes. Investment property is measured initially at cost, including transaction costs, less accumulated depreciation and accumulated impairment in value. The carrying amount includes the cost of replacing part of an existing investment property at the time that cost is incurred if the recognition criteria are met and excludes the costs of day-to-day servicing of an investment property.

Depreciation and amortization are calculated on a straight-line basis over the estimated useful life of 25 years.

The residual values, useful lives and methods of depreciation are reviewed at each financial year-end, and adjusted prospectively, if appropriate.

Investment property is derecognized when disposed of or when the investment property is permanently withdrawn from use and no future economic benefit is expected from its disposal. Any gains or losses on the retirement or disposal of an investment property are recognized in the profit or loss in the year of retirement or disposal.

Transfers are made to (or from) investment property only when there is a change in use. For a transfer from investment property to owner occupied property, the deemed cost for subsequent accounting is the fair value at the date of change in use. If owner-occupied property becomes an investment property, the Group accounts for such property in accordance with the policy stated under property and equipment up to the date of change in use.

Construction in progress classified under investment property are carried at cost and transferred to the related investment property account when the construction and related activities to prepare the property for its intended use are complete, and the property is ready for occupation. Construction-in-progress is not depreciated until such time that the relevant assets are completed and are ready for use.

Computer Software

Costs associated with developing or maintaining computer software programs are recognized as expense when incurred. Costs that are directly associated with identifiable and unique software controlled by the Group and will generate economic benefits exceeding costs beyond one year, are recognized as intangible assets.

Computer software development costs recognized as assets are measured on initial recognition at cost. Following initial recognition, computer software development costs are amortized using the straight-line method over their estimated useful life, but not exceeding a period of seven (7) years.

The amortization period and amortization method for computer software are reviewed at least at the end of each reporting period.

An intangible asset is derecognized upon disposal (i.e., at the date the recipient obtains control) or when no future economic benefits are expected from its use or disposal. Any gain or loss arising upon derecognition and asset is included in the profit or loss.



Investment in an Associate

An associate is an entity over which the Group has significant influence. Significant influence is the power to participate in the financial and operating policy decisions of the investee, but is not control or joint control over those policies.

The considerations made in determining significant influence are similar to those necessary to determine control over subsidiaries. The Group's investment in an associate is accounted for under the equity method.

Under the equity method, investment in an associate is initially recognized at cost. The carrying amount of the investment is adjusted to recognize changes in the Group's share in the net asset of the associate since the acquisition date. Goodwill relating to the associate is included in the carrying amount of the investment and is not tested for impairment individually.

Profit or loss reflects the Parent Company's share in the result of operations of the associate. Any change in OCI of those investees is presented as part of the Group's OCI. In addition, where there has been a change recognized directly in the equity of the associate, the Group recognizes its share in any changes and discloses this, when applicable, in the consolidated statement of comprehensive income.

The aggregate of the Group's share of profit or loss of an associate is shown on the face of the consolidated statement of comprehensive income outside operating profit and represents profit or loss after tax and non-controlling interests in the subsidiaries of the associate. If the Group's share of losses of an associate equals or exceeds its interest on the associate, the Group discontinues recognizing its share of further losses.

The financial statements of the associate are prepared for the same reporting date as the Group. The accounting policies of the associate conform to those used by the Group for like transactions and events in similar circumstances.

After application of the equity method, the Group determines whether it is necessary to recognize an impairment loss on its investment in its associate. At each reporting date, the Group determines whether there is objective evidence that the investment in the associate is impaired. If there is such evidence, the Group calculates the amount of impairment as the difference between the recoverable amount of the associate and its carrying value, and then recognized the loss as part of "Equity in net income/loss of an associate" account in the consolidated statement of comprehensive income.

Upon loss of significant influence over the associate, the Group measures and recognized any retained investment at its fair value. Any difference between the carrying amount of the associate upon loss of significant influence and the fair value of the retained investment and proceeds from disposal is recognized in the consolidated statement of comprehensive income.

Impairment of Nonfinancial Assets

The carrying values of property and equipment, investment property, right-of-use assets, computer software and investment in an associate are reviewed for impairment when events or changes in circumstances indicate that the carrying value may not be recoverable. If any such indication exists, and if the carrying values exceeds the estimated recoverable amounts, the assets are written down to their recoverable amounts. The recoverable amount of the asset is the greater of fair value less costs to sell or value in use. The fair value less costs to sell is the amount obtainable from the sale of an asset in an arm's-length transaction between knowledgeable, willing parties, less costs of disposal. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks



specific to the asset. Impairment losses are recognized in profit or loss in those expense categories consistent with the function of the impaired asset.

An assessment is made at each reporting date as to whether there is any indication that previously recognized impairment loss may no longer exist or may have decreased. If such indication exists, the recoverable amount is estimated. A previously recognized impairment loss is reversed only if there has been a change in the estimates used to determine the asset's recoverable amount since the last impairment loss was recognized. If that is the case, the carrying amount of the asset is increased to its recoverable amount. That increased amount cannot exceed the carrying amount that would have been determined, net of depreciation and amortization, had no impairment loss been recognized for the asset in prior years. Such reversal is recognized in the profit or loss. After such a reversal, the depreciation or amortization charge is adjusted in future periods to allocate the asset's revised carrying amount, less any residual value, on a systematic basis over its remaining useful life.

Deferred Fees and Others

Deferred fees and others include deferred output VAT which is reported as output VAT upon collection of related receivable and fees for the "Bull Run" and other sponsorship events which are collected but not yet earned as at reporting date.

Capital Stock and Additional Paid-in Capital

Capital stock is measured at par value for all shares issued. Incremental costs incurred directly attributable to the issuance of new shares are shown in equity as a deduction from proceeds, net of tax. Proceeds and/or fair value of considerations received in excess of par value are recognized as additional paid-in capital.

Subscribed Capital Stock / Subscription Receivable

Subscribed shares are the shares of stock that will be issued upon completion of an installment purchase contract with an investor. Subscribed shares are presented net of subscription receivable.

Treasury Shares

The Parent Company's own equity instruments which are acquired (treasury shares) are deducted from equity and accounted for at cost. No gain or loss is recognized in the profit or loss on the purchase, sale, issue or cancellation of the Parent Company's own equity instruments. Any difference between the carrying amount and the consideration, if reissued, is recognized in additional paid-in capital.

Retained Earnings

Retained earnings represent accumulated earnings, net of dividends declared and the cumulative effect of the retrospective application of change in accounting policy.

Donated Capital and Donation Income

Donations received, other than those contributions from equity participants, are recognized as income on the date of donation. Donations in kind are recognized at the fair value of asset received. Donated capital becomes available for dividend declaration when all conditions or restrictions are met such that the asset received will be for the exclusive use of the Exchange for at least a period of five (5) to ten (10) years from the date of the occupancy or turnover of the asset.

Dividends on Common Shares

Dividends on common shares are recognized as a liability and deducted from equity when approved by the BOD of the Parent Company. Dividends for the year that are approved after the reporting date are dealt with as an event after the reporting date.



Employee Stock Purchase Plan

All regular employees in good standing are granted options to purchase shares, subject to restrictions, terms and conditions provided in the Employee Stock Purchase Plan (ESPP). ESPP is considered an equity-settled transaction.

The cost of equity-settled transactions is measured by reference to the fair value at the date on which these are granted. The fair value is determined using the quoted market price at the time of payment.

The cost of equity-settled transactions is recognized with a corresponding increase in the equity, over the period in which the performance and/or service conditions are fulfilled, ending on the date on which the relevant employees become fully entitled to the award (vesting date). The cumulative expense recognized for equity-settled transactions at each reporting date until the vesting date reflects the extent to which the vesting period has expired and the Group's best estimate of the number of equity instruments that will ultimately vest. The amount reflected in the profit or loss represents the movement in cumulative expense recognized as at the beginning and end of the period. No expense is recognized for awards that do not ultimately vest.

Revenue Recognition

The following is a description of the principal activities separated by reportable segments from which the Group generates its revenue.

Listing-related revenues mainly pertain to fees from approved applications for Initial Public Offering (IPO) and additional listings in the PSE Main and Small, Medium and Emerging boards. The Exchange also recognizes annual fees for maintenance of listings which are directly affected by the change in number of shares and market price.

Listing-related Fees

Filing or Listing Fees. Based on the revised rules for listing applications, the Exchange's processing fees shall be discontinued and filing fees shall be paid in full upon filing of the applications for IPO and additional listings with the Exchange. The filing fees are non-refundable and are computed and billed based on (%) of market capitalization.

Revenue is recognized using percentage of hours spent on the relevant activities of the departments performing the listing service upon listing and over the listed companies' average listing life of fifteen (15) years.

Listing Maintenance Fees. These are annual fee paid by listed customer based on percentage of market capitalization. Revenue is earned by means of providing ongoing market access and maintenance of the listing (for example, maintaining technology, regulatory oversight and general operation). Revenue is recognized over-time by spreading out through the year.

Processing Fees. These are non-refundable upfront fees paid to administer the requirements of the applying customer before the approval to listing. Revenue is recognized upon receipt of the payment and services are rendered on a period of 20-30 days. The Parent Company recognizes processing fees at point in time upon the receipt of payment from customers.

Service-related Fees

Service fees are revenue from services provided by the subsidiaries (SCCP and CMIC). These include Settlement and Clearing Services from SCCP; Seminars and Management Services from CMIC.



Settlement and Clearing Fee. These are income from services provided to clearing members that includes risk management functions during the settlement and clearing process of any eligible trades. Revenue from these services is recognized at a point in time.

Custodial Fee. Revenue is recognized for custody and management of the funds of suspended trading participants as well as for services in the settlement of customer claims.

Audit Fee. Revenue is recognized for the conduct of monthly audit in the absence of an Associated Person. Revenue is recognized when the services are rendered.

Seminar Fee. These are income from seminars and trainings conducted for the TP. Revenue is recognized when services are rendered.

Trading-related Fees

Trading related fees are revenues that are directly affected by the trading volume of the Exchange for the period. These include Transaction/Block Sales, Data Feed and Subscription Fees.

Transaction Fees. These are revenues billed based on 0.005% of the peso value of the volume of the buying and selling of shares of stocks by Investors to Trading Participants/Brokers of the Parent Company. Revenue is recognized at point in time once the trading transaction is completed.

Data Feed Fees. This revenue account consists of subscription and data feed fees paid by the data feed customers for the access to market data other than those basic information posted in the Exchange's disclosure website. Revenue is recognized over time on a monthly basis.

Block Sales. This revenue pertains to income computed from 0.005% of the peso value of the volume of the block sale transactions. Block sales are pre-arranged stock transactions by and among the broker dealers' clients or among two brokers representing their clients whose trading transactions do not go below ₱20.0 million. Revenue is recognized at point in time once the block sale transaction is completed.

Subscription Fees. These are fees paid by the Trading Participants to allow them to transact in trading activities with the PSE through access in different PSE trading sites and facilities. Revenue is recognized over the period covered by the subscription.

Contract Balances

- *Trade Receivables.* A receivable represents the Group's right to an amount of consideration that is unconditional (i.e., only the passage of time is required before payment of the consideration is due).
- *Contract Assets.* A contract asset is the right to consideration in exchange for goods or services transferred to the customer. If the Group performs by transferring goods or services to a customer before the customer pays consideration or before payment is due, a contract asset is recognized for the earned consideration that is conditional.
- *Contract Liabilities.* A contract liability is the obligation to transfer goods or services to a customer for which the Group has received consideration or an amount of consideration is due from the customer. If a customer pays consideration before the Group transfers goods or services to the customer, a contract liability is recognized when the payment is made or the payment is due, whichever is earlier. If the revenue recognized which is determined based average period of



listing is lower than the amount collected as of date arising from the contract with the customer, a contract liability is recognized for the difference.

Interest Income. Revenue is recognized as the interest accrues, taking into account the effective yield of the asset.

Dividend Income. Dividend income is recognized when the Group's right to receive the dividend payment is established.

Expense Recognition

Expenses are recognized in the profit or loss when a decrease in future economic benefit related to a decrease in an asset or an increase in a liability has arisen that can be measured reliably. Expenses are recognized in the profit or loss on the basis of a direct association between the costs incurred and the earning of specific items of income; on the basis of systematic and rational allocation procedures when economic benefits are expected to arise over several accounting periods and the association with income can only be broadly or indirectly determined; or immediately when an expenditure produces no future economic benefits or when, and to the extent that, future economic benefits do not qualify, cease to qualify, for recognition in the consolidated statements of financial position as an asset.

Costs of Services. Costs of services constitute expenses that arise in the course of the ordinary activities of the Group and recognized as expenses once incurred. These normally include costs related to the performance and delivery of services to customers.

General and Administrative Expenses. General and administrative expenses constitute costs of administering the business and are recognized as expenses once incurred.

Pension and Other Post-employment Benefits

The Parent Company has a funded noncontributory defined benefit retirement plan while SCCP has unfunded noncontributory defined benefit retirement plan. CMIC does not have an established retirement plan and only conforms to the minimum regulatory benefit under the Retirement Pay Law (RA 7641). The retirement fund of the Parent Company is being administered by its trustees. The Group's retirement cost is actuarially determined using the projected unit credit method. This method reflects services rendered by employees to the date of valuation and incorporates assumptions concerning employees' projected salaries.

Defined Benefit Plan. The net defined benefit liability or asset is the aggregate of the present value of the defined benefit obligation at the end of the reporting date reduced by the fair value of plan assets (if any), adjusted for any effect of limiting a net defined benefit asset to the asset ceiling. The asset ceiling is the present value of any economic benefits available in the form of refunds from the plan or reductions in future contributions to the plan.

Defined benefit costs comprise the following:

- Service cost;
- Net interest on the net defined benefit liability or asset; and
- Remeasurements of net defined benefit liability or asset.

Service costs which include current service costs, past service costs and gains or losses on non-routine settlements are recognized as expense in profit or loss. Past service costs are recognized when plan amendment or curtailment occurs. These amounts are calculated periodically by independent qualified actuaries.



Net interest on the net defined benefit liability or asset is the change during the period in the net defined benefit liability or asset that arises from the passage of time which is determined by applying the discount rate based on government bonds to the net defined benefit liability or asset. Net interest on the net defined benefit liability or asset is recognized as expense or income in profit or loss.

Remeasurements comprising actuarial gains and losses, return on plan assets and any change in the effect of the asset ceiling (excluding net interest on defined benefit liability) are recognized immediately in OCI in the period in which these arise. Remeasurements are not reclassified to profit or loss in subsequent periods.

Plan assets are assets that are held by a long-term employee benefit fund. Plan assets are not available to the creditors of the Group, nor can these be paid directly to the Group. Fair value of plan assets is based on market price information. When no market price is available, the fair value of plan assets is estimated by discounting expected future cash flows using a discount rate that reflects both the risk associated with the plan assets and the maturity or expected disposal date of those assets (or, if they have no maturity, the expected period until the settlement of the related obligations). If the fair value of the plan assets is higher than the present value of the defined benefit obligation, the measurement of the resulting defined benefit asset is limited to the present value of economic benefits available in the form of refunds from the plan or reductions in future contributions to the plan.

The Group's right to be reimbursed of some or all of the expenditure required to settle a defined benefit obligation is recognized as a separate asset at fair value when and only when reimbursement is virtually certain.

Profit Sharing and Bonus Plans. The Group recognizes a liability and an expense for bonuses and profit-sharing based on a formula that takes into consideration the profit attributable to the Parent Company's shareholders after certain adjustments. The Group recognizes a provision where it is contractually obliged to pay the benefits, or where there is a past practice that has created a constructive obligation.

Employee Leave Entitlements. Compensated absences are recognized for the number of paid leave days (including holiday entitlement) remaining at the end of the reporting date. These are included in "Accounts payable and other current liabilities" account in the consolidated statement of financial position at the undiscounted amount that the Group expects to settle within one year from the end of the reporting date as a result of the unused entitlement. The liability for entitlements expected to be settled beyond one year after the end of the reporting date are recognized under "Pension liability and others" account in the consolidated statement of financial position and measured at the present value of the benefit as at the end of the reporting date.

Termination Benefits. Termination benefits are payable when employment is terminated by the Group before the normal retirement date, or whenever an employee accepts voluntary redundancy in exchange for these benefits. The Group recognizes termination benefits at the earlier of when it can no longer withdraw the offer of such benefits and when it recognizes costs for a restructuring that is within the scope of PAS 37, *Provisions, Contingent Liabilities and Contingent Assets* and involves the payment of termination benefits. In the case of an offer made to encourage voluntary redundancy, the termination benefits are measured based on the number of employees expected to accept the offer. Benefits falling due more than 12 months after the reporting date are discounted to their present value.



Leases

The Group assesses at contract inception whether a contract is, or contains, a lease. That is, if the contract conveys the right to control the use of an identified asset for a period of time in exchange for consideration.

Group as a Lessee. The Group applies a single recognition and measurement approach for all leases, except for short-term leases and leases of low-value assets. The Group recognizes lease liabilities to make lease payments and right-of-use assets representing the right to use the underlying assets.

- *Right-of-use Assets.* The Group recognizes right-of-use assets at the commencement date of the lease (i.e., the date the underlying asset is available for use). Right-of-use assets are measured at cost, less any accumulated depreciation and impairment losses, and adjusted for any remeasurement of lease liabilities. The cost of right-of-use assets includes the amount of lease liabilities recognized, initial direct costs incurred, and lease payments made at or before the commencement date less any lease incentives received and estimate of costs to be incurred by the lessee in dismantling and removing the underlying asset, restoring the site on which it is located or restoring the underlying asset to the condition required by the terms and conditions of the lease. Unless the Group is reasonably certain to obtain ownership of the leased asset at the end of the lease term recognized.

Right-of-use assets are depreciated on a straight-line basis over the shorter of its estimated useful life and the lease term as follows:

Data recovery sites	3 to 5 years
Office space	6 years

Right-of-use assets are subject to impairment. Refer to the accounting policies in the section on impairment of nonfinancial assets.

- *Lease Liabilities.* At the commencement date of the lease, the Group recognizes lease liabilities measured at the present value of lease payments to be made over the lease term. The lease payments include fixed payments (including in-substance fixed payments) less any lease incentives receivable, variable lease payments that depend on an index or a rate, and amounts expected to be paid under residual value guarantees. Variable payments that do not depend on an index or a rate are as recognized as expense in the period in which the event or condition that triggers the payment occurs.

In calculating the present value of lease payments, the Group uses its IBR at the lease commencement date because the interest rate implicit in the lease is not readily determinable. After the commencement date, the amount of lease liabilities is increased to reflect the accretion of interest and reduced for the lease payments made. In addition, the carrying amount of lease liabilities is remeasured if there is a modification, a change in the lease term, a change in the in-substance fixed lease payments or a change in the assessment to purchase the underlying asset.

Group as a Lessor. Leases where the Exchange does not transfer to the lessee substantially all the risks and rewards incidental to ownership of an asset are classified as operating leases. Lease income arising is accounted for on a straight-line basis over the lease terms and are recognized as revenue in the statement of comprehensive income due to its operating nature.



Income Taxes

Current Income Tax. Current tax assets and liabilities are measured at the amount expected to be recovered from or paid to the taxation authorities. The tax rates and tax laws used to compute the amount are those that are enacted or substantively enacted at reporting date.

Deferred Income Tax. Deferred tax is provided, using the balance sheet liability method, on all temporary differences at reporting date between the tax bases of assets and liabilities and their carrying amounts for financial reporting purposes at the reporting date.

Deferred tax assets are recognized for all deductible temporary differences, carryforward of unused tax credits from excess minimum corporate income tax (MCIT) over regular corporate income tax (RCIT) and net operating loss carry over (NOLCO), to the extent that it is probable that taxable profit will be available against which the deductible temporary differences and carryforward benefits of excess of MCIT over the RCIT and NOLCO can be utilized, except:

- Where the deferred tax asset relating to the deductible temporary difference arises from the initial recognition of an asset or liability in a transaction that is not a business combination and, at the time of the transaction, affects neither the accounting profit nor taxable profit; and
- In respect of deductible temporary differences associated with investments in subsidiaries, associates and interests in joint ventures, deferred tax assets are recognized only to the extent that it is probable that the temporary differences will reverse in the foreseeable future and taxable profit will be available against which the temporary differences can be utilized.

The carrying amount of deferred tax assets is reviewed at each reporting date and reduced to the extent that it is no longer probable that sufficient taxable profit will be available to allow all or part of the deferred tax assets to be utilized. Unrecognized deferred tax assets are reassessed at each reporting date and are recognized to the extent that it has become probable that future taxable profit will allow the deferred tax assets to be recovered.

Deferred income tax liabilities are recognized for all taxable temporary differences, except:

- Where the deferred income tax liability arises from the initial recognition of goodwill of an asset or liability in a transaction that is not a business combination and, at the time of the transaction, affects neither the accounting profit nor taxable profit; and
- In respect of taxable temporary differences associated with investments in subsidiaries, associates and interests in joint ventures, where the timing of the reversal of the temporary differences can be controlled and it is probable that the temporary differences will not reverse in the foreseeable future.

Deferred tax liabilities are not provided on nontaxable temporary differences associated with investment in subsidiaries.

Deferred tax assets and liabilities are measured at the tax rate applicable to the year when the asset is realized or the liability is settled, based on tax rates (and tax laws) that have been enacted or substantively enacted at reporting date.

Deferred tax assets and deferred tax liabilities are offset if a legally enforceable right exists to set off current tax assets against current tax liabilities and deferred taxes related to the same taxable entity and the same taxation authority.



Income tax relating to OCI is recognized in OCI section of the consolidated statement of comprehensive income.

Foreign Currency-denominated Transactions

Transactions in foreign currencies are recorded using the exchange rate at the date of the transactions. Foreign exchange gains or losses arising from foreign currency-denominated transactions and revaluation adjustments of foreign currency-denominated assets and liabilities are credited to or charged against current operations. Monetary assets and liabilities denominated in foreign currencies are translated using the closing rate prevailing at reporting date. All differences are taken to profit or loss. For income tax purposes, foreign exchange gains and losses are treated as taxable income or deductible expenses when realized.

Earnings Per Share (EPS)

Basic EPS is calculated by dividing the net income for the year attributable to ordinary equity holders of the Parent Company by the weighted average number of common shares outstanding during the year, with retroactive adjustments for any stock dividends declared, if any.

Diluted EPS is calculated by dividing the net income for the year attributable to ordinary equity holders of the Parent Company by the weighted average number of common shares outstanding during the year, adjusted for the effects of potential dilutive shares. Stocks under the ESPP are deemed to have been converted into shares on the date of grant.

Operating Segments

For management purpose, the Group is organized and managed under a single business segment, the equity securities market, which is the basis upon which the Parent Company reports its primary segment information.

Provisions

Provisions are recognized when the Group has a present obligation (legal or constructive) where, as a result of a past event, it is probable that an outflow of assets embodying economic benefits will be required to settle the obligation and a reliable estimate can be made of the amount of the obligation. If the effect of the time value of money is material, provisions are determined by discounting the expected future cash flows at a pre-tax rate that reflects current market assessments of the time value of money and, where appropriate, the risks specific to the liability. Where discounting is used, the increase in the provision due to the passage of time is recognized as interest expense. Where the Group expects a provision to be reimbursed, the reimbursement is recognized as a separate asset but only when the receipt of the reimbursement is virtually certain.

Contingencies

Contingent liabilities are not recognized in the consolidated financial statements. These are disclosed in the notes to the consolidated financial statements unless the possibility of an outflow of assets embodying economic benefits is remote. Contingent assets are not recognized in the consolidated financial statements but are disclosed in the notes to the consolidated financial statement when an inflow of economic benefits is probable.

Events after the Reporting Period

Post-year-end events that provide additional information about the Group's financial position at the end of the reporting period (adjusting events) are reflected in the consolidated financial statements. Post-year-end events that are not adjusting events, are disclosed in the notes to the consolidated financial statement when material.



4. Significant Accounting Judgments, Estimates and Assumptions

The preparation of the consolidated financial statements in accordance with PFRS requires the Group to make judgments, estimates and assumptions that affect the reported amounts of assets, liabilities, income and expenses and disclosure of contingent assets and contingent liabilities, at the end of the reporting date. Future events may occur which will cause the assumptions used in arriving at the estimates to change. The effects of any change in estimates are reflected in the consolidated financial statements as these become reasonably determinable.

Judgments and estimates are continually evaluated and are based on historical experience and other factors, including expectations of future events that are believed to be determinable under the circumstances.

Judgments

In the process of applying the Group's accounting policies, management has made the following judgments, apart from those involving estimates and assumptions, which have the most significant effect on the amounts recognized in the consolidated financial statements.

Identifying Performance Obligation for Listing Services. The Exchange provides listing services for approved applications for IPO and additional listings in the PSE Main and Small, Medium and Emerging boards. The Exchange determines that there is one performance obligation in the contract which is the service of being listed in the PSE.

Determination of Lease Term of Contracts with Renewal Options - The Group as a Lessee. The Group has lease contracts that include renewal options and termination options. The Group applies judgment in evaluating whether it is reasonably certain whether or not to exercise the option to renew or terminate the lease. That is, it considers all relevant factors that create an economic incentive for it to exercise either the renewal or termination. After the commencement date, the Group reassesses the lease term if there is a significant event or change in circumstances that is within its control and affects its ability to exercise or not to exercise the option to renew or to terminate.

The Group included the renewal period of one (1) year as part of the lease term for leases of data recovery sites with shorter non-cancellable period (i.e., 3 to 5 years). The Group typically exercises its option to renew for these leases because there will be a significant negative effect on operations if a replacement asset is not readily available.

Estimates and Assumptions

The key estimates and assumptions concerning the future and other key sources of estimation uncertainty at reporting date, that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year are discussed below. The Group based its assumptions and estimates on parameters available when the consolidated financial statements were prepared. Existing circumstances and assumptions about future developments, however, may change due to market changes or circumstances arising beyond the control of the Group. Such changes are reflected in the assumptions when these occur.

Estimation of Service Period and Determination of the Timing of Revenue Recognition for Listing Services. The Exchange applies judgment and estimates on the identification and timing of satisfaction of performance obligations. The Exchange determines the service period and percentage of services rendered using historical analysis of listing durations and experience. The estimated service period and percentage of services rendered are reassessed at each reporting period to properly reflect the Exchange's best estimate. Listing-related fees are recognized using percentage of hours



spent on the relevant activities of the departments performing the listing service upon listing and over the listed companies' average listing life of fifteen (15) years.

Revenue from listing fees amounted to ₱406.56 million, ₱504.52 million and ₱345.84 million for the years ended December 31, 2022, 2021 and 2020, respectively (see Note 20).

Leases - Estimating the IBR. The Group cannot readily determine the interest in the lease, therefore, it uses its IBR to measure lease liabilities. The IBR is the rate of interest that the Group would have to pay to borrow over a similar term, and with a similar security, the funds necessary to obtain an asset of a similar value to the right-of-use asset in a similar economic environment. The IBR therefore reflects what the Group 'would have to pay', which requires estimation when no observable rates are available (such as for entities that do not enter into financing transactions) or when they need to be adjusted to reflect the terms and conditions of the lease. The Group estimates the IBR using observable inputs (such as market interest rates) when available and is required to make certain entity-specific estimates (such as the entity's stand-alone credit rating).

The Group's lease liabilities amounted to ₱24.66 million and ₱36.68 million as at December 31, 2022 and 2021, respectively (see Note 26).

Impairment of Financial Assets at FVOCI. The Group takes into consideration the Group's historical credit loss experience, adjusted for forward-looking factors specific to the debtors and the economic environment in assessing the impairment of its financial assets at FVOCI. For debt financial assets at FVOCI, the Group has applied the General Approach and has calculated ECL based on either the 12-month ECL or lifetime ECL, if SICR is established.

There were no provisions for impairment losses on the financial assets at FVOCI for the years ended December 31, 2022, 2021 and 2020. The total carrying values of the financial assets at FVOCI amounted to ₱2,387.84 million and ₱3,664.51 million as at December 31, 2022 and 2021, respectively (see Note 9).

Impairment of Receivables. Allowance for doubtful accounts is maintained at a level considered adequate to provide for potentially uncollectible receivables. The level of allowance is based on the Group's historical credit loss experience and forward-looking factors specific to the debtors and the economic environment that may affect collectability. The Group applies the simplified approach designed to identify potential uncollectible receivables and is performed on a continuous basis throughout the period.

There were no provisions for impairment of receivables for the years ended December 31, 2022, 2021 and 2020. The carrying values of receivables amounted to ₱143.14 million and ₱130.99 million as at December 31, 2022 and 2021, respectively (see Note 10).

Recoverability of Property and Equipment, Investment Property, Right-of-use Assets and Computer Software. The Group performs impairment review of property and equipment, investment property, right-of-use assets and computer software when certain impairment indicators are present. Determining the fair value of assets, which requires the determination of future cash flows expected to be generated from the continued use and ultimate disposition of such assets, requires the Group to make estimates and assumptions that can materially affect the consolidated financial statements. Future events could cause the Group to conclude that the assets are impaired. Any resulting impairment loss could have a material adverse impact on the Group's financial position and performance.



There were no provisions for impairment of property and equipment, investment property, right-of-use assets and computer software for the years ended December 31, 2022, 2021 and 2020 (see Notes 12, 13, 15 and 26).

The carrying values of property and equipment, investment property, right-of-use assets and computer software as at December 31 are as follows:

	2022	2021
Property and equipment (see Note 12)	₱1,097,492,093	₱1,171,152,314
Investment property (see Note 13)	140,241,300	148,781,132
Right-of-use assets (see Note 26)	16,905,132	33,380,586
Computer software (see Note 15)	11,179,390	6,806,706

Estimation of Useful Lives of Property and Equipment, Computer Software and Investment Property.

The Group estimated the useful lives of its property and equipment, computer software and investment property based on the period over which the assets are expected to be available for use. The Group reviews annually the estimated useful lives based on factors that include asset utilization, internal technical evaluation, technological changes, and anticipated use of the assets. A reduction in the estimated useful lives of property and equipment, computer software and investment property would increase the recorded depreciation and amortization expense and decrease the related assets.

There were no changes in the estimated useful lives of the Group's property and equipment and computer software as at December 31, 2022 and 2021. Following the completion of the renovation work of the investment property in October 2021, the Exchange reassessed its estimated useful life from 3 years to 25 years. The decrease in the depreciation expense as a result of the change in estimated useful life of investment property is not material to the consolidated financial statements.

Impairment of Investment in an Associate. The Group assesses impairment on its investment in an associate whenever events or changes in circumstances indicate that the carrying amount of an asset may not be recoverable. Among others, the factors that the Group considers important which could trigger an impairment review on its investment in an associate include the following:

- Deteriorating or poor financial condition;
- Recurring net losses; and
- Significant changes with an adverse effect on the technological, market, economic, or legal environment in which the associate operates have taken place during the period, or will take place in the near future.

There was no provision for impairment losses on the investment in an associate for the years ended December 31, 2022, 2021 and 2020. The carrying value of the investment in an associate amounted to ₱290.33 million and ₱294.02 million as at December 31, 2022 and 2021, respectively (see Note 14).

Provisions. The Group recognizes a provision for an obligation resulting from a past event when it has assessed that it is probable that an outflow of resources will be required to settle the obligation and a reliable estimate can be made of the amount of the obligation. These assessments are made based on available evidence, including the opinion of experts. Future events and developments may result in changes in these assessments which may impact the Group's financial position and performance (see Note 32).



Present Value of Pension and Other Employee Benefits. The present value of the pension obligations depends on a number of factors that are determined on an actuarial basis using a number of assumptions. The assumptions used in determining the net cost for pensions include discount rate and rate of salary increase.

The Group determines the appropriate discount rate at the end of each year. It is the interest rate that should be used to determine the present value of estimated future cash outflows expected to be required to settle the pension obligations. Other key assumptions for pension obligations are based in part on current market conditions. While it is believed that the Group's assumptions are reasonable and appropriate, significant differences in actual experience or significant changes in assumptions may materially affect the Group's pension obligations.

Employee leave entitlements that are expected to be settled within one year from reporting date is included in "Accounts payable and other current liabilities" account in the consolidated statement of financial position. Otherwise, this is included in "Pension liability and others" account in the consolidated statement of financial position.

The amounts of post-employment benefit obligation and expense and an analysis of the movements in the estimated present value of post-employment benefit obligation, as well as the significant assumptions in estimating such obligation, are presented in Note 28.

Net pension asset amounted to ₱51.67 million and ₱23.68 million as at December 31, 2022 and 2021, respectively. Pension liability and others amounted to ₱19.96 million and ₱22.63 million as at December 31, 2022 and 2021, respectively (see Note 28).

Recognition of Deferred Tax Assets. The carrying amount of deferred tax assets is reviewed at each reporting date. Deferred tax assets are recognized for all deductible temporary differences to the extent that it is probable that taxable profit will be available against which the deductible temporary differences can be utilized. The forecasted availability of taxable profit is based on past results and future expectations on revenue and expenses. Significant management judgment is required to determine the amount of deferred income tax assets that can be recognized, based upon the likely timing and level of future taxable profits together with future tax planning strategies.

As at December 31, 2022 and 2021, the Parent Company and CMIC recognized total deferred tax assets amounting to ₱321.92 million and ₱333.42 million, respectively. SCCP's deferred tax assets, which were not recognized due to the use of the Optional Standard Deduction (OSD) method amounted to ₱2.46 million and ₱2.91 million as at December 31, 2022 and 2021, respectively. Premier's unrecognized deferred tax assets amounted to ₱2.44 million and ₱2.79 million as at December 31, 2022 and 2021, respectively (see Note 27).

5. Financial Risk Management Objectives and Policies

The Group's principal financial instruments consist of cash and cash equivalents, short-term investments, financial assets at FVTPL and FVOCI. The main purpose of these financial instruments is to raise finances for the Group's operations. The Group has other financial assets and liabilities such as receivables, refundable security deposits, deposits in bank, claims under litigation, accounts payable and other current liabilities (excluding payable to government agencies) and lease liabilities, which arise directly from its operations. It is the Group's policy not to directly engage in the trading of financial instruments.



The main risks arising from the Group's financial instruments are liquidity risk, credit risk, equity price risk, interest rate risk and foreign currency risk. The Group's BOD, management and the Corporate Governance Officer review and agree on the policies of managing each of these risks as summarized below.

Liquidity Risk

Liquidity risk is the risk that an entity will encounter difficulty in raising funds to meet commitments associated with the financial instruments. Liquidity risk may result from the inability to sell financial assets quickly at their fair values.

The Group seeks to manage its liquidity profile to be able to service its maturing liabilities and to finance capital requirements. The Group maintains a level of cash and cash equivalents deemed sufficient to finance operations. As part of its liquidity risk management, the Group regularly evaluates its projected and actual cash flows. To meet the requirement for liquidity, adequate cash flow is provided for administrative operating expenditures and capital expenses based on projected funding requirements. All excess funds are invested in an organized investment mix of short-term and long-term investments to achieve maximum returns.

The tables below summarize the maturity profile of the financial assets held for liquidity purposes and financial liabilities based on remaining contractual undiscounted payments.

As at December 31, 2022					
	Within a Year	1-2 Years	More than Two Years	No Maturity Date	Total
Financial Assets					
Financial assets at amortized cost:					
Cash and cash equivalents	₱1,013,870,519	₱-	₱-	₱101,225	₱1,013,971,744
Short-term investments	412,092,641	-	-	-	412,092,641
Receivables:					
Receivables from:					
Trading participants	101,565,619	-	-	-	101,565,619
Data vendors	10,186,371	-	-	-	10,186,371
Listed companies	2,680,918	-	-	-	2,680,918
Accrued interest receivable	16,632,115	-	-	-	16,632,115
Receivable from other fund members	7,539,751	-	-	-	7,539,751
Others	1,747,754	-	-	-	1,747,754
Current security deposit	578,768	-	-	-	578,768
Other noncurrent assets:					
Refundable security deposits	-	-	32,432	-	32,432
Claims under litigation	-	-	51,166,892	-	51,166,892
Deposit in bank	-	-	344,814	-	344,814
Financial assets at FVTPL	1,017,012,561	-	-	3,000,000	1,020,012,561
Financial assets at FVOCI:					
Government debt securities -*					
Short-term	1,260,052,367	-	-	-	1,260,052,367
Long-term	-	295,538,074	756,722,650	-	1,052,260,724
Corporate bonds:*					
Short-term	2,991,834	-	-	-	2,991,834
Long-term	-	-	72,532,624	-	72,532,624
	₱3,846,951,218	₱295,538,074	₱880,799,412	₱3,101,225	₱5,026,389,929
Financial Liabilities					
Other financial liabilities:					
Accounts payable and other current liabilities:					
Due to SEC	(₱87,134,116)	₱-	₱-	₱-	(₱87,134,116)
Accrued expenses**	(45,053,503)	-	-	-	(45,053,503)
Trade payables	(23,759,306)	-	-	-	(23,759,306)
Others	(7,305,741)	-	-	-	(7,305,741)
Lease liabilities	(19,775,318)	(2,512,336)	(2,371,677)	-	(24,659,331)
	(₱183,027,984)	(₱2,512,336)	(₱2,371,677)	₱-	(₱187,911,997)

*Including interest.

**Excluding accrued taxes amounting to ₱4.76 million.



As at December 31, 2021					
	Within a Year	1–2 Years	More than Two Years	No Maturity Date	Total
Financial Assets					
Financial assets at amortized cost:					
Cash and cash equivalents	₱439,478,075	₱–	₱–	₱91,133	₱439,569,208
Receivables:					
Receivables from:					
Trading participants	101,963,647	–	–	–	101,963,647
Listed companies	3,877,233	–	–	–	3,877,233
Data vendors	5,931,971	–	–	–	5,931,971
Accrued interest receivable	4,118,960	–	–	–	4,118,960
Receivable from other fund members	8,956,372	–	–	–	8,956,372
Others	4,075,887	–	–	–	4,075,887
Current security deposit	317,464	–	–	–	317,464
Other noncurrent assets:					
Refundable security deposits	–	–	413,008	–	413,008
Deposits in bank	–	–	344,516	–	344,516
Financial assets at FVTPL	1,083,592,329	–	–	2,500,000	1,086,092,329
Financial assets at FVOCI:					
Government debt securities -*					
Short-term	2,957,797,168	–	–	–	2,957,797,168
Long-term	55,534,355	212,777,523	386,692,210	–	655,004,088
Corporate bonds:*					
Short-term	–	–	–	–	–
Long-term	1,670,398	4,437,755	34,365,678	–	40,473,831
	₱4,667,313,859	₱217,215,278	₱421,815,412	₱2,591,133	₱5,308,935,682
Financial Liabilities					
Other financial liabilities:					
Accounts payable and other current liabilities:					
Due to SEC	(₱113,949,272)	₱–	₱–	₱–	(₱113,949,272)
Trade payables	(36,227,740)	–	–	–	(36,227,740)
Accrued expenses**	(41,585,687)	–	–	–	(41,585,687)
Others	(1,373,961)	–	–	–	(1,373,961)
Lease liabilities	(21,868,224)	(12,656,643)	(5,083,100)	–	(39,607,967)
	(₱215,004,884)	(₱12,656,643)	(₱5,083,100)	₱–	(₱232,744,627)

*Including interest.

**Excluding accrued taxes amounting to ₱4.79 million.

Credit Risk

Credit risk refers to the potential loss arising from any failure by the Group's counterparties to fulfill their contractual obligations, as and when they fall due. The Group's credit exposure arises mainly from receivables from trading participants on clearing related services for securities transactions, membership fees and other fees, receivable from listed companies on listing maintenance fees and receivable from market data vendors for data feed charges. To minimize credit risk, the Group monitors the financial health of clearing participants and takes note of participants with potential default.

The credit risk of the Group's financial assets arises from default of the counterparty with maximum exposure equal to the carrying amounts of these financial instruments. The fair values of these financial instruments are disclosed in Note 6.

Credit Quality of Financial Assets

The credit quality of financial assets is grouped according to stage whose description is explained as follows:

Stage 1 - those that are considered current and up to 30 days past due, and based on change in rating, delinquencies and payment history, do not demonstrate significant increase in credit risk.



Stage 2 - those that, based on change in rating, delinquencies and payment history, demonstrate significant increase in credit risk, and/or are considered more than 30 days past due but does not demonstrate objective evidence of impairment as of reporting date.

Stage 3 - those that are considered in default or demonstrate objective evidence of impairment as of reporting date.

As at December 31, 2022				
	ECL Staging			Total
	Stage 1 12-month-ECL	Stage 2 Lifetime ECL	Stage 3 Lifetime ECL	
Financial assets at amortized cost:				
Cash and cash equivalents*	₱1,013,870,519	₱—	₱—	₱1,013,870,519
Short-term investments	412,092,641	—	—	412,092,641
Receivables:				
Receivables from:				
Trading participants	101,241,312	3,360	320,947	101,565,619
Listed companies	—	356,640	2,324,278	2,680,918
Data vendors	4,254,400	5,931,971	—	10,186,371
Accrued interest receivable	3,417,873	13,214,242	—	16,632,115
Receivable from other fund members	—	7,539,751	—	7,539,751
Others	1,508,138	—	239,616	1,747,754
Current security deposit	578,768	—	—	578,768
Other noncurrent assets:				
Claims under litigation	—	51,166,892	—	51,166,892
Refundable security deposits	—	32,432	—	32,432
Deposits in bank	—	344,814	—	344,814
Financial assets at FVOCI:				
Government debt securities:				
Short-term	1,263,044,201	—	—	1,263,044,201
Long-term	1,049,268,890	—	—	1,049,268,890
Corporate bonds:				
Short-term	—	—	—	—
Long-term	75,524,458	—	—	75,524,458
	₱3,924,801,200	₱78,590,102	₱2,884,841	₱4,006,276,143

*Excluding cash on hand amounting to ₱0.10 million.

As at December 31, 2021				
	ECL Staging			Total
	Stage 1 12-month-ECL	Stage 2 Lifetime ECL	Stage 3 Lifetime ECL	
Financial assets at amortized cost:				
Cash and cash equivalents*	₱439,478,075	₱—	₱—	₱439,478,075
Receivables:				
Receivables from:				
Trading participants	101,641,580	1,120	320,947	101,963,647
Listed companies	17,162	1,535,793	2,324,278	3,877,233
Data vendors	—	5,931,971	—	5,931,971
Accrued interest receivable	1,652,877	2,466,083	—	4,118,960
Receivable from other fund members	—	8,956,372	—	8,956,372
Others	4,375,720	—	239,616	4,615,336
Current security deposit	317,464	—	—	317,464
Other noncurrent assets:				
Refundable security deposits	—	413,008	—	413,008
Deposits in bank	—	344,516	—	344,516
Financial assets at FVOCI:				
Government debt securities:				
Short-term	2,945,526,509	—	—	2,945,526,509
Long-term	679,134,586	—	—	679,134,586
Corporate bonds:				
Short-term	—	—	—	—
Long-term	39,846,903	—	—	39,846,903
	₱4,211,990,876	₱19,648,863	₱2,884,841	₱4,234,524,580

*Excluding cash on hand amounting to ₱0.09 million.

The Group does not have any significant exposure to any individual customer or counterparty nor does it have any major concentration of credit risk related to any financial instrument.



In the selection of investment, capital preservation is the primary consideration of the Group. With this objective, funds are basically invested in government bonds and securities and duly registered with the Registry of Scripless Securities under the name of the Group.

The Head of Finance is responsible for the identification of investments that provide a relatively stable rate of return and endorses it to the Treasurer or President for approval. The Group is guided by a BOD who approved investment policy guidelines. Any exemption to the set policy is subject to the approval of the BOD. The Investments Committee assists the BOD in fulfilling its oversight responsibilities over the investment portfolio of the Exchange and investment activities of management.

Market Risk

The Group's market risk (the risk of loss to future earnings, to fair values or to future cash flows that may result from changes in market variables) originates from its holdings of debt and equity securities. The value of a financial instrument may change as a result of changes in equity price, interest rates, foreign currency exchanges rates and other market changes.

Equity Price Risk. The Group's exposure to equity price pertains to its investments in quoted equity shares which are classified under financial assets at FVTPL on the consolidated statements of financial position. Equity price risk arises from the changes in the levels of equity indices and the value of individual stocks traded in the stock exchange.

The Group's policy is to maintain the risk to an acceptable level by monitoring regularly the movement of share prices to determine the impact on its financial position.

The effect on profit or loss (as a result of change in fair value of financial assets at FVTPL as at December 31, 2022 and 2021) due to a possible change in equity indices, based on historical trend, with all other variables held constant is as follows:

	Change in Equity Price	Effect on Profit or Loss/Equity
	(In Millions)	
2022	+1.67%	₱13.01
	-1.67%	(13.01)
2021	+2.39%	₱7.17
	-2.39%	(7.17)

As at December 31, 2022 and 2021, the Group's exposure to equity price risk arising from equity securities investments is minimal.

Fair Value Interest Rate Risk. The Group follows a prudent policy on managing its assets and liabilities so as to ensure that exposure to fluctuations in interest rates are kept within acceptable limits. There are no floating rate financial assets and financial liabilities. Term deposits with banks and debt securities carry fixed rates throughout the period of deposit or placement.



The table below sets forth the sensitivity to a reasonable possible change in interest rates with all other variables held constant, of the Group's equity (through the impact on unrealized gain/loss on fixed rate debt financial assets at FVOCI).

	Effect on Equity	
	2022	2021
	(In Millions)	
Increase (decrease) in interest rates:		
+70 basis points	(P25.03)	(P22.40)
-70 basis points	25.77	23.11

Foreign Currency Risk. Foreign currency risk is the risk that the fair value of future cash flows of a financial instrument will fluctuate because of changes in foreign currency exchange rates. The Group's exposure to foreign currency risks arise primarily from US dollar transactions, mostly from cash and cash equivalents and receivables.

The Group's policy is to maintain foreign currency exposure within acceptable limits. The Group believes that its profile of foreign currency exposure on its assets and liabilities is within conservative limits.

The following table summarizes the exposure to foreign currency exchange risk as at December 31, 2022 and 2021:

	2022		2021	
	In USD	In Php	In USD	In Php
Financial assets:				
Financial assets at FVTPL	\$4,515,142	P251,741,716	\$5,102,033	P260,198,578
Cash and cash equivalents	2,660,298	148,324,942	2,253,817	114,942,405
Receivables	748,813	42,006,913	655,789	33,444,568
	\$7,924,253	P442,073,571	\$8,011,639	P408,585,551

In translating the foreign currency-denominated monetary assets and liabilities into Philippine peso amounts, the exchange rate used was P55.755 to US\$1.00 and P50.999 to US\$1.00, the Philippine peso to U.S. Dollar exchange rate as at December 31, 2022 and 2021, respectively.

The table below indicates the effect of increase or decrease in US dollar exchange rate on income before income tax to which the Group has substantial exposures on its financial assets. The result calculates the effect of a reasonably possible change in the spot rates, when all other variables are held constant. Negative values in the table reflect a potential reduction in income while a positive amount reflects a potential increase.

2022		2021	
USD Strengthens/ (Weakens)	Effect on Income before Tax (in millions)	USD Strengthens/ (Weakens)	Effect on Income before Tax (in millions)
9.33%	P38.37	6.20%	P25.32
(9.33%)	(38.37)	(6.20%)	(25.32)

The increase in P rate as against US\$ rate demonstrates weaker functional currency while the decrease represents stronger Philippine peso value.



There is no other impact on the equity other than those already affecting the consolidated statement of profit or loss.

6. Fair Value Measurement and Hierarchy

The following table sets forth the carrying values and estimated fair values of financial assets and liabilities, by category and by class, as at December 31, 2022 and 2021:

2022				
	Carrying Value	Fair Value		
		Quoted Prices in Active Markets (Level 1)	Significant Observable Inputs (Level 2)	Significant Unobservable Inputs (Level 3)
Assets measured at fair value				
Financial assets at FVTPL	₱1,020,012,561	₱1,017,012,561	₱3,000,000	₱—
Financial assets at FVOCI:				
Government securities:				
Current	1,263,044,201	—	1,263,044,201	—
Long-term	1,049,268,890	—	1,049,268,890	—
Corporate bonds:				
Current	—	—	—	—
Long-term	75,524,458	75,524,458	—	—
Financial assets at amortized cost:				
Claims under litigation	51,166,892	—	—	51,166,892
Deposits in bank	344,814	—	—	344,814
Refundable security deposits	32,432	—	—	32,432
	₱3,459,394,248	₱1,092,537,019	₱2,315,313,091	₱51,544,138
Liabilities measured at fair value -				
Noncurrent lease liabilities	₱4,884,013	₱—	₱—	₱4,824,883
2021				
	Carrying Value	Fair Value		
		Quoted Prices in Active Markets (Level 1)	Significant Observable Inputs (Level 2)	Significant Unobservable Inputs (Level 3)
Assets measured at fair value				
Financial assets at FVTPL	₱1,086,092,329	₱1,083,592,329	₱2,500,000	₱—
Financial assets at FVOCI:				
Government securities:				
Current	2,945,526,509	—	2,945,526,509	—
Long-term	679,134,586	—	679,134,586	—
Corporate bonds:				
Current	—	—	—	—
Long-term	39,846,903	39,846,903	—	—
Financial asset at amortized cost:				
Deposits in bank	344,516	—	—	344,516
Refundable security deposits	413,008	—	—	413,008
	₱4,751,357,851	₱1,123,439,232	₱3,627,161,095	₱757,524
Liabilities measured at fair value -				
Noncurrent lease liabilities	₱17,014,688	₱—	₱—	₱17,014,688



For the years ended December 31, 2022 and 2021, there were no transfers made among the three levels in the fair value hierarchy.

Cash and Cash Equivalents, Short-term Investments, Receivables excluding Advances to Employees, Current portion of Refundable Security Deposits and Deposits in Bank, Claims under Litigation, Accounts Payable, Current portion of Lease Liabilities and Other Current Liabilities excluding Payable to government agencies

The carrying amounts approximate the fair values because of their short-term nature or due to the immaterial effect of discounting when present value of future cash flows from these instruments are calculated.

Financial Assets at FVTPL

The fair values of the financial assets at FVTPL have been determined directly by reference to quoted prices in active markets or inputs other than quoted prices that are directly or indirectly observable.

Financial Assets at FVOCI

The fair values of the financial assets at FVOCI are determined by reference to quoted market price at the close of business.

Noncurrent Portion of Lease Liabilities

The fair value is based on the discounted value of expected future cash flows using the applicable interest rate.

7. Cash and Cash Equivalents

This account consists of:

	2022	2021
Cash on hand and in banks	₱148,905,141	₱110,583,623
Cash equivalents	865,066,603	328,985,585
	₱1,013,971,744	₱439,569,208

Cash in banks earn interest ranging from 0.625% in 2022 and 0.125% to 0.25% in 2021 bank deposit rates. Time deposits are made for varying periods with original maturity of three months or less from dates of placement and earn interest rates ranging from 0.5% to 6.625% in 2022 and 0.525% to 0.625% in 2021.

Interest income earned from cash and cash equivalents amounted to ₱18.93 million, ₱2.00 million and ₱30.16 million in 2022, 2021 and 2020, respectively (see Note 21).

8. Financial Assets at FVTPL

This account consists of investments in mutual funds and quoted equity securities.

The Group entered into an investment management agreement with third party banks for the disposition of its investible funds at the banks' discretion subject to the investment guidelines set by the Parent Company. The funds were invested in traded equity securities.

The fair value of the financial assets at FVTPL amounted to ₱1,020.01 million and ₱1,086.09 million as at December 31, 2022 and 2021, respectively.



Mark-to-market gain (loss) on financial assets at FVTPL amounted to (₱106.44 million), ₱27.05 million and (₱19.71 million) in 2022, 2021 and 2020, respectively.

Dividend income earned on financial assets at FVTPL amounted to ₱18.81 million, ₱13.24 million and ₱4.28 million in 2022, 2021 and 2020, respectively.

Interest income from investments at FVTPL amounted to ₱14.52 million, ₱8.80 million and ₱0.12 million in 2022, 2021 and 2020, respectively (see Note 21).

The fair values of the financial assets at FVTPL have been determined directly by reference to quoted prices in active markets or inputs other than quoted prices that are directly or indirectly observable (see Note 6).

9. Financial Assets at FVOCI

This account consists of investments in debt securities as of December 31:

	2022	2021
Government debt securities	₱2,312,313,091	₱3,624,661,095
Corporate bonds	75,524,458	39,846,903
	2,387,837,549	3,664,507,998
Less current portion	1,263,044,201	2,945,526,509
Noncurrent portion	₱1,124,793,348	₱718,981,489

Current portion of financial assets at FVOCI as at December 31, 2022 pertain to government securities and corporate bonds with interest rate of 1.41% to 4.50% and will mature in 2023. Current portion of financial assets at FVOCI as at December 31, 2021 pertain to corporate bonds with interest rate of 1.02% to 4.15% and matured in 2022.

Peso-denominated long-term government debt securities and corporate bonds earn annual interest rates ranging from 2.375% to 7.53% in 2022 and 2.375% to 5.28% in 2021. Noncurrent and long-term portion of government debt securities and corporate bonds as at December 31, 2022 and 2021 will mature from 2024 to 2033 and 2023 to 2033, respectively.

Interest income earned from financial assets at FVOCI amounted to ₱85.80 million, ₱82.12 million and ₱101.74 million in 2022, 2021 and 2020, respectively (see Note 21).

The rollforward analysis of the Group's financial assets at FVOCI as at December 31, 2022 and 2021 follows:

	2022	2021
Balance at beginning of year	₱3,664,507,998	₱3,619,086,455
Additions	970,073,031	286,156,500
Maturities	(2,164,174,854)	(191,038,891)
Amortization of discount or premium	(14,948,377)	(23,622,895)
Loss on change in fair value	(67,620,249)	(26,073,171)
Balance at end of year	₱2,387,837,549	₱3,664,507,998



The movement of net unrealized gain (loss) on financial assets at FVOCI as at December 31, 2022 and 2021 follows:

	2022	2021
Balance at beginning of year	₱15,589,948	₱41,663,119
Loss on change in fair value	(67,620,249)	(26,073,171)
Balance at end of year	(₱52,030,301)	₱15,589,948

10. Receivables

This account consists of:

	2022	2021
Receivables from:		
Trading participants (see Note 30)	₱101,565,619	₱101,963,647
Data vendors	10,186,371	5,931,971
Listed companies	2,680,918	3,877,233
Accrued interest receivable (see Note 21)	16,632,115	4,118,960
Advances to/receivables from:		
Other fund members	7,539,751	8,956,372
Officers and employees	5,672,914	4,414,368
Others	1,747,754	4,615,336
	146,025,442	133,877,887
Less allowance for impairment loss	2,884,841	2,884,841
	₱143,140,601	₱130,993,046

Receivables generally have terms of 30 days, except for the receivables from data vendors which are normally collected within 45 days.

The allowance for impairment losses as at December 31, 2022 and 2021 amounted to ₱2.88 million. There were no provisions for impairment of receivables for the years ended December 31, 2022, 2021 and 2020.

11. Other Current Assets

This account consists of:

	2022	2021
Prepaid expenses	₱65,830,858	₱82,690,865
Input VAT - net of noncurrent portion	25,168,829	27,022,415
Security deposits (see Note 26)	578,768	317,464
Contract assets	—	42,335
	₱91,578,455	₱110,073,079

Prepaid expenses include prepayment of insurance, supplies, real property taxes, membership dues, maintenance and other expenses which are normally incurred within the next financial year.

Input VAT, net of noncurrent portion, represents VAT paid to suppliers that can be claimed as credit against the Group's future output VAT liabilities without prescription.



Security deposits pertain to refundable deposits for the lease of a photocopier which is expected to be received within the next financial year.

Contract assets represent the unbilled services to Premier which are expected to be received within the next financial year.

12. Property and Equipment

The composition of and movements in this account are as follows:

December 31, 2022								
	Buildings	Building Improvements	Trading System Equipment	Computer Hardware and Peripherals	Office Furniture, Fixtures and Communication Equipment and Others	Transportation Equipment	New Clearing & Settlement System In-Progress	Total
Cost								
At beginning of year	1,073,897,569	12,196,291	274,988,586	545,407,060	171,265,330	24,711,762	117,878,503	2,220,345,101
Additions	—	—	52,800	8,406,155	3,921,050	11,160,711	18,412,170	41,952,886
Disposals	(352,531)	—	—	(260,838)	(41,101)	(2,098,214)	—	(2,752,684)
At end of year	1,073,545,038	12,196,291	275,041,386	553,552,377	175,145,279	33,774,259	136,290,673	2,259,545,303
Accumulated Depreciation								
At beginning of year	172,261,171	2,986,685	227,909,998	495,926,387	134,841,447	15,267,099	—	1,049,192,787
Depreciation (see Notes 22 and 23)	42,893,467	2,513,458	17,340,165	30,331,200	18,900,503	3,281,777	—	115,260,570
Disposals	—	—	—	(260,832)	(41,101)	(2,098,214)	—	(2,400,147)
At end of year	215,154,638	5,500,143	245,250,163	525,996,755	153,700,849	16,450,662	—	1,162,053,210
Net book value	₱858,390,400	₱6,696,148	₱29,791,223	₱27,555,622	₱21,444,430	₱17,323,597	₱136,290,673	₱1,097,492,093

December 31, 2021								
	Buildings	Building Improvements	Trading System Equipment	Computer Hardware and Peripherals	Office Furniture, Fixtures and Communication Equipment and Others	Transportation Equipment	New Clearing & Settlement System In-Progress	Total
Cost								
At beginning of year	₱1,076,831,455	₱16,227,934	₱272,645,963	₱536,896,154	₱179,934,415	₱22,084,976	₱102,337,436	₱2,206,958,333
Additions	2,933,887	1,168,357	2,475,300	19,845,488	795,113	3,937,500	15,541,067	46,696,712
Disposals	(5,867,773)	(5,200,000)	(132,677)	(11,334,582)	(9,464,198)	(1,310,714)	—	(33,309,944)
At end of year	1,073,897,569	12,196,291	274,988,586	545,407,060	171,265,330	24,711,762	117,878,503	2,220,345,101
Accumulated Depreciation								
At beginning of year	129,755,557	791,869	205,901,813	479,318,391	123,542,149	15,060,674	—	954,370,453
Depreciation (see Notes 22 and 23)	42,505,614	2,194,816	22,140,862	26,005,899	14,944,771	2,535,144	—	110,327,106
Disposals	—	—	(132,677)	(9,397,903)	(3,645,473)	(2,328,719)	—	(15,504,772)
At end of year	172,261,171	2,986,685	227,909,998	495,926,387	134,841,447	15,267,099	—	1,049,192,787
Net Book Value	₱901,636,398	₱9,209,606	₱47,078,588	₱49,480,673	₱36,423,883	₱9,444,663	₱117,878,503	₱1,171,152,314

As at December 31, 2022 and 2021, the Group's acquisitions of property and equipment which remains unpaid and is included under "Accounts payable and other current liabilities - Trade" amounted to ₱6.31 million and ₱17.72 million, respectively.

The Group disposed property and equipment with carrying value amounting to ₱0.35 million and ₱17.81 million with related gain (loss) on disposal amounting to ₱0.03 million, (₱0.45 million) and ₱0.29 million in 2022, 2021 and 2020, respectively.

As at December 31, 2022 and 2021, no property and equipment have been pledged as security or collateral for any of the Group's liabilities.

Building. This includes condominium units at the PSE Tower, Fort Bonifacio Global City (see Note 18). The condominium units were transferred to and accepted by the Exchange on September 22, 2017.

Building Improvements. These pertain to improvements of office units at PSE Tower, Fort Bonifacio Global City.



Trading System Equipment and New Clearing System. These represent software and hardware costs. Software costs cannot be separately classified as an intangible asset as this is an integral part of the related hardware.

13. Investment Property

This pertains to the condominium units at Exchange Plaza, Ayala Triangle, Makati City (see Note 18).

On December 12, 2018, the BOD authorized the Exchange's management to lease out the Exchange Plaza and engage, negotiate and discuss with prospective lessees the terms and conditions of the lease beneficial to the exchange. Consequently, in April 2019, the Exchange entered into a non-exclusive agreement with Colliers International Philippines, Inc. for the purpose of marketing the leasing out of office units. The broker's commission depends on the term of lease and is payable upon successful execution of lease contract.

In October 2019, the Exchange started its renovation works at the Exchange Plaza and was completed in October 2021.

The movements in this account are as follows:

	2022	2021
Cost		
Balance at beginning of year	₱151,045,113	₱152,097,505
Adjustments	(2,633,482)	(1,052,392)
Balance at end of year	148,411,631	151,045,113
Accumulated depreciation		
Balance at beginning of year	2,263,981	—
Depreciation (see Notes 22 and 23)	5,906,350	2,263,981
Disposals	—	—
Balance at end of year	8,170,331	2,263,981
Net book value	₱140,241,300	₱148,781,132

Fair Value of Investment Property. The investment property is valued at ₱980.08 million based on its latest appraisal report dated January 11, 2023. The property's valuation date is for the year ended December 31, 2022.

The most recent fair value of the investment property is determined by an independent appraiser who holds a recognized and relevant professional qualification. The valuation of investment properties was based on market values using the market approach. The fair value represents the price that would be received to sell the investment properties in an orderly transaction between market participants at the date of valuation. The determination of the fair value of the investment property is categorized under Level 2 fair value measurement since valuation is based on observable inputs such as the asking prices of comparable units.



14. Investment in an Associate

This account represents the 20.98% interest in Philippine Dealing System Holdings Corp. (PDSHC), a domestic stock corporation, whose principal activity is to provide platform for the issuance, trading, dealing and exchange of fixed income securities and monetary instruments.

The movements in this account as at December 31 follow:

	2022	2021
Acquisition cost	₱137,050,657	₱137,050,657
Accumulated equity in net income of an associate:		
Balance at beginning of year	601,171,013	529,635,820
Equity in net income	67,452,607	71,535,193
Balance at end of year	668,623,620	601,171,013
Accumulated equity in other comprehensive income -		
remeasurement on pension liability:		
Balance at beginning of year	2,599,112	1,200,268
Share in remeasurement gain on pension	2,283,672	1,398,844
Balance at end of year	4,882,784	2,599,112
Accumulated dividend income:		
Balance at beginning of year	(446,798,884)	(380,711,884)
Dividends declared during the year	(73,430,000)	(66,087,000)
Balance at end of year	(520,228,884)	(446,798,884)
	₱290,328,177	₱294,021,898

The available financial information of PDSHC follows (in millions):

	2022	2021
Current assets	₱1,387.96	₱1,409.38
Noncurrent assets	147.15	161.53
Current liabilities	209.44	201.69
Noncurrent liabilities	41.13	67.04
Total equity	1,284.54	1,302.18
Net income attributable to:		
Equity holder of the parent company	321.51	340.97
Noncontrolling interest	8.04	7.68
Other comprehensive income	10.73	6.74
Total comprehensive income	340.28	355.38

The reconciliation of the net assets of the associate to the carrying amounts of the interest in this associate recognized in the consolidated statements of financial position as at December 31, 2022 and 2021 follows (in millions):

	2022	2021
Net assets of associate attributable to controlling shareholders	₱1,265.48	₱1,283.09
Proportionate ownership in net assets (20.98%)	265.50	269.19
Goodwill	24.83	24.83
	₱290.33	₱294.02



On August 13, 2014, the Parent Company's BOD authorized the offer to purchase the shareholdings of Banker's Association of the Philippines (BAP) in PDSHC at a total value of ₱2.25 billion. On October 7, 2014, the Parent Company and BAP agreed on the indicative terms and conditions for the proposed acquisition by the Parent Company of BAP's 28.90% stake in PDSHC. On May 2, 2015, the Exchange's stockholders approved the increase in the Exchange's shareholdings in PDSHC to at least two-thirds (2/3) of the total issued and outstanding shares of PDSHC using a PDS equity value of ₱2.25 billion. On May 27, 2015, the Exchange's BOD authorized the availment of a clean term loan in the total amount of ₱1.15 billion from several banks for the purpose of financing the purchase of shares of stock from stockholders of PDSHC. The loan includes a 5-year term, with interest rate based on 5-year PDST R-2 on drawdown and can be released on a staggered basis as the need arises.

On July 22, October 27, November 12 and November 16 of 2015, the Exchange signed Share Purchase Agreements (SPA) with the BAP, Finex Research and Development Foundation, Inc. (FINEX), Whistler Technology Services, Inc. (WTSI) and Insular Investment Corp. for the proposed purchase by the Exchange of 1,807,094 common shares or 28.91%, 192,776 common shares or 3.08%, 500,000 common shares or 8.00% and 192,776 common shares or 3.0844%, respectively. On January 26, 2016, the Exchange submitted regulatory requirements to SEC. On March 28, 2016, the Exchange received SEC En Banc Resolution No. 230, series of 2016, denying the application for exemptive relief by the PSE that was required for the acquisition to be completed.

On June 15, July 6, August 25, September 26, 2017 and November 8, 2017, the Exchange signed SPAs with the shareholders of PDSHC, such as BAP, WTSI, Investment House of Association of the Philippines (IHAP) and Philippine American Life and General Insurance Co. (Philam) and FINEX, for the newly proposed purchase by the Exchange of 1,466,800 common shares or 23.47%, 500,000 common shares or 8.00%, 36,446 common shares or 0.58%, 250,000 common shares or 4.00%, and 192,776 common shares or 3.08%, respectively. On September 13, 2017, the Exchange's BOD authorized the obtainment of a one-year loan in the amount of ₱1.15 billion from several banks for the purpose of financing the purchase of shares of stock from stockholders of PDSHC. On November 30, 2017, the proposed acquisition of PDHSC was deemed approved by the Philippine Competition Commission.

On January 12 and 15, 2018, the Exchange has signed SPAs with San Miguel Corporation and Tata Consulting Services Asia-Pacific Pte. Ltd. (TCS) for the proposed purchase by the Exchange of 250,000 common shares or 4.00% and 500,000 common shares or 8.00%, respectively.

On March 31, 2018, the SPAs with BAP, IHAP, Philam, FINEX and SMC were automatically terminated due to the non-satisfaction of closing condition on the target Closing Date. The SPA with TCS automatically lapsed on July 2, 2018.

On June 25, 2020, the BOD of PDSHC declared cash dividends in the amount of ₱48 per share (₱300.00 million) in favor of all shareholders on record as of May 31, 2020 payable on or before August 7, 2020.

On March 4, 2021, the BOD of PDSHC declared cash dividends in the amount of ₱50.40 per share (₱315.00 million) in favor of all shareholders on record as of December 31, 2020 payable on or before March 29, 2021.

On February 24, 2022, the BOD of PDSHC declared cash dividends in the amount of ₱56 per share (₱350.00 million) in favor of all shareholders on record as of December 31, 2021 payable on or before March 31, 2022.



On February 23, 2023, the BOD of PDSHC declared cash dividends of ₱56 per share (₱350.00 million) to all shareholders of record as of December 31, 2022 to be paid on or before March 31, 2023.

15. Other Noncurrent Assets

This account consists of:

	2022	2021
Claims under litigation	₱51,166,892	₱—
Input VAT - noncurrent portion	16,746,094	29,425,121
Computer software - net	11,179,390	6,806,706
Deposits in bank	344,814	344,516
Security deposits (see Note 26)	32,432	413,008
Deferred lease asset	47,033	143,210
Other investments	77,540	54,106
	₱79,594,195	₱37,186,667

Claims under litigation include ₱51.17 million garnished while still under litigation.

Noncurrent portion of input VAT pertains to deferred VAT that can be claimed as credit against future output VAT from the reporting date without prescription.

The movements in computer software account follow:

	2022	2021
Cost:		
Balance at beginning of year	₱75,035,779	₱69,250,816
Additions	4,537,962	5,784,963
Balance at end of year	79,573,741	75,035,779
Accumulated amortization:		
Balance at beginning of year	68,229,073	68,202,662
Amortization (see Notes 22 and 23)	165,278	26,411
Balance at end of year	68,394,351	68,229,073
Net book value	₱11,179,390	₱6,806,706

The additions include a software that is currently being developed by Premier which is designed with the intention to revolutionize the financial services by providing everyone an opportunity to have a self-service direct market trading platform to invest in the stock market. The mobile trading platform has started its development in the year 2019 and was launched last February 11, 2023.

Deposits in bank include amount deposited by the Parent Company in favor of National Labor Relations Commission (NLRC) in connection with pending labor cases which are still on appeal. Under the Rules of NLRC, the amount may not be withdrawn by the Parent Company until final disposition of the cases.

Security deposits are presented at amortized cost, amortization of which is based on EIR method. The difference between the fair value at initial recognition and nominal value of security deposit on leases is charged to "Deferred lease asset" account and amortized on a straight-line basis over the lease term of six (6) years.



16. Accounts Payable and Other Current Liabilities

This account consists of:

	2022	2021
Due to SEC	₱87,134,116	₱113,949,272
Trade (see Note 12)	23,759,306	36,227,740
Accrued expenses:		
Utilities, supplies, services and various accrued expenses	20,331,256	18,134,623
Occupancy costs	14,074,780	13,404,385
Penalties and taxes	4,762,863	4,796,168
Telecommunication	2,732,252	3,459,085
Repairs and maintenance	1,375,031	2,697,125
Compensation and other related staff costs	5,904,255	2,552,919
Professional fees	635,929	1,329,253
Payable to government agencies	21,964,369	22,315,875
Others	7,681,407	1,690,759
	₱190,355,564	₱220,557,204

Due to SEC represents the amount payable for license fees to operate an exchange imposed under Section 35 of the SRC entitled “Additional Fees of Exchanges”, which are subsequently billed and collected from active trading participants. These are settled within the next financial year.

Trade, accrued expenses, payable to government agencies and others are noninterest-bearing, except for legal costs, and are normally settled within the next financial year.

17. Contract Liabilities, Deferred Fees and Others

Contract Liabilities

This account consists of:

	2022	2021
Listing fees	₱1,238,776,269	₱1,270,868,843
Data feed fees	1,399,873	635,376
Management fees	7,321,429	7,272,321
	1,247,497,571	1,278,776,540
Less noncurrent portion of contract liabilities	921,599,076	960,710,253
Current portion of contract liabilities	₱325,898,495	₱318,066,287

The current portion of contract liabilities from listing fees, data feed fees and management fees are normally realized within the next financial year. The noncurrent portion of contract liabilities as at December 31, 2022 and 2021 are expected to be realized in 2024 to 2036 and in 2023 to 2035, respectively (see Note 20).

Deferred fees and others

This account consists of:

	2022	2021
Deferred fees	₱957,377	₱1,574,437
Deferred output tax	1,471,174	5,184,028
	₱2,428,551	₱6,758,465



Deferred fees pertain to receipt of payments for Bull Run and other sponsorship events that are expected to be realized within the next reporting period.

18. Donated Capital

As at December 31, 2022 and 2021, this account consists of donations from FBDC amounting to ₱211.60 million.

On November 12, 2002, the Parent Company and FBDC executed a Definitive Agreement with the following salient terms and conditions: (i) the Parent Company agrees to relocate its headquarters, majority of its management offices and its unified trading operations in equity securities for the National Capital Region (NCR) to the Bonifacio Global City; (ii) Crescent West Development Corporation (CWDC) shall be the corporate vehicle to which FBDC shall contribute the land as additional capital and the shares of which shall eventually be donated to the Parent Company; and (iii) the FBDC and the Parent Company agree to develop the land and construct the building that will house the Parent Company's headquarters, majority of its management offices and its unified trading operations in equity securities for the NCR.

Based on such agreement, all outstanding shares of stocks of CWDC shall be donated by FBDC to the Parent Company on the following dates:

Date of Donation	%/Number of Shares to be Donated
January 7, 2005	14.32% or 5,247,419 shares
January 7, 2006	14.28% or 5,232,762 shares
January 7, 2007	14.28% or 5,232,762 shares
January 7, 2008	14.28% or 5,232,762 shares
January 7, 2009	14.28% or 5,232,762 shares
January 7, 2010	14.28% or 5,232,762 shares
January 7, 2011	14.28% or 5,232,762 shares

Following the Definitive Agreement, on January 7, 2006 and 2005, FBDC executed a Deed of Conditional Donation in favor of the Parent Company, which covers the transfer of 5,232,762 shares and 5,247,419 shares of CWDC, respectively, for ₱10.48 million. Such shares received were classified as other investments under "Other noncurrent assets" account in the consolidated statement of financial position.

In June 2007, the donation of all remaining CWDC shares was deferred pending negotiations among the Parent Company, FBDC and ALI for the joint development, pursuant to a Memorandum of Understanding dated April 26, 2007, of an iconic office building in Bonifacio Global City for the relocation of the Parent Company's headquarters, majority of its management offices and unified trading operations in equities securities for the NCR to the Bonifacio Global City.

On May 3, 2012, the Parent Company, FBDC and ALI executed a Memorandum of Agreement (MOA) for the Parent Company's acquisition of office units in the West Super Block building developed by FBDC and ALI in Bonifacio Global City. Subject to the fulfillment of certain conditions (including regulatory licenses and execution of the necessary agreements), if the Parent Company proceeds with the acquisition of office units in the West Super Block building, then the Definitive Agreement relating to donation of CWDC shares shall be terminated, and FBDC shall buyback the 10,480,181 CWDC shares that were previously donated to the Parent Company.



On May 19, 2015, a contract to sell was entered into between the Parent Company and FBDC for the purchase by the Parent Company of certain office units in the West Super Block building. On June 30, 2015, in line with the provision of the MOA, the Parent Company sold back the FBDC's previously donated 10,480,181 shares of CWDC for ₱52.11 million resulting to a gain amounting to ₱41.63 million.

Further, FBDC agreed to donate a portion of the total purchase price of the office units amounting to ₱235.01 million. Total donation, net of related expenses, received by the Parent Company amounted to nil, ₱96.18 million and ₱115.42 million for the years ended December 31, 2017, 2016 and 2015, respectively, which is presented as "Income from donation" account in the consolidated statements of comprehensive income. Consequently, portion of donated capital pertaining to CWDC shares amounting to ₱10.48 million was reclassified to unappropriated retained earnings.

As at December 31, 2016, the total advances amounting to ₱805.37 million, inclusive of the instalment payments made in 2016 was reclassified to property and equipment since the office units have been substantially completed.

The Parent Company has hired various external consultants to conduct project and construction management and quantity surveying services of the fit-out works in the said office units with total project cost of ₱356.84 million. The fit-out works were completed in 2018.

As at December 31, 2019, the Exchange reclassified the donated capital from ALI amounting to ₱235.69 million to unappropriated retained earnings following the change in use of the property in view of the end of owner-occupation.

19. Equity

Capital Stock

The composition of capital stock is as follows:

	2022	2021
Common stock - ₱1.00 par value		
Authorized - 120.0 million shares		
Issued - 85,153,982 shares in 2022		
and 85,090,163 in 2021	₱85,153,982	₱85,090,163
Additional paid-in capital in excess of par*	3,923,275,523	3,910,518,264
Subscribed capital stock (see Note 33)	44,315,764	41,006,939
Subscription receivable (see Note 33)	(17,152,663)	(20,688,039)
	4,035,592,606	4,015,927,327
Treasury stock - 3,513,952 shares in 2022 and 2021	(696,293,587)	(696,293,587)
	₱3,339,299,019	₱3,319,633,740

*Including share grants outstanding amounting to ₱3.89 million and ₱3.19 million in 2022 and 2021, respectively.



The following summarizes the information on the Parent Company's registration of securities under the SRC:

Date of SEC Approval	Authorized Shares	No. of Shares Issued	Issue/Offer Price
August 8, 2001	36,800,000	9,200,008	₱31.16
January 28, 2004	—	6,077,505	119.50
September 10, 2008	—	15,177,499	—
September 12, 2008	61,000,000	—	—
June 9, 2011	—	30,504,363	—
November 14, 2013	22,200,000	12,221,680	—
March 22, 2018	—	11,500,000	252.00
ESPP:			
2009		49,358	
2010		50,000	
2011		50,000	
2012		49,397	
2014		50,603	
2015		50,000	
2018		23,437	
2019		13,809	
2020		(17)	
2021		72,521	
2022		63,819	
	120,000,000	85,153,982	

The Exchange has a total number of shareholders of 284 and 285 as at December 31, 2022 and 2021, respectively.

On May 4, 2019, the stockholders approved the amendment of the Exchange's Articles of Incorporation to create preferred shares by reclassifying 14,000,000 unissued common shares into 14,000,000 preferred shares with par value of ₱1.00 per share.

The authorized capital stock of the Exchange will be ₱120.00 million divided into 106,000,000 common shares with par value of ₱1.00 per share or ₱106.00 million and 14,000,000 preferred shares with par value of ₱1.00 per share or ₱14.00 million. The features of the preferred shares are: (a) voting, (b) cumulative in payment of dividends, (c) non-participating in any further dividends, (d) non-convertible to common shares, (e) preference over holders of common shares in the payment of dividends and distribution of corporate assets; holders of preferred shares to be paid in full the issue price (or pro rata if the assets of the corporation are insufficient) in the ease of dissolution and liquidation, (f) redeemable at the option of the BOD beginning the 5th anniversary date and (g) no pre-emptive rights. The terms of issuance of the preferred shares will be determined by the BOD.

On September 12, 2019, the SEC approved the amendments in the Exchange's articles of incorporation. As at December 31, 2022 and 2021, there were no issuance of preferred shares.

Retained Earnings

Date of Declaration	Dividends		Record Date	Payment Date
	Per Share	Total Amount		
February 16, 2022	11.00	901,624,856	March 9, 2022	April 4, 2022
February 24, 2021	8.00	655,138,304	March 22, 2021	April 15, 2021
March 27, 2019	8.80	747,998,266	April 12, 2019	May 10, 2019



Unappropriated retained earnings include the accumulated equity in net earnings of subsidiaries and associate amounting to ₱572.42 million and ₱610.06 million as at December 31, 2022 and 2021, respectively, that is not available for distribution until such time that the Parent Company receives the dividends from the respective subsidiaries and associate. In addition, the retained earnings of the Parent Company is restricted for the payment of dividends to the extent of ₱696.29 million as at December 31, 2022 and 2021 representing the cost of shares held in treasury.

In accordance with SEC Memorandum Circular No. 11 issued in December 2008, the Parent Company's retained earnings available for dividend declaration as of December 31, 2022 amounted to ₱639.59 million.

As at December 31, 2022 and 2021, the total appropriated retained earnings of the Parent Company and SCCP is ₱121.00 million. In 2008, the Parent Company's BOD appropriated ₱68.00 million of its retained earnings in connection with its acquisition of treasury shares. In 2007, the Parent Company's BOD appropriated ₱3.00 million to cover potential liability cases filed against the Parent Company, its directors and/or its officers. SCCP appropriated retained earnings amounting to ₱50.00 million for the settlement of trade obligations of defaulting clearing members should the clearing and trade guarantee fund not be enough (see Note 32).

Ownership in the Parent Company

The SRC provides that no industry or business group may beneficially own or control, directly or indirectly, more than 20% of the voting rights of the Parent Company. On August 13, 2007, the SEC imposed on the Parent Company a penalty of ₱101,100 plus a daily fine of ₱100 for every day of delay of compliance because the total trading participant ownership in the Parent Company exceeds the allowable limit. Starting March 2009, the daily fine for every day of delay of compliance is ₱500. As at December 31, 2022 and 2021, the total amount of penalty recognized by the Group under "Accounts payable and other current liabilities - accrued expenses" account in the consolidated statements of financial position amounted to ₱1.64 million (see Note 16). As at December 31, 2022 and 2021, the brokers' shareholdings with voting rights is at 18.79% and 18.98%, respectively.

Stock Rights Offering (SRO)

The proceeds from SRO were used for financing of expenditures related to product development and working capital requirements and general corporate purposes from 2018 to 2020.

On December 16, 2020, the Parent Company's BOD authorized the extension of the timeline for the use of proceeds of the SRO until December 31, 2023.

As at December 31, 2022 and 2021, the balance of the proceeds amounted to ₱1,690.00 million.

Buyback of Common Shares and Creation of Non-voting Preferred Shares

On August 28, 2019, the BOD approved the Exchange's compliance plan to align shareholder ownership with the 20% limit set by SRC. This is composed of the buyback of common shares from broker shareholders and creation of 2,500,000 preferred shares at ₱1.00 par value with features of (a) non-voting, (b) cumulative in payment of dividends, (c) non-participating in any further dividends, (d) non-convertible and (e) redeemable at the option of the BOD beginning on the third anniversary date.

On October 2, 2019, the Exchange acquired 2,419,965 common shares from broker shareholders at ₱183.93 per share with a total purchase price of ₱445.10 million.

On November 5, 2019, the Exchange acquired 753,983 common shares from broker shareholders at ₱183.93 per share with a total purchase price of ₱138.68 million.



Other costs paid by the Exchange in relation to the acquisition of treasury shares amounted to ₱0.96 million as at December 31, 2019.

On January 23, 2020, the Exchange acquired 240,000 common shares from broker shareholders at ₱181 per share with a total purchase price of ₱43.44 million.

Other costs paid by the Exchange in relation to the acquisition of treasury shares amounted to ₱0.10 million as at December 31, 2020.

Capital Management

The Group's objectives when managing capital are (a) to safeguard the Group's ability to continue as a going concern, so that it continues to provide returns for shareholders and benefits for other stakeholders; (b) to support the Group's stability and growth; and (c) to provide capital for the purpose of strengthening the Group's risk management capability.

The Group actively and regularly reviews and manages its capital structure to ensure optimal capital structure and shareholder returns, taking into consideration the future capital requirements of the Group and capital efficiency, prevailing and projected profitability, projected operating cash flows, projected capital expenditures and projected strategic investment opportunities.

No changes were made in the objectives, policies or processes as at December 31, 2022 and 2021.

The Group considers all the components of its total equity as capital. The Group adopts a practice of providing shareholders with regular dividends.

20. Revenues

This account consists of:

	2022	2021	2020
Listing-related fees:			
Listing	₱406,575,621	₱504,519,337	₱345,835,910
Listing maintenance	266,922,901	256,516,248	247,732,284
Processing	500,000	750,000	250,000
Service fees (see Note 30)	319,409,719	398,664,390	316,231,905
Trading-related fees:			
Transaction (see Note 30)	145,106,427	183,099,831	157,322,455
Data feed	196,091,830	130,676,426	127,065,261
Block sales (see Note 30)	33,763,015	40,152,227	19,767,412
Subscription (see Note 30)	36,964,680	38,153,906	36,186,932
Other revenues (see Note 30)	131,696,553	93,979,376	63,970,813
	₱1,537,030,746	₱1,646,511,741	₱1,314,362,972



Disaggregated Revenue Information

The table below shows the disaggregation of revenues from contracts with customers of the Group by major products/service lines and a reconciliation of the disaggregated revenues with the Group's three strategic divisions for the years ended December 31, 2022, 2021 and 2020:

	December 31, 2022			
	Listing	Trading	Service	Total
Major Product/Service Lines				
Listing filing fees	₱406,575,621	₱—	₱—	₱406,575,621
Listing maintenance fees	266,922,901	—	—	266,922,901
Settlement and clearing fee	—	—	319,409,719	319,409,719
Processing fees	500,000	—	—	500,000
Transaction fees	—	145,106,427	—	145,106,427
Data feed fees	—	196,091,830	—	196,091,830
Block sales	—	33,763,015	—	33,763,015
Subscription fees	—	36,964,680	—	36,964,680
Management fee	—	—	635,549	635,549
Seminar fee	—	—	75,268	75,268
Others*	99,613,578	—	29,590,352	129,203,930
	₱773,612,100	₱411,925,952	₱349,710,888	₱1,535,248,940
Timing of revenue recognition				
Transferred at a point in time	₱—	₱178,869,442	₱349,075,339	₱527,944,781
Transferred over time	773,612,100	233,056,510	635,549	1,007,304,159
	₱773,612,100	₱411,925,952	₱349,710,888	₱1,535,248,940

*Excludes rental income of ₱1.78 million as it is out of scope of PFRS 15.

	December 31, 2021			
	Listing	Trading	Service	Total
Major Product/Service Lines				
Listing filing fees	₱504,519,337	₱—	₱—	₱504,519,337
Listing maintenance fees	256,516,248	—	—	256,516,248
Settlement and clearing fee	—	—	398,664,390	398,664,390
Processing fees	750,000	—	—	750,000
Transaction fees	—	183,099,831	—	183,099,831
Data feed fees	—	130,676,426	—	130,676,426
Block sales	—	40,152,227	—	40,152,227
Subscription fees	—	38,153,906	—	38,153,906
Others*	52,932,927	—	37,806,862	90,739,789
	₱814,718,512	₱392,082,390	₱436,471,252	₱1,643,272,154
Timing of revenue recognition				
Transferred at a point in time	₱—	₱223,252,058	₱436,471,252	₱659,723,310
Transferred over time	814,718,512	168,830,332	—	983,548,844
	₱814,718,512	₱392,082,390	₱436,471,252	₱1,643,272,154

*Excludes rental income of ₱3.24 million as it is out of scope of PFRS 15.



	December 31, 2020			
	Listing	Trading	Service	Total
Major Product/Service Lines				
Listing filing fees	₱345,835,910	₱—	₱—	₱345,835,910
Listing maintenance fees	247,732,284	—	—	247,732,284
Processing fees	250,000	—	—	250,000
Settlement and clearing fee	—	—	316,231,905	316,231,905
Transaction fees	—	157,322,455	—	157,322,455
Data feed fees	—	127,065,261	—	127,065,261
Block sales	—	19,767,412	—	19,767,412
Subscription fees	—	36,186,932	—	36,186,932
Others*	30,890,829	—	26,963,555	57,854,384
	₱624,709,023	₱340,342,060	₱343,195,460	₱1,308,246,543
Timing of revenue recognition				
Transferred at a point in time	₱—	₱177,089,867	₱342,955,802	₱520,045,669
Transferred over time	624,709,023	163,252,193	239,658	788,200,874
	₱624,709,023	₱340,342,060	₱343,195,460	₱1,308,246,543

*Excludes rental income of ₱6.12 million as it is out of scope of PFRS 15.

The contract liabilities primarily relate to the advance consideration received from customers for which revenue is recognized at certain milestone of completion.

The significant changes in the contract liabilities balances during the years ended December 31 are as follows:

	2022	2021
Beginning balance	₱1,278,776,540	₱862,171,558
Increases due to cash received, excluding amounts recognized as revenue during the period	1,240,176,142	1,271,504,219
Revenue recognized during the period including the contract liability balance at the beginning of the period	(1,271,455,111)	(854,899,237)
Ending balance	₱1,247,497,571	₱1,278,776,540

21. Other Income (Expenses)

Interest Income

This account consists of interest income from:

	2022	2021	2020
Financial assets at FVOCI (see Note 9)	₱85,802,977	₱82,124,823	₱101,738,954
Cash and cash equivalents:			
Time deposits (see Note 7)	18,523,517	1,717,524	29,783,813
Cash in banks (see Note 7)	406,532	284,023	375,578
Short-term investments	1,950,123	—	—
Financial assets at FVTPL (see Note 8)	14,516,809	8,799,580	124,529
Other interest income	—	—	68,788
	₱121,199,958	₱92,925,950	₱132,091,662



Others - net

This account consists of:

	2022	2021	2020
Foreign exchange and others	₱40,666,026	₱20,074,049	(₱4,011,830)
Donation income	—	—	21,981,000
	₱40,666,026	₱20,074,049	₱17,969,170

Donation income pertains to the cash donations received by the Exchange from PSE Foundation which are solely and specifically for undertaking of philanthropic, charitable, civic, social welfare or eleemosynary nature and cash and in-kind donations from Manila Stock Exchange, Foundation, Inc. to partially finance the construction and fit-out of the PSE Museum.

22. Cost of Services

This account consists of:

	2022	2021	2020
Compensation and other related staff costs (see Note 24)	₱160,833,019	₱136,549,785	₱86,813,874
Repairs and maintenance	112,026,720	105,348,565	112,408,137
Depreciation (see Notes 12 and 15)	42,632,320	46,048,069	71,027,573
Communication	13,318,959	8,801,600	8,181,200
Others (see Note 25)	8,471,466	3,574,581	3,712,317
	₱337,282,484	₱300,322,600	₱282,143,101

23. General and Administrative Expenses

This account consists of:

	2022	2021	2020
Depreciation and amortization (see Notes 12, 13, 15 and 26)	₱99,677,659	₱85,410,543	₱86,284,531
Professional fees	80,664,867	83,188,721	69,925,252
Compensation and other related staff costs (see Note 24)	80,223,733	98,823,027	130,973,163
Occupancy costs (Note 25)	48,364,570	43,661,147	45,635,383
Repairs and maintenance	22,765,933	6,869,623	2,058,639
Taxes and licenses	10,924,645	21,218,437	12,687,919
Market development	6,829,752	503,532	1,748,936
Public relations	3,847,670	6,484,390	5,309,163
Insurance	2,759,567	2,005,025	2,103,161
Trading participants' development	2,727,171	2,757,678	2,345,788
Travel and transportation	2,221,399	1,055,243	985,518
Meetings and conferences	944,162	607,418	491,036

(Forward)



	2022	2021	2020
Office supplies	₱653,901	₱2,642,168	2,819,707
Communication	576,284	5,733,243	5,795,947
Donations and contributions	—	—	5,720,272
Others	6,821,607	8,172,246	4,077,806
	₱370,002,920	₱369,132,441	₱378,962,221

24. Compensation and Other Related Staff Costs

This account consists of:

	2022	2021	2020
Salaries and wages	₱203,873,852	₱196,320,246	₱193,710,266
Pension expense (see Note 28)	13,499,168	17,464,734	14,997,567
Other employee benefits	23,683,732	21,587,832	9,079,204
	₱241,056,752	₱235,372,812	₱217,787,037

Other employee benefits include the ESPP expense amounting to ₱3.46 million, ₱2.50 million and ₱1.82 million in 2022, 2021 and 2020, respectively (see Note 33).

25. Occupancy Costs

This account consists of:

	2022	2021	2020
Condominium rent and dues (see Note 26)	₱26,123,293	₱23,837,838	₱27,476,890
Utilities	13,377,437	11,445,854	12,990,176
Security and janitorial services	9,269,286	8,609,603	6,632,770
	₱48,770,016	₱43,893,295	₱47,099,836

26. Leases

The Group as a Lessee

The Group has lease contracts for data recovery sites and office space used in its operations. Leases of data recovery sites have lease terms between 3 and 5 years, while the office space has a lease term of 6 years. The Group's lease contracts for data recovery site will be auto-renewed for one year.

The rollforward analysis of the right-of-use asset as at December 31, 2022 and 2021 follows:

	Data Recovery Sites	Office Space	Total
At January 1, 2022	₱24,604,593	₱8,775,993	₱33,380,586
Additions	4,502,327	—	4,502,327
Depreciation	(18,688,391)	(2,289,390)	(20,977,781)
At December 31, 2022	₱10,418,529	₱6,486,603	₱16,905,132



	Data		
	Recovery Sites	Office Space	Total
At January 1, 2021	₱41,156,318	₱11,065,382	₱52,221,700
Depreciation	(16,551,725)	(2,289,389)	(18,841,114)
At December 31, 2021	₱24,604,593	₱8,775,993	₱33,380,586

The following are the amounts recognized in the consolidated statements of comprehensive income for the years ended December 31:

	2022	2021	2020
Depreciation expense of right-of-use assets (see Note 23)	₱20,977,781	₱18,841,114	₱18,841,114
Interest expense on lease liabilities	2,132,099	3,073,885	4,308,713
Rent expense on short-term leases	—	753,167	1,464,453
	₱23,109,880	₱22,668,166	₱24,614,280

The rollforward analysis of lease liabilities as at December 31 as follows:

	2022	2021
At January 1	₱36,681,294	₱60,442,688
Additions	4,502,327	—
Interest expense	2,132,099	3,073,885
Payments	(18,656,389)	(26,835,279)
At December 31	24,659,331	36,681,294
Less current portion	19,775,318	19,666,606
Noncurrent portion	₱4,884,013	₱17,014,688

Shown below is the maturity analysis of the undiscounted lease payments as at December 31, 2022 and 2021:

	2022	2021
1 year	₱19,775,318	₱21,868,224
More than 1 year to 2 years	2,512,336	12,656,643
More than 2 years to 3 years	2,347,324	2,685,100
More than 3 years to 4 years	24,353	2,398,000

The Exchange as a Lessor

The Exchange entered into lease agreements with the trading participants for the lease of trading booths at PSE Tower, Fort Bonifacio Global City. These contracts are renewable on a yearly basis.

Rent income amounted to ₱1.78 million, ₱3.24 million and ₱6.12 million in 2022, 2021 and 2020, respectively (see Note 20).



27. Income Tax

The provision for (benefit from) income tax consists of:

	2022	2021	2020
Current - RCIT	₱186,957,424	₱302,422,881	₱149,423,015
Final	28,410,572	26,122,903	37,839,865
Deferred	14,807,683	(49,668,046)	21,900,529
	₱230,175,679	₱278,877,738	₱209,163,409

The components of the net deferred tax assets are as follows:

	2022			2021		
	PSE	CMIC	Total	PSE	CMIC	Total
Deferred tax assets:						
Contract liabilities	₱310,043,901	₱1,464,285	₱311,508,186	₱317,875,920	₱1,818,080	₱319,694,000
Lease liabilities	4,353,125	92,949	4,446,074	6,819,924	970,751	7,790,675
Unamortized past service costs	3,951,076	—	3,951,076	3,766,716	—	3,766,716
Allowance for impairment losses on receivables	721,210	—	721,210	721,210	—	721,210
Long term sick leave	411,322	—	411,322	446,157	—	446,157
Accrued expenses	466,222	—	466,222	466,222	—	466,222
Provision	—	—	—	—	—	—
Pension liability	—	417,142	417,142	—	532,602	532,602
	319,946,856	1,974,376	321,921,232	330,096,149	3,321,433	333,417,582
Deferred tax liabilities:						
Right-of-use asset	2,604,632	48,215	2,652,847	6,151,148	783,491	6,934,639
Pension asset	12,916,756	—	12,916,756	5,920,015	—	5,920,015
Unrealized foreign exchange gains	9,094,135	—	9,094,135	4,099,827	—	4,099,827
Rent receivable - PFRS 9	2,489	993	3,482	17,420	8,480	25,900
	24,618,012	49,208	24,667,220	16,188,410	791,971	16,980,381
	₱295,328,844	₱1,925,168	₱297,254,012	₱313,907,739	₱2,529,462	₱316,437,201

Total movement in net deferred tax asset accounted under OCI for the Parent Company and CMIC amounted to ₱5.96 million and ₱4.22 million in 2022 and 2021, respectively (see Note 28).

Optional Standard Deduction (OSD)

Under the OSD method in computing taxable income, corporations may elect a standard deduction in an amount equivalent to 40% of gross income, as provided by law, in lieu of the itemized allowed deductions.

SCCP elected the OSD method in 2022, 2021 and 2020 in computing its taxable income.

The availment of the OSD method also affected the recognition of several deferred tax assets and liabilities. Deferred tax assets and liabilities, for which the related income and expense are not considered in determining gross income for income tax purposes, are not recognized. This is because the manner by which SCCP expects to recover or settle the underlying assets and liabilities, for which the deferred tax assets and liabilities were initially recognized, would not result to any future tax consequence under the OSD method. Meanwhile, deferred tax assets and liabilities, for which the related income and expense are considered in determining gross income for income tax purposes, are recognized only to the extent of their future tax consequence under OSD method. Hence, the tax base of these deferred tax assets and liabilities is reduced by the 40% allowable deduction provided for under the OSD method.



SCCP's deferred tax asset, which were not recognized due to the use of the OSD method amounted to ₱2.46 million and ₱2.91 million as at December 31, 2022 and 2021, respectively.

Premier's deferred tax asset, which were not recognized due to taxable loss amounted to ₱2.44 million and ₱2.79 million as at December 31, 2022 and 2021, respectively.

The reconciliation between the statutory tax rates and the effective tax rates on income before income tax is as follows:

	2022	2021	2020
Provision for income tax at statutory income tax rate	25.00%	25.00%	30.00%
Adjustments for:			
Nontaxable income	(0.01%)	(0.84%)	(1.48%)
Benefit from using OSD	(7.62%)	(2.60%)	(2.99%)
Equity in net income of an associate	(1.75%)	(1.49%)	(2.84%)
Income subjected to final tax	(0.53%)	(0.36%)	(0.19%)
Impact due to CREATE	—	(4.76%)	0.00%
Nondeductible expenses	8.36%	8.00%	1.35%
Adjustment due to change in tax rate	0.05%	—	—
Movement in unrecognized DTA of a subsidiary	0.25%	0.32%	0.30%
Effective income tax rate	23.75%	23.27%	24.15%

Corporate Recovery and Tax Incentives for Enterprises Law

President Rodrigo Duterte signed into law on March 26, 2021 the Corporate Recovery and Tax Incentives for Enterprises (CREATE) Act to attract more investments and maintain fiscal prudence and stability in the Philippines. Republic Act (RA) 11534 or the CREATE Act introduces reforms to the corporate income tax and incentives systems. It takes effect 15 days after its complete publication in the Official Gazette or in a newspaper of general circulation or April 11, 2021.

The following are the key changes to the Philippine tax law pursuant to the CREATE Act which have an impact on the Company:

- Effective July 1, 2020, regular corporate income tax (RCIT) rate is reduced from 30% to 25% for domestic and resident foreign corporations. For domestic corporations with net taxable income not exceeding ₱5.00 million and with total assets not exceeding ₱100.00 million (excluding land on which the business entity's office, plant and equipment are situated) during the taxable year, the RCIT rate is reduced to 20%.
- Minimum corporate income tax (MCIT) rate reduced from 2% to 1% of gross income effective July 1, 2020 to June 30, 2023.
- Imposition of improperly accumulated earnings tax (IAET) is repealed.



28. Retirement Plan and Other Employee Benefits

Retirement Plan

The Parent Company has a funded noncontributory defined benefit retirement plan while SCCP and CMIC have unfunded noncontributory defined benefit retirement plans. The benefits are accumulated based on years of service and compensation per year of credited service.

The principal actuarial assumptions used in determining retirement liabilities as at December 31, 2022 and 2021 are shown below:

	Parent Company		SCCP		CMIC	
	2022	2021	2022	2021	2022	2021
Discount rate	7.66%	5.11%	7.30%	5.14%	7.56%	5.17%
Future salary increases	5.00%	5.00%	5.00%	5.00%	5.00%	5.00%

The latest actuarial valuation studies of the retirement plan of the Parent Company, SCCP and CMIC were made as at December 31, 2022.

The pension expense included under “Compensation and other related staff costs” account under “Cost of services” and “General and administrative expenses” in the consolidated statements of comprehensive income are as follows:

	2022	2021	2020
Current service cost - net	₱14,083,301	₱16,587,496	₱15,126,970
Net interest expense (income)	(584,133)	877,238	(129,403)
	₱13,499,168	₱17,464,734	₱14,997,567

The component of remeasurements of the Parent Company, SCCP and CMIC in the statements of comprehensive income is as follows:

	2022	2021	2020
Remeasurement loss (gain) on pension asset/liability*	(₱23,824,076)	(₱19,134,806)	₱22,466,721
Tax effect (see Note 27)	5,956,019	4,218,021	(6,149,142)
	(₱17,868,057)	(₱14,916,785)	₱16,317,579

*Includes remeasurement gains on changes in the effect of asset ceiling from Parent amounting to ₱12.94 million, ₱1.74 million and ₱3.87 million as at December 31, 2022, 2021 and 2020, respectively.

The Parent Company’s share in remeasurement gain on pension benefits of the associate is ₱2.28 million, ₱1.40 million and ₱0.83 million in 2022, 2021 and 2020, respectively.

The pension (asset) liability included in the consolidated statements of financial position as at December 31, 2022 and 2021 are as follows:

	2022			2021		
	Parent Company	SCCP	CMIC	Parent Company	SCCP	CMIC
	Pension Asset	Pension Liability	Pension Liability	Pension Asset	Pension Liability	Pension Liability
Present value of benefit obligation	₱109,803,540	₱16,231,304	₱2,085,709	₱137,166,398	₱18,712,369	₱2,130,406
Fair value of plan assets	(177,922,163)	—	—	(162,686,159)	—	—
Effect of asset ceiling	16,451,600	—	—	1,839,700	—	—
	(₱51,667,023)	₱16,231,304	₱2,085,709	(₱23,680,061)	₱18,712,369	₱2,130,406



Changes in the present value of the consolidated defined benefit obligation are as follows:

	2022			2021		
	Parent Company	SCCP	CMIC	Parent Company	SCCP	CMIC
	Pension Asset	Pension Liability	Pension Liability	Pension Asset	Pension Liability	Pension Liability
Balance at beginning of year	₱137,166,398	₱18,712,369	₱2,130,406	₱157,477,456	₱19,955,434	₱3,151,403
Current service cost	12,568,218	1,205,845	309,238	15,385,775	1,205,845	459,640
Interest cost on benefit obligation	7,009,203	961,816	110,142	6,236,107	863,986	120,384
Actual benefits paid	(4,310,773)	—	—	(20,568,509)	(586,410)	—
Actuarial losses (gains) arising from:						
Changes in financial assumptions	(37,816,739)	(4,699,748)	(754,885)	(22,046,453)	(3,230,405)	(460,882)
Experience adjustments	—	51,022	147,941	638,566	965,811	(647,467)
Changes in demographic assumptions	(4,812,767)	—	142,867	43,456	1,872	(492,672)
Balance at end of year	₱109,803,540	₱16,231,304	₱2,085,709	₱137,166,398	₱18,712,369	₱2,130,406

The movements in the fair value of plan assets recognized by the Parent Company follow:

	2022	2021
Balance at beginning of year	₱162,686,159	₱159,859,714
Interest income	8,759,303	6,346,832
Actual benefits paid	(4,310,772)	(20,568,509)
Remeasurement loss	(10,980,856)	(4,348,005)
Contributions	21,768,329	21,396,127
Balance at end of year	₱177,922,163	₱162,686,159

The assets of the Parent Company's retirement plan are being held by a trustee bank pursuant to a trust agreement dated August 10, 2011. The investing decisions of the retirement plan are made by Board of Trustees of the retirement plan.

The following table presents the carrying amounts and estimated fair values of the assets of the Parent Company's retirement plan as at December 31, 2022 and 2021:

	2022		2021	
	Carrying Amount	Fair Value	Carrying Amount	Fair Value
Cash and cash equivalent	₱31,290,888	₱31,290,888	₱14,821,233	₱14,821,233
Investment in government securities, bonds and other debt instruments	115,311,909	115,413,322	115,881,686	115,881,686
Investment in equity securities	30,475,652	30,475,652	31,429,082	31,429,082
Others	843,714	843,714	554,158	554,158
	₱177,922,163	₱178,023,576	₱162,686,159	₱162,686,159

The Parent Company's retirement plan assets and investments consist of the following:

- Cash and cash equivalents include regular savings and time deposits.
- Investment in equity securities consists of listed equity securities.
- Investments in government securities, consisting of retail treasury bonds and fixed rate treasury notes that bear interest ranging from 2.56% to 8.625% in 2022 with maturities from March 2024 to March 2028. In 2021, government securities were composed of fixed-income treasury notes that bear interest ranging from 2.17% to 6.25% that mature in April 2021 to March 2032.



- Investments in debt and other securities consist of long-term corporate bonds, which bear interest ranging from 5.09% to 8.01% in 2022 that will mature in 2023 to 2029 and 4.5% to 6.85% in 2021 that will mature in 2022 to 2026.
- Other financial assets held by the retirement plan are primarily accrued interest income on cash deposits and debt securities and dividend receivables.

As at December 31, 2022 and 2021, the sensitivity analysis below has been determined by remeasuring the defined benefit obligation at the reporting date after first adjusting one of the current assumptions that was reasonably possible at the valuation date while all other assumptions remained unchanged. It should be noted that the changes assumed to be reasonably possible at the valuation date are open to subjectivity, and do not consider more complex scenarios in which changes other than those assumed may be deemed to be more reasonable.

	Increase (Decrease) in Basis Points	Increase (Decrease) in Defined Benefits Obligation	
		2022	2021
Discount rate	100	(P11,234,311)	(P18,478,633)
	(100)	13,060,388	21,855,021
Future salary increases	100	13,281,332	21,656,480
	(100)	(11,600,336)	(18,660,703)

To efficiently manage the retirement plan, the Parent Company ensures that the investment positions are managed in accordance with its asset-liability matching strategy to achieve that long-term investments are in line with the obligations under the retirement scheme. This strategy aims to match the plan assets to the retirement obligations by investing in long-term fixed interest securities (i.e., government or corporate bonds) with maturities that match the benefit payments as these fall due and in the appropriate currency. The Parent Company actively monitors how the duration and expected yield of the investments are matching the expected cash outflows arising from the retirement obligations. In view of this, investments are made in reasonably diversified portfolio, such that the failure of any single investment would not have a material impact on the overall level of assets.

As at December 31, 2022 and 2021, a large portion of the plan assets consists of equity and debt securities although the trustee also invests in cash and cash equivalents. The Parent Company believes that debt securities offer the best returns over long-term with an acceptable level of risk. The majority of debt securities are in government securities which have relatively low risk.

There has been no change in the Parent Company's strategies to manage its risks from previous periods.

On the other hand, SCCP's retirement plan is non-contributory and of the final salary defined benefit type. The plan provides a retirement benefit equal to one hundred fifty percent (150%) of the plan salary for every year of credited service. Benefits are paid in lump sum directly by SCCP upon retirement or separation in accordance with the terms of the plan.

Moreover, CMIC does not have an established retirement fund and only conforms to the minimum regulatory benefit under the Retirement Pay Law (RA No. 7641) which is of the defined benefit type and provides a retirement benefit equal to 22.5 days pay for every year of credited service. The regulatory benefit is paid directly by the Company in a lump sum upon retirement.



The maturity profile of undiscounted expected benefit payments from the plan for the next 10 years follows as at December 31, 2022 and 2021:

	2022	2021
More than one year to five years	₱17,626,106	₱24,106,478
More than five years to 10 years	103,139,817	78,049,990
	₱120,765,923	₱102,156,468

The weighted average duration of the defined benefit obligations as at December 31, 2022 are 11.1 years, 11.4 years and 12.5 years for the Parent Company, SCCP and CMIC, respectively.

The weighted average duration of the defined benefit obligations as at December 31, 2021 are 12.7 years, 12.9 years and 14.3 years for the Parent Company, SCCP and CMIC, respectively.

Other Employee Benefits

Other employee benefits pertains to accumulated sick leave entitlement which are expected to be settled beyond one year after the end of the reporting date.

The principal actuarial assumptions used in determining the liabilities for other employee benefits of the Exchange as at December 31, 2022 and 2021 are shown below:

	2022	2021
Discount rate	7.28%	5.06%
Future salary increases	5.00%	5.00%

The latest actuarial valuation study of the other employee benefits of the Exchange were made as at December 31, 2022.

The other employee benefits liabilities included in the consolidated financial position amounted to ₱1.65 million and ₱1.78 million as at December 31, 2022 and 2021, respectively.

As at December 31, 2022 and 2021, the sensitivity analysis below has been determined by remeasuring the defined benefit obligation at the reporting date after first adjusting one of the current assumptions that was reasonably possible at the valuation date while all other assumptions remained unchanged. It should be noted that the changes assumed to be reasonably possible at the valuation date are open to subjectivity, and do not consider more complex scenarios in which changes other than those assumed may be deemed to be more reasonable.

	Increase (Decrease) in Basis Points	Increase (Decrease) in Defined Benefits Obligation	
		2022	2021
Discount rate	100	(₱127,346)	(₱159,426)
	(100)	141,248	178,998
Future salary increases	100	143,043	177,316
	(100)	(131,154)	(160,958)



The maturity profile of undiscounted expected benefit payments from the plan for the next 10 years follows as at December 31, 2022 and 2021:

	2022	2021
More than one year to five years	₱142,417	₱3,769,162
More than five years to 10 years	1,430,954	32,387,497
	₱1,573,371	₱36,156,659

The weighted average duration of the defined benefit obligation as at December 31, 2022 and 2021 for the Parent Company is 8.2 years and 9.4 years, respectively.

29. Basic/Diluted Earnings Per Share (EPS)

Basic EPS are calculated by dividing the net income for the year attributable to ordinary equity holders of the Parent Company by the weighted average number of ordinary shares outstanding during the year.

Diluted EPS amounts are calculated by dividing the net income attributable to ordinary equity holders of the Parent Company by weighted average number of ordinary shares outstanding during the year plus the weighted average number of ordinary shares that would be issued on conversion of all the dilutive potential ordinary shares (ESPP shares) into ordinary shares.

The following reflects the diluted EPS computations:

	2022	2021	2020
(a) Net income attributable to equity holders of the Parent Company	₱744,214,392	₱923,136,938	₱681,125,163
(b) Weighted average number of shares - basic	81,640,030	81,503,971	81,809,909
Weighted average number of shares outstanding under the ESPP (see Note 33)	19,154	–	9,124
(c) Adjusted weighted average shares - diluted	81,659,184	81,503,971	81,819,033
EPS:			
Basic (a/b)	₱9.12	₱11.33	₱8.33
Diluted (a/c)	9.11	11.33	8.32

30. Related Party Transactions

Parties are considered to be related if one party has the ability, directly or indirectly, to control the other party or exercise significant influence over the other party in making financial and operating decisions. Parties are also considered to be related if they are subject to common control. Related parties may be individuals or corporate entities. Related parties include trading participants that are stockholders of the Group.

The Group, in its normal course of business, has transactions with related parties. Settlement of related party transactions normally occurs in cash.



The details of transactions with related parties are as follows:

Category	Year	Amount/ Volume of Transactions	Outstanding Receivables	Terms	Conditions
Stockholders					
Trading participants -					
Revenues					
Trading-related fees (see Notes 10 and 20):					
Transaction	2022	₱145,106,427	₱9,809,648	Collectible monthly	Unsecured; with
	2021	183,099,831	18,532,642	through cash,	impairment
	2020	157,322,455	16,294,643	noninterest-bearing	
Block sales	2022	33,763,015	13,629,378	Collectible monthly	Unsecured;
	2021	40,152,227	10,079,797	through cash,	no impairment
	2020	19,767,412	1,043,029	noninterest-bearing	
Subscription	2022	36,964,680	—	Collectible monthly	Unsecured;
	2021	38,153,906	—	through cash,	no impairment
	2020	36,186,932	—	noninterest-bearing	
Service fees (see Notes 10 and 20)	2022	319,409,719	46,060,235	Collectible monthly	Unsecured;
	2021	398,664,390	49,104,046	through cash,	no impairment
	2020	316,231,905	34,827,714	noninterest-bearing	
Other revenues (see Notes 10 and 20)	2022	16,777,094	—	Collectible monthly	Unsecured;
	2021	27,204,091	—	through cash,	no impairment
	2020	29,355,071	—	noninterest-bearing	
Subsidiary of Associate					
Philippine Dealing and Exchange Corp (PDEX)					
Other revenues (Notes 10 and 20)	2022	1,587,600	—	Collectible monthly	Unsecured;
	2021	1,224,000	—	through cash,	no impairment
				noninterest-bearing	
Philippine Depository & Trust Corporation (PDTC)					
Other revenues (Notes 10 and 20)	2022	2,948,400	—		
	2021	2,340,918	—		
Philippine Securities Settlement Corporation (PSSC)					
Other revenues (Notes 10 and 20)	2022	—	—		
	2021	39,600	—		

The receivable from trading participants included in the consolidated statements of financial position are gross of allowance for impairment losses as at December 31, 2022 and 2021. The total receivable from trading participants of ₱101.57 million as at December 31, 2022 is composed of outstanding related party receivables amounting to ₱69.50 million and SEC fees of ₱32.07 million which are billed by the Group to the trading participants. The total receivable from trading participants of ₱101.96 million as at December 31, 2021 is composed of outstanding related party receivables amounting to ₱77.72 million and SEC fees of ₱24.24 million.



Other revenues include trading participants' maintenance fee, recoveries from printing of data transaction report, lease of trading floor, cancellation of matched orders, integration of PDEX's fixed income module in the trading system, and other fees.

The Exchange as Trustee of the Philippine Stock Exchange Foundation, Inc. (the Foundation)

On December 10, 2019, the Board of Trustees (BOT) of the Foundation approved the dissolution of the Foundation by shortening its corporate term until January 31, 2020. The BOT also approved that, upon expiration of the Foundation's corporate term, all of the Foundation's assets and properties shall be transferred and conveyed to the Exchange which is hereby appointed as trustee of the Foundation for a period of three years (the 3-year winding up period). During the 3-year winding up period, the Exchange, through its BOD or its duly authorized representative, is authorized to: (1) file, process, and obtain the necessary government or regulatory approvals for the closure and dissolution of the Foundation; (2) prosecute and defend suits by or against the Foundation; (3) manage the remaining assets of the Foundation as the Exchange may deem fit, pending turnover to a foundation of the Exchange's choice dedicated to religious, charitable, scientific, athletic, cultural, or educational purposes; (4) dispose of, convey, or transfer assets of the Foundation exclusively for purposes of paying the Foundation's outstanding liabilities and turning over to a qualified foundation as aforementioned; (5) close the affairs of the Foundation; and (6) perform all acts and execute all documents, agreements, papers and forms, without need of further approval or action from the Company, as may be necessary to implement the foregoing.

Compensation of Key Management Personnel

Compensation of key management personnel (covering officer positions starting from Assistant Vice President and up) included under "Compensation and other related staff costs" account under "Cost of services" and "General and administrative expenses" in the consolidated statements of comprehensive income is as follows:

	2022	2021	2020
Short-term employee benefits	₱93,488,373	₱124,502,464	₱62,577,477
Post-employment pension and medical benefits	691,484	397,035	978,003
Employee stock purchase plan (Notes 24 and 33)	2,621,690	361,680	5,828,215
	₱96,801,547	₱125,261,179	₱69,383,695

Short-term employee benefits include salaries, paid annual leave, vacation and sick leave, profit sharing and bonuses, and non-monetary benefits.

Approval Thresholds on Related Party Transactions

All potential related party transactions shall be endorsed to the management committee by the user division for proper review, documentation and approval by the relevant authorities except for transactions in the ordinary course of business, employee-related matters, share transactions, funding agreement with CMIC and renewal of an existing contract or agreement with the same terms and conditions. A related party transaction is deemed material if it, individually, or in aggregate over a twelve (12)-month period with the same related party reaches 10% or higher of the total consolidated assets based on the latest audited consolidated financial assets.



31. Operating Segment

The Group has one reportable business segment which is the equity securities market. The equity securities market provides trading, clearing, depository and information services for the equity market. The Group also has one geographical segment and derives all its revenues from domestic operations. The financial information about the sole business segment is presented in the consolidated financial statements.

The management, the chief operating decision maker of the Group, monitors the operating results of its business segment for the purpose of making decisions about resource allocation and performance assessment. The segment performance is evaluated based on operating profit or loss and is measured consistently with the income before income tax in the consolidated financial statements.

32. Provision and Contingencies

Parent Company

Provision. In 2018, the Parent Company recorded a provision amounting to ₱20.00 million which pertains to termination benefits payable to employees identified under its organizational streamlining program, the timing of settlement is not yet certain as at December 31, 2018. In 2019, the Parent Company reclassified the provision to accrued expenses as a result of the finalization of streamlining program. In 2020, the Parent Company settled the termination benefits payable to the employees identified amounting to ₱18.14 million.

Contingencies. In April 2019, the Parent Company entered into non-exclusive agreement with a real estate agent for the purpose of marketing the leasing out of office units. The agent's commission depends on the term of lease and is payable upon successful execution of lease contract. There were no identified lessee/s as at December 31, 2022 and 2021.

SCCP, as the central counterparty to stock exchange transactions, has contingent liabilities pertaining to outstanding trades as at December 31, 2022 and 2021. Details of stock exchange transactions outstanding as at reporting dates are as follows:

	2022	2021
Value of shares not yet delivered (net selling)	₱6,977,797,337	₱9,896,841,336
Amount of purchases unpaid (due clearing)	2,412,542,071	3,236,156,812
	₱9,390,339,408	₱13,132,998,148
	2022	2021
Value of shares not yet delivered (net selling)	\$-	\$145,896
Amount of purchases unpaid (due clearing)	-	135,895
	\$-	\$281,791

All transactions outstanding as at December 31, 2022 and 2021 were subsequently settled in January 2023 and 2022, respectively. Accordingly, no failed trades occurred from these transactions.

The Markets and Securities Regulation Department (MSRD) of the Securities and Exchange Commission (SEC), in its resolutions dated April 29, 2022 (MSRD-MID Case Nos. 1-2022 and 2-2022) and September 7, 2022 (MSRD-MID Case Nos. 18-2022 to 76-2022), cited CMIC for the alleged non-compliance with its own rules in contravention of Rule 40.2 of the 2015 Securities



Regulation Code (SRC) and penalized CMIC in the total amount of P2.735 million. CMIC filed an appeal with the SEC En Banc on June 9, 2022 and September 21, 2022, respectively.

Further, the MSRD of the SEC, in its decision dated November 16, 2022 (MSRD-MID Case Nos. 121-2022 to 166-2022), cited CMIC anew for the alleged non-compliance with its own rules in contravention of Rule 40.2 of the 2015 SRC and penalized CMIC in the amount of P2.30 million. On March 20, 2023, CMIC filed an appeal with the SEC En Banc.

Finally, the MSRD of the SEC, in a decision dated March 15, 2023, cited CMIC anew for the alleged non-compliance with its own rules in contravention of Rule 40.2 of the 2015 Securities Regulation Code (SRC) and penalized CMIC in the amount of P0.50 million. On March 20, 2023, CMIC filed a Motion for Reconsideration of the decision.

As at March 22, 2023, the SEC En Banc has not rendered a decision on the appeals of CMIC dated June 9, 2022 (MSRD-MID Case Nos. 1-2022 and 2-2022) and September 21, 2022 (MSRD-MID Case Nos. 18-2022 to 76-2022).

33. Employee Stock Purchase Plans

2015 ESPP

On March 25, 2015 and May 2, 2015, the Parent Company's BOD and at least two thirds of the stockholders of the Parent Company approved to offer 150,000 ESPP shares for 3 years.

On December 23, 2015, the Parent Company submitted a request from SEC to be exempted from the registration requirements of the SRC. The Parent Company received the reply from the SEC stating that the Commission, in its meeting on January 21, 2016, ruled that the proposed ESPP is exempt from registration requirements of the SRC on January 26, 2016. Also, such approval commences the effectivity date of ESPP.

On February 16, 2016, the initial offering of ESPP was announced with the following terms and conditions:

- a. the number of shares allotted for the offering is 150,000 shares or about 0.20% of the outstanding capital stock of the Parent Company. Each offering shall consist of 50,000 shares;
- b. the program shall be administered by a five-member ESPP Committee headed by the President and CEO of the Parent Company, the Corporate Governance & Compliance Officer, the Chief Operating Officer of the Parent Company, the General Counsel of the Parent Company, and the Chief Operating Officer of SCCP. The Secretariat of the ESPP Committee will be led by the Head of the Human Resources & Administration Division of the Parent Company;
- c. all regular employees, who are not under any suspension of the Parent Company and of the SCCP with at least one year of service shall be eligible for the ESPP;
- d. offer date shall be quarterly for a period commencing on the quarter immediately after the SEC approval is obtained until the 4th quarter of 2017. Any unavailed portion of the ESPP shares offered to the employees within any year shall be reallocated to the immediately succeeding year;



- e. offer price shall be fixed based on the Volume Weighted Average Price (VWAP) of the Parent Company shares for the month preceding the offer date less a discount of ten percent (10%). Payment terms will be through monthly salary deduction over a period of twenty four (24) months subject to salary deduction over a period of twenty four (24) months subject to payroll guidelines on net take home pay;
- f. a mandatory holding period of two (2) years from the date of subscription shall be implemented;
- g. if an employee who availed of the ESPP shares resigns within the mandatory holding period, then the Parent Company will reimburse the resigned employee for any and all contributions paid as of the latest payroll cutoff; and
- h. in case an employee dies pending completion of the full payment over the 24-month period, any remaining unpaid balance will be considered by the Parent Company as fully paid.

2018 ESPP

On April 11, 2018, the Parent Company's BOD approved to offer 300,000 ESPP shares for 3 years.

On November 16, 2018, the SEC approved Parent Company's request to be exempted from the registration requirements of the SRC. Also, such approval commences the effectivity date of ESPP.

On December 27, 2018, the initial offering of ESPP was announced with the following terms and conditions:

- a. the number of shares allotted for the offering is 300,000 shares or about 0.35% of the outstanding capital stock of the Parent Company. Each offering shall consist of 100,000 shares;
- b. the program shall be administered by a five-member ESPP Committee headed by the President and CEO of the Parent Company, the Head of Market Operations Division of the Parent Company, the Chief Operating Officer of the Parent Company, the General Counsel of the Parent Company, and the Chief Operating Officer of SCCP. The Secretariat of the ESPP Committee will be led by the Head of the Human Resources & Administration Division of the Parent Company;
- c. all Officers and employees, who are not under any suspension of the Parent Company and of the SCCP with at least one year of service shall be eligible for the ESPP;
- d. offer date shall be annually for a period commencing on the year immediately after the SEC approval is obtained until 2021. Any unavailed portion of the ESPP shares offered to the employees within any year shall be reallocated to the immediately succeeding year;
- e. offer price shall be fixed based on the Volume Weighted Average Price (VWAP) of the PSE shares for the month preceding the offer date less a discount of twenty percent (20%). Payment terms will be through monthly salary deduction over a period of thirty six (36) months subject to payroll guidelines on net take home pay;
- f. a mandatory holding period of three (3) years from the date of subscription shall be implemented;
- g. one-third (1/3) of the subscription will vest every year such that 33.3% of the ESPP shares subscribed by him/her will vest on the 12th month after the date of execution of the stock purchase agreement covering the ESPP shares; 66.7% on the 24th month, and 100% on the 36th month from execution of the stock purchase agreement;



- h. if an employee who availed of the ESPP shares resigns within the mandatory holding period, then the Parent Company will reimburse the resigned employee for any and all contributions paid as of the latest payroll cutoff; on the other hand, the resigned employee shall be required to return to the Parent Company the covered ESPP shares including the dividends earned thereon; and
- i. in case an employee dies pending completion of the full payment over the 36-month period, any remaining unpaid balance will be considered by the Parent Company as fully paid.

2021 ESPP

On October 1, 2020, the Board of Directors of the Exchange approved the renewal of the ESPP which will have a duration of three (3) years from 2021 to 2023.

On November 2, 2020, the Stockholders, by a vote of the majority of the outstanding capital stock registered, approved the renewal of the ESPP and the amendment of the holding period to two (2) years from the date of purchase.

The proposed ESPP has the following terms and conditions:

- a. the plan shall be effective from the adoption date until December 31, 2023;
- b. the number of shares allotted for the offering is 300,000 shares or about 0.37% of the outstanding capital stock of the Parent Company as of December 31, 2020. Each offering shall consist of 100,000 shares;
- c. the program shall be administered by a five-member ESPP Committee headed by the President and CEO of the Parent Company, the Head of Market Operations Division of the Parent Company, the Chief Operating Officer of the Parent Company, the General Counsel of the Parent Company, and the Chief Operating Officer of SCCP. The Secretariat of the ESPP Committee will be led by the Head of the Human Resources & Administration Division of the Parent Company;
- d. all Officers and employees, who are not under any suspension of the Parent Company and of the SCCP with at least one year of service shall be eligible for the ESPP;
- e. offer date shall be annually for a period commencing on the year immediately after the SEC approval is obtained until 2023. Any unavailed portion of the ESPP shares offered to the employees within any year shall be reallocated to the immediately succeeding year;
- f. offer price shall be fixed based on the Volume Weighted Average Price (VWAP) of the PSE shares for the month preceding the offer date less a discount of twenty percent (20%). Payment terms will be through monthly salary deduction over a period of thirty-six (36) months subject to payroll guidelines on net take home pay; provided that, a participant shall have an option to fully pay the Subscription Price on the 24th month from signing of the stock purchase agreement;
- g. a mandatory holding period of two (2) years from the date of subscription shall be implemented; subject to full payment of the Subscription Price of the ESPP shares at the end of the Mandatory Holding Period. If a Participant does not fully pay the balance of the Subscription Price at the end of the 2-year period from signing of the stock purchase agreement, the Mandatory Holding Period shall be extended until full payment of the Subscription Price of the ESPP shares but not later than three (3) years from execution of the stock purchase agreement;
- h. a mandatory holding period of two (2) years from the date of subscription shall be implemented;



- i. one-third (1/3) of the subscription will vest every year such that 33.3% of the ESPP shares subscribed by him/her will vest on the 12th month after the date of execution of the stock purchase agreement covering the ESPP shares; 66.7% on the 24th month, and 100% on the 36th month from execution of the stock purchase agreement;
- j. if an employee who availed of the ESPP shares resigns within the mandatory holding period, then the Parent Company will reimburse the resigned employee for any and all contributions paid as of the latest payroll cutoff; on the other hand, the resigned employee shall be required to return to the Parent Company the covered ESPP shares including the dividends earned thereon. However, if the Participant described in the foregoing has completed at least 12 months of installment payments, is resigning or is separated after six (6) months of the current vesting period and is in good standing, the said Participant has the option to buy the remaining shares of the current vesting period provided he pays in full within thirty (30) days from date of separation. However, the Mandatory Holding Period remains applicable; and
- k. in case an employee dies pending completion of the full payment over the 36-month period, any remaining unpaid balance will be considered by the Parent Company as fully paid.

The movement in the number of ESPP shares is as follows:

	2021 ESPP	2018 ESPP	2015 ESPP
Total number of ESPP shares granted:			
2016	—	—	100,000
2017	—	—	50,000
2018	—	100,000	—
2019	—	100,000	—
2020	—	100,000	—
2021	100,000	—	—
2022	100,000	—	—
Availed shares in:			
2016	—	—	(31,437)
2017	—	—	(13,859)
2018	—	(82,123)	—
2019	—	(64,326)	—
2020	—	(144,427)	—
2021	(100,000)	(9,124)	—
2022	(80,846)	—	—
Forfeited shares in 2017	—	—	(8,000)
Expired shares in 2017	—	—	(96,704)
Outstanding ESPP shares as at			
December 31, 2022	19,154	—	—

Total additional paid-in capital arising from ESPP amounted to ₱7.08 million and ₱3.19 million as at December 31, 2022 and 2021, respectively. Employee benefit expense arising from ESPP amounted to ₱3.46 million, ₱2.50 million and ₱1.82 million in 2022, 2021 and 2020, respectively.

In 2019, 13,809 shares from the 2015 ESPP with a subscription price amounting ₱2.97 million have vested following the completion of the two (2) year mandatory period. The said shares were issued to the employees and were recorded in the “Capital stock” and “Additional paid-in capital” accounts in the 2019 statement of changes in equity (see Note 19).



The exercise prices of the shares granted during 2019 amounted ₱139.55. The fair value of shares granted during 2019 based on the Exchange's daily stock quotation amounted to ₱139.90.

The exercise prices of the shares granted during 2020 range from ₱128.08 to 132.20. The fair value of shares granted based on the Exchange's daily stock quotation amounted to ₱154.20 to ₱158.10.

In 2022, 63,819 shares from the 2018 ESPP with a subscription price amounting 8.93 million have vested following the completion of the three (3) year mandatory period. The said shares were issued to the employees and were recorded in the "Capital stock" and "Additional paid-in capital" accounts in the 2021 statement of changes in equity (see Note 19).

In 2021, 72,521 shares from the 2018 ESPP with a subscription price amounting ₱12.94 million have vested following the completion of the three (3) year mandatory period. The said shares were issued to the employees and were recorded in the "Capital stock" and "Additional paid-in capital" accounts in the 2021 statement of changes in equity (see Note 19).

The exercise prices of the shares granted during 2021 amounted to ₱119.82. The fair value of shares granted based on the Exchange's daily stock quotation amounted to ₱150.50.

The exercise prices of the shares granted during 2022 amounted to ₱170.77. The fair value of shares granted based on the Exchange's daily stock quotation amounted to ₱215.00.

34. Client Monies

Clearing and Trade Guaranty Fund (CTGF)

The CTGF is a risk management tool designed to protect the market against the settlement risks of trading participants. Each active trading participant's monthly contribution is equivalent to 1/500 of 1% of the members' trade value, net of block sales and cross transactions of the same flag. The CTGF was presented off balance sheet and was not included within the noncurrent assets and noncurrent liabilities in the consolidated statements of financial position since these are not assets and liabilities of SCCP. This presentation is to better reflect the clearing members' contribution as trust monies and does not result in a change in net assets of SCCP. The CTGF consists of:

	2022	2021
Principal contributions from:		
Trading participants:		
Balance at beginning of year	₱849,311,090	₱788,017,597
Contributions	49,715,949	61,293,493
Balance at end of year	899,027,039	849,311,090
The Parent Company	80,000,000	80,000,000
	979,027,039	929,311,090
Accumulated income:		
Balance at beginning of year	500,232,322	462,177,012
Interest income - net of management fee of ₱1.48 million and ₱1.43 million in 2022 and 2021, respectively	27,412,188	29,048,847
Balance at end of year	527,644,510	491,225,859
Net unrealized gain on financial assets at FVOCI	(30,316,730)	9,006,463
	497,327,780	500,232,322
	₱1,476,354,819	₱1,429,543,412



Contributions

In order for the SCCP to effectively implement its Fails Management function, the CTGF must be adequate to cover any unsettled trade by any member on any settlement day. Fails Management aims to settle a failed trade due to nonpayment of cash and/or nondelivery of securities by clearing members. In this regard, SCCP continuously builds up the CTGF through the monthly contributions collected from the clearing members and collection of initial contributions from new and returning clearing members.

During its regular meeting held on March 15, 2017, the SCCP Board approved the refund of the contributions to the members upon cessation of business operations by the Clearing Member and/or upon termination of membership with the Corporation, provided that all liabilities of such Clearing Member at the time of termination, whether actual or contingent, shall have been satisfied or paid in full, (taking into account any pending and previous applications of the Clearing Fund at the time of such termination), subject to the approval of the SEC.

SCCP Management was notified by the SEC on May 10, 2018 that during its meeting held on March 13, 2018, the Commission en banc resolved to approve SCCP's proposed amendments to SCCP Rule 5.2 and Operating Procedure 4.3.1.3, making contributions to the Clearing Fund refundable as trade-related assets to a Clearing Member upon cessation of business of the Clearing Member and/or upon termination of its membership with the SCCP, subject to the conditions mentioned above. The return of contributions shall be made after a reasonable processing time. SCCP Management notified its Clearing Members of the said approval by the Commission through Memo for Brokers No. 01-0718 dated July 25, 2018. The said revisions to SCCP Rule 5.2 and Operating Procedure 4.3.1.3 became effective on August 1, 2018.

Under the SCCP's rules, the CTGF may only be invested in the following:

- a. Securities issued or guaranteed by the Republic of the Philippines; and
- b. Such other investments as the SCCP's BOD may approve, taking into consideration the liquidity requirements of the clearing fund.

Assets of CTGF

The assets of the CTGF consist of:

	2022	2021
Financial assets at amortized cost:		
Cash in banks	₱14,761,145	₱18,126,967
Accounts receivable	3,310,321	4,816,287
Accrued interest receivable	7,917,978	6,280,451
Placement in time deposit	303,436,516	300,858,935
Financial assets at FVOCI - debt securities:		
Principal amount	1,172,482,600	1,083,413,600
Net unamortized premium	6,240,822	8,471,684
Net unrealized gain (loss) on financial assets at FVOCI	(30,316,730)	9,006,463
	1,477,832,652	1,430,974,387
Less accrued management fees	1,477,833	1,430,975
	₱1,476,354,819	₱1,429,543,412



As at December 31, 2022 and 2021, financial assets at FVOCI with face value of ₱301.16 million and ₱345.56 million, respectively, will mature within one year from reporting date. Net unrealized gain from CTGF investments held as financial assets at FVOCI follows:

	2022	2021
Balance at beginning of year	₱9,006,463	₱36,960,087
Change in fair value	(39,323,193)	(27,953,624)
Balance at end of year	(₱30,316,730)	₱9,006,463

For the management and administration of CTGF, the SCCP is entitled to a management fee computed at 0.1% of CTGF fund level as at the close of year. Management fee amounting to ₱1.32 million, ₱1.43 million and ₱1.37 million in 2022, 2021 and 2020 respectively, is included under "Other revenues" account in the consolidated statements of comprehensive income.

Any proceeds from the CTGF shall not be used for any purpose other than for:

- Payment of the net money obligations of a defaulting buying member in order to settle a failed trade;
- Buy-in of relevant securities due from a defaulting selling member in order to settle a failed trade;
- The satisfaction of losses, liabilities and expenses of the SCCP incidental to the operation of its clearing and settlement functions and the management of the CTGF;
- For use as collateral in securing credit facilities from the Settlement Banks for the purpose of settling a Failed Trade;
- For use as collateral in borrowing securities through the Securities Borrowing and Lending Facility; and
- Payment of premium on any insurance policy taken for the CTGF.

Funds of Suspended Trading Participants (TPs)

The funds of the suspended Trading Participants (TPs) are trust monies. These are presented off balance sheet and are not included within the noncurrent assets and noncurrent liabilities in the statements of financial position since these are not assets or liabilities of the Company.

Suspension of trading operations may either be voluntary or involuntary. In voluntary suspension, the TP applies for the suspension of trading operations. In involuntary suspension, the Exchange or the Securities and Exchange Commission (SEC) initiates and orders the suspension of the trading operations of the TP in accordance with the securities laws.

Under Section 33 of the Securities Regulation Code, when the Exchange shall have found that the financial condition of its member firm has so deteriorated that it cannot readily meet the demands of its customers for the delivery of securities and/ or payment of sales proceeds, the Exchange shall, upon order of the Commission, take over the operation of the insolvent member firm and immediately proceed to settle the member firm's liabilities to its customers.

In August 1997, November 2003, and September 2008, the Exchange, through its Market Regulation Division, imposed an involuntary suspension of the operations of Marino Olondriz Y Cia, Asian Capital Equities, Inc., and HK Securities, Inc., respectively. Subsequently, the SEC issued takeover orders against the above TPs. Further, in December 2002 and October 2003, Pryce Securities, Inc. and Wise Securities, Inc. correspondingly suspended their operations voluntarily.



In May 2010, the Board of Directors of the Exchange approved the creation of Capital Markets Integrity Corporation (CMIC), a wholly-owned subsidiary that will function as the independent audit, surveillance and compliance unit of the Exchange with authority to adopt, enforce, implement and interpret rules, guidelines, and securities laws applicable to the operations and dealings of trading participants and other market participants of the Exchange. Thus, CMIC succeeded the Market Regulation Division of the Exchange after the Board of Directors of the Exchange approved the spinoff of the said division into a separate independent corporation.

Following the grant of the SEC of its self-regulatory organization status, the Exchange, in August 2014, turned over to CMIC the fund balances of the five (5) suspended TPs totaling ₱23.38 million, broken down as follows:

Pryce Securities, Inc.	₱8,365,421
HK Securities, Inc.	5,582,686
Wise Securities Philippines, Inc.	4,471,976
Asian Capital Equities, Inc.	2,594,393
Marino Olondriz Y Cia	2,367,458
	₱23,381,934

The responsibilities of CMIC with regard to the funds of the suspended TPs include handling the customer accounts, disbursing and settling of any customer claims, and managing the money balances.

In 2017, the Board of Directors of CMIC proposed the imposition of a custodial fee of 1/2 of 1% per annum on the fund balances of the suspended TPs. The proposal was presented to the SEC for approval in 2019. The collection of custodial fees by the Company took effect on March 21, 2019. From April 1, 2019 to December 31, 2022, custodial fees amounted to ₱711,815, inclusive of 12% VAT of ₱76,266.

As at December 31, 2022 and 2021, the fund balances of the five (5) suspended TPs, net of custodial fees, are as follows:

	2022	2021
Pryce Securities, Inc.	₱10,139,902	₱10,134,503
HK Securities, Inc.	7,267,794	7,353,057
Wise Securities Philippines, Inc.	4,991,146	5,105,285
Asian Capital Equities, Inc.	7,713,286	7,504,869
Marino Olondriz Y Cia	5,498,758	5,325,811
	₱35,610,886	₱35,423,525

As at December 31, 2022, ₱22.00 million of the total amount is placed in fixed-rate treasury notes for 351 days to mature on April 21, 2023 and ₱12.00 million is invested in time deposit for 62 days at 5.125% per annum.

As at December 31, 2021, ₱22.24 million and ₱10.17 million, a total of ₱32.40 million out of the total funds of ₱35.42 million is placed in Treasury Bills for 315 days to mature on May 04, 2022 and 335 days to mature on November 16, 2022 with an original yield rate of 1.600% and 1.625% per annum.

In 2015, the SEC, issued an order directing CMIC to take over the operations of I. Ackerman & Co., Inc. (IACI). SEC approved the liquidation and allocation plan for distribution of trade-related assets of IACI in July 2016. In October 2021, CMIC opened a bank account in its name and transferred ₱2.29 million from the funds of IACI to facilitate the processing of customer claims. As at



December 31, 2022, the fund balance of IACI, under custody of CMIC, is ₱3.29 million, of which ₱2.00 million is invested in time deposit for 61 days at 5% per annum.

In November 2019, the SEC issued an order directing CMIC to take over the operations of R & L Investments, Inc. (R&L). The SEC approved the allocation plan for the settlement of claimants or client accounts of R&L in December 2022. Disbursements for client's claims shall be made directly from the accounts of R&L.

During its meeting held on December 13, 2022, the Securities and Exchange Commission "SEC" approved SCCP's proposed amendments to Rule 8.1.8 on Acceptable Collateral Deposits which provides that securities comprising the PSEi, the PSE MidCap Index, the PSE Dividend Yield Index and the PSE shares are eligible securities collateral in SCCP's Mark-to-Market Collateral Deposit ("MMCD") system. Furthermore, the SEC approved the increase in haircut on securities collateral that belong to the PSEi, the PSE Midcap Index and the PSE Dividend Yield from 20% to 25%, and the increase in haircut on PSE shares from 20% to 35%.

35. Note to the Consolidated Statements of Cash Flows

Changes in Liabilities arising from Financing Activities

In 2022 and 2021, changes in liabilities arising from financing activities follow:

	January 1, 2022	Cash flows	Others (Notes 19 and 26)	December 31, 2022
Lease liabilities	₱36,681,294	(₱18,656,389)	₱6,634,426	₱24,659,311
Dividends payable	—	(901,624,856)	901,624,856	—
	₱36,681,294	(₱920,281,245)	₱908,259,282	₱24,659,311

	January 1, 2021	Cash flows	Others (Notes 19 and 26)	December 31, 2021
Lease liabilities	₱60,442,688	(₱26,835,279)	₱3,078,885	₱36,681,294
Dividends payable	—	(655,138,304)	655,138,304	—
	₱60,442,688	(₱681,973,583)	₱658,217,189	₱36,681,294

Other pertains to the cash dividends declared during the year and interest expense on and additions to lease liabilities. The Group classifies interest paid as cash flows from operating activities.

Noncash transaction under Financing Activities

The principal noncash transaction under financing activities pertains to fully vested 2015 and 2018 ESPP shares which were availed in from 2018 to 2020 amounting to ₱12.94 million in 2021 and nil in 2020 (see Note 33).

Noncash transactions under Investing Activities

Noncash activities in 2022, 2021 and 2020 are as follows:

- Reversal of accruals in investment properties amounting to ₱2.63 million and ₱1.05 million in 2022 and 2021, respectively (see Note 13).
- Acquisition of property and equipment on account amounting to ₱1.63 million, ₱11.93 million and ₱71.36 million in 2022, 2021 and 2020, respectively (see Notes 12 and 13).



36. Event After the Reporting Period

Declaration of Cash Dividends

On March 22, 2023, the BOD declared cash dividend amounting to ₱820.80 million at ₱10 per share to stockholders of record as of April 5, 2023 payable not later than May 5, 2023.





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INDEPENDENT AUDITOR'S REPORT ON SUPPLEMENTARY SCHEDULES

The Stockholders and the Board of Directors
The Philippine Stock Exchange, Inc.
6th to 10th Floors, PSE Tower
5th Avenue cor. 28th Street
Bonifacio Global City, Taguig City

We have audited in accordance with Philippine Standards on Auditing, the consolidated financial statements of The Philippine Stock Exchange, Inc. and Subsidiaries (the Group) as at December 31, 2022 and 2021 and for each of the three years in the period ended December 31, 2022, included in this Form 17-A and have issued our report thereon dated March 22, 2023. Our audits were made for the purpose of forming an opinion on the basic consolidated financial statements taken as a whole. The schedules listed in the Index to the Supplementary Schedules are the responsibility of the Group's management. These schedules are presented for purposes of complying with the Revised Securities Regulation Code Rule 68, and are not part of the basic consolidated financial statements. These schedules have been subjected to the auditing procedures applied in the audit of the basic consolidated financial statements and, in our opinion, fairly state, in all material respects, the financial information required to be set forth therein in relation to the basic consolidated financial statements taken as a whole.

SYCIP GORRES VELAYO & CO.

Sherwin V. Yason
Partner

CPA Certificate No. 104921

Tax Identification No. 217-740-478

BOA/PRC Reg. No. 0001, August 25, 2021, valid until April 15, 2024

SEC Partner Accreditation No. 104921-SEC (Group A)

Valid to cover audit of 2020 to 2024 financial statements of SEC covered institutions

SEC Firm Accreditation No. 0001-SEC (Group A)

Valid to cover audit of 2021 to 2025 financial statements of SEC covered institutions

BIR Accreditation No. 08-001998-112-2020, November 27, 2020, valid until November 26, 2023

PTR No. 9566021, January 3, 2023, Makati City

March 22, 2023



THE PHILIPPINE STOCK EXCHANGE, INC. AND SUBSIDIARIES
INDEX TO THE SUPPLEMENTARY SCHEDULES
DECEMBER 31, 2022

Annex 68 - E

A. Financial Assets	Attached
B. Amounts Receivable from Directors, Officers, Employees, Related Parties and Principal Stockholders (Other than Related Parties)	Attached
C. Amounts Receivable from Related Parties which are Eliminated during the Consolidation of Financial Statements	Attached
D. Long-term Debt	Not applicable
E. Indebtedness to Related Parties (Long-term Loans from Related Companies)	Not applicable
F. Guarantees of Securities of Other Issuers	Not applicable
G. Capital Stock	Attached

Additional Components

i) Reconciliation of Retained Earnings Available for Dividend Declaration	Attached
ii) Map of Relationship of the Companies within the Group	Attached
iii) Schedule of Financial Soundness Indicators	Attached

THE PHILIPPINE STOCK EXCHANGE, INC. AND SUBSIDIARIES
SUPPLEMENTARY SCHEDULES REQUIRED BY ANNEX 68-E
DECEMBER 31, 2022

Schedule A. Financial Assets

Name of Issuing Entity and Association of Each Issue	Number of Shares or Principal Amounts of Bonds and Notes	Market Value Quotation	Amount Shown in the Statement of Financial Position	Income Received and Accrued
Cash and cash equivalents				
Cash on hand	—	₱101,225	₱101,225	₱—
Cash in banks:				
Citibank - Dollar	—	97,548,743	97,548,743	
Metropolitan Bank and Trust Company (MBTC) – Peso	—	381,143	381,143	
BDO Unibank, Inc. (BDO) (Ayala Branch) – Dollar	—	354,060	354,060	
BDO (Ayala Branch) – Peso	—	50,097	50,097	
BDO (BGC Branch) – Peso	—	38,039,842	38,039,842	
BDO (Ortigas Branch) – Peso	—	100,070	100,070	
BDO (BGC Branch) – Dollar	—	4,740,548	4,740,548	
Rizal Commercial Banking Corporation – Peso	—	6,675,897	6,675,897	
Union Bank – Tektite	—	610,394	610,394	
Bank of the Philippine Islands – Peso	—	293,062	293,062	
City Savings – Peso	—	10,000	10,000	
Deutsche Bank	—	60	60	
	—	148,905,141	148,905,141	406,532
Cash equivalents:				
RCBC		850,066,603	850,066,603	
BDO	—	15,000,000	15,000,000	
	—	865,066,603	1,100,748,194	18,523,517
	—	₱1,013,971,744	₱1,249,653,335	₱18,930,049
Short-term investments		₱412,092,641	₱412,092,641	₱1,950,123
Financial assets at Fair Value through Profit or Loss (FVTPL)				
BDO - Trust and Investments Group	3,232,536	₱104,120,385	₱104,120,385	
MBTC – Peso	8,769,161	395,921,092	395,921,092	
MBTC – Dollar		251,741,716	251,741,716	
Security Bank	6,575,410	265,229,368	265,229,368	
Equity Securities	1	3,000,000	3,000,000	
	18,577,108	₱1,020,012,561	₱1,020,012,561	₱14,516,809
Financial assets at Fair Value through Other Comprehensive Income (FVOCI)				
Debt securities				
Republic of the Philippines		₱2,312,313,091	₱2,312,313,091	
Other Companies		75,524,458	75,524,458	
		₱2,387,837,549	₱2,387,837,549	₱85,802,977

**Schedule B - Amounts Receivable from Directors, Officers, Employees, Related Parties and Principal Stockholders
(Other than Related Parties)
As at December 31, 2022**

Name and Designation of Debtor	Balance as at January 1, 2022	Additions	Deductions		Current	Not Current	Balance as at December 31, 2022
			Amount Collected	Amount Written Off			
Trading participants	₱101,963,647	₱863,310,361	(₱863,708,389)	₱—	₱101,565,619	₱—	₱101,565,619
Advances to officers and employees	4,414,368	10,186,797	(8,928,251)	—	5,672,914	—	5,672,914

There are no receivables which are considered outside of the Company's ordinary course of business as at December 31, 2022.

Schedule C - Amounts Receivable from Related Parties which are Eliminated during the Consolidation of Financial Statements
As at December 31, 2022

Name and Designation of Debtor	Balance as at January 1, 2022	Additions	Deductions		Current	Not Current	Balance as at December 31, 2022
			Amount Collected	Amount Written Off			
Securities and Clearing Corporation of the Philippines	₱2,598,402	₱269,489,818	(₱272,023,767)	₱—	₱64,453	—	₱64,453
Capital Markets Integrity Corp.	—	12,915,685	(12,852,725)	—	62,960	—	62,960
Premier Software Enterprise, Inc.	185,783	2,143,947	(1,405,730)	—	924,000	—	924,000

Schedule D - Long Term Debt
As at December 31, 2022

Title of Issue and Type of Obligation	Amount Authorized by Indenture	Amount shown under caption “Current portion of long term debt” in related balance sheet	Amount shown under caption “Long term debt” in related balance sheet
Not Applicable: The Company has no long-term debt as at December 31, 2022.			

Schedule E - Indebtedness to Related Parties (Long-Term Loans from Related Companies)
As at December 31, 2022

Name of Related Party	Balance, January 1, 2022	Balance, December 31, 2022
Not Applicable: The Company has no indebtedness to related parties as at December 31, 2022		

Schedule F - Guarantees of Securities of Other Issuers
As at December 31, 2022

Name of Issuing Entity of Securities Guaranteed by the Company for which this statement is filed	Title of Issue of Each Class of Securities Guaranteed	Total Amount Guaranteed and Outstanding	Amount Owned by Person for which the Statement is Filed	Nature of Guarantee
Not Applicable: The Company has no guarantees of securities of other issuers as at December 31, 2022.				

Schedule G - Capital Stock
December 31, 2022

Title of Issue	Number of Shares Authorized	Number of Shares Issued and Outstanding as Shown Under Related Balance Sheet Caption*	Number of Shares Reserved for Options, Warrants, Conversions, and Other Rights	Number of Shares Held By		
				Related parties	Directors, Officers and Employees	Others
Common	120,000,000	81,640,030	200,000	6,314,540	123,052	75,138,619

**Net of treasury stock totaling 3,513,952 shares.*

**Including 472,927 subscribed Employee Stock Purchase Plan shares.*



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**INDEPENDENT AUDITOR'S REPORT
ON THE SCHEDULE OF RECONCILIATION
OF RETAINED EARNINGS AVAILABLE
FOR DIVIDEND DECLARATION**

The Stockholders and the Board of Directors
The Philippine Stock Exchange, Inc.
6th to 10th Floors, PSE Tower
5th Avenue cor. 28th Street
Bonifacio Global City, Taguig City

We have audited in accordance with Philippine Standards on Auditing, the accompanying consolidated financial statements of The Philippine Stock Exchange, Inc. and Subsidiaries (the Group), as at December 31, 2022 and 2021 and have issued our report thereon dated March 22, 2023. Our audits were made for the purpose of forming an opinion on the basic consolidated financial statements taken as a whole. The accompanying Schedule of Reconciliation of Retained Earnings Available for Dividend Declaration is the responsibility of the Group's management. This schedule is presented for the purpose of complying with the Revised Securities Regulation Code Rule 68 and is not part of the basic financial statements. This schedule has been subjected to the auditing procedures applied in the audit of the basic consolidated financial statements and, in our opinion, fairly states, in all material respects, the information required to be set forth therein in relation to the basic consolidated financial statements taken as a whole.

SYCIP GORRES VELAYO & CO.

Sherwin V. Yason
Partner

CPA Certificate No. 104921

Tax Identification No. 217-740-478

BOA/PRC Reg. No. 0001, August 25, 2021, valid until April 15, 2024

SEC Partner Accreditation No. 104921-SEC (Group A)

Valid to cover audit of 2020 to 2024 financial statements of SEC covered institutions

SEC Firm Accreditation No. 0001-SEC (Group A)

Valid to cover audit of 2021 to 2025 financial statements of SEC covered institutions

BIR Accreditation No. 08-001998-112-2020, November 27, 2020, valid until November 26, 2023

PTR No. 9566021, January 3, 2023, Makati City

March 22, 2023

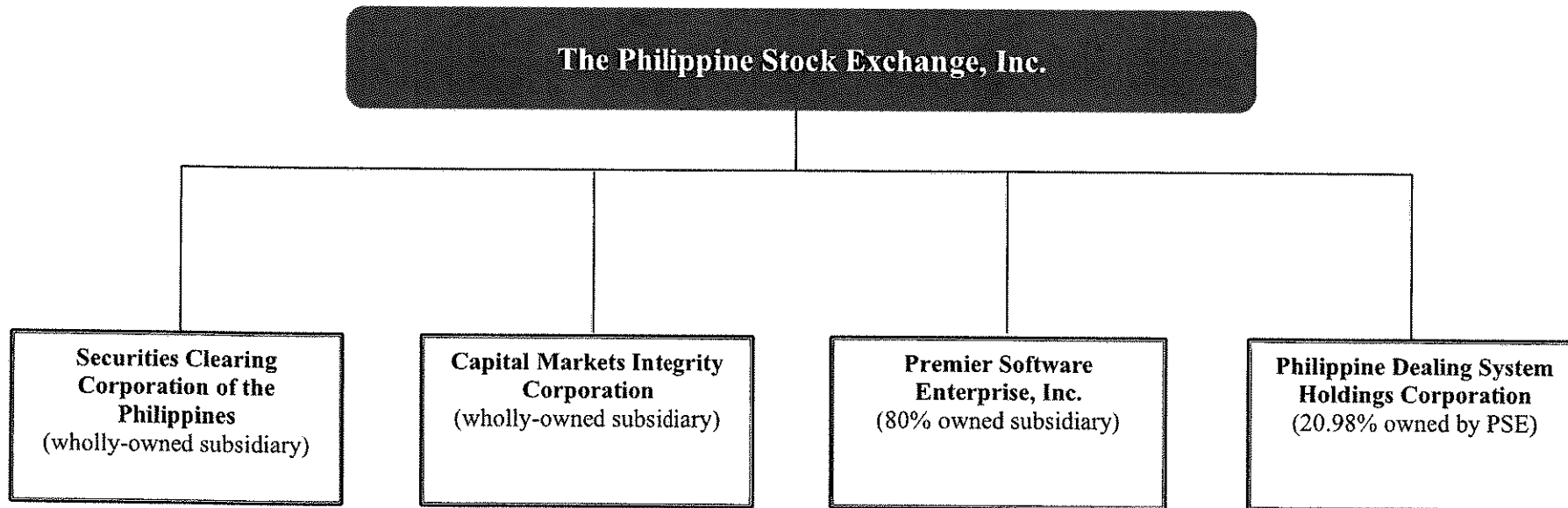


**THE SCHEDULE OF
RECONCILIATION OF RETAINED EARNINGS
AVAILABLE FOR DIVIDEND DECLARATION
AS AT DECEMBER 31, 2022**

**The Philippine Stock Exchange, Inc.
6th to 10th Floors, The PSE Tower, 5th Avenue cor. 28th Street
Bonifacio Global City, Taguig City**

Unappropriated retained earnings, as adjusted to available for dividend declaration, as of January 1, 2022	₱745,922,494
Add: Net income closed to retained earnings	779,166,221
Add: Dividend received from an associate during the period	73,430,000
Less: Equity in net income of associate for the year	(67,452,607)
Add: Decrease in recognized deferred tax assets recognized in profit or loss	10,149,293
Net income actually earned during the period	795,292,907
Less: Cash dividends declared during the period	(901,624,856)
UNAPPROPRIATED RETAINED EARNINGS, AS OF DECEMBER 31, 2022	
AVAILABLE FOR DIVIDEND DECLARATION, AS ADJUSTED	₱639,590,545

THE PHILIPPINE STOCK EXCHANGE, INC. AND SUBSIDIARIES
MAP OF THE RELATIONSHIPS OF THE COMPANIES WITHIN THE GROUP



INDEPENDENT AUDITOR'S REPORT ON COMPONENTS OF FINANCIAL SOUNDNESS INDICATORS

The Stockholders and the Board of Directors
The Philippine Stock Exchange, Inc. and Subsidiaries
6th to 10th Floors, PSE Tower
5th Avenue cor. 28th Street
Bonifacio Global City, Taguig City

We have audited in accordance with Philippine Standards on Auditing, the consolidated financial statements of The Philippine Stock Exchange, Inc. and Subsidiaries (the Group) as at December 31, 2022 and 2021 and for each of the three years in the period ended December 31, 2022, and have issued our report thereon dated March 22, 2023. Our audits were made for the purpose of forming an opinion on the basic consolidated financial statements taken as a whole. The Supplementary Schedule on Financial Soundness Indicators, including their definitions, formulas, calculation, and their appropriateness or usefulness to the intended users, are the responsibility of the Group's management. These financial soundness indicators are not measures of operating performance defined by Philippine Financial Reporting Standards (PFRSs) and may not be comparable to similarly titled measures presented by other companies. This schedule is presented for the purpose of complying with the Revised Securities Regulation Code Rule 68 issued by the Securities and Exchange Commission, and is not a required part of the basic consolidated financial statements prepared in accordance with PFRSs. The components of these financial soundness indicators have been traced to the Group's consolidated financial statements as at December 31, 2022 and 2021 and for each of the three years in the period ended December 31, 2022 and no material exceptions were noted.

SYCIP GORRES VELAYO & CO.



Sherwin V. Yason

Partner

CPA Certificate No. 104921

Tax Identification No. 217-740-478

BOA/PRC Reg. No. 0001, August 25, 2021, valid until April 15, 2024

SEC Partner Accreditation No. 104921-SEC (Group A)

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BIR Accreditation No. 08-001998-112-2020, November 27, 2020, valid until November 26, 2023

PTR No. 9566021, January 3, 2023, Makati City

March 22, 2023



THE PHILIPPINE STOCK EXCHANGE, INC. AND SUBSIDIARIES
SCHEDULE OF FINANCIAL SOUNDNESS INDICATORS
FOR THE YEARS ENDED DECEMBER 31, 2022 and 2021

Financial Ratio	Description	December 31	
		2022	2021
Current ratio	Current Assets	7.20	6.56
	Current Liabilities		
Solvency	After-tax-net-profit + depreciation and amortization	0.59	0.61
	Total Liabilities		
Debt-to-equity	Total Liabilities	0.27	0.30
	Total Equity		
Assets-to-equity	Total Assets	1.27	1.30
	Total Equity		

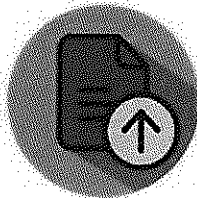
Financial Ratio	Description	Year Ended December		
		2022	2021	2020
Return on equity	Net Income	13%	16%	12%
	Total Equity			
Return on assets	Net Income	10%	12%	10%
	Total Assets			
Gross profit margin	Gross Profit	78%	82%	79%
	Revenue			
Net income margin	Net Income	48%	56%	50%
	Revenue			

Supporting Computations

Financial Ratio	Description	2022
Current ratio	Current Assets	₱3,943,840,203
	Current Liabilities	₱547,793,588
Solvency	After-tax-net-profit + depreciation and amortization	₱881,461,618
	Total Liabilities	₱1,494,238,977
Debt-to-equity	Total Liabilities	₱1,494,238,977
	Total Equity	₱5,547,876,506
Assets-to-equity	Total Assets	₱7,042,115,483
	Total Equity	₱5,547,876,506
Return on equity	Net Income	₱739,151,639
	Total Equity	₱5,547,876,506
Return on assets	Net Income	₱739,151,639
	Total Assets	₱7,042,115,483
Gross profit margin	Gross Profit	₱1,199,748,262
	Revenue	₱1,537,030,746
Net income margin	Net Income	₱739,151,639
	Revenue	₱1,537,030,746



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